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Investor Presentation | Japan

Chemicals: Industry Reshuffling also Gaining Steam amid an AI-driven Market

MORGAN STANLEY MUFG SECURITIES CO., LTD.+

Takato Watabe

Equity Analyst
Takato.Watabe@morganstanleymufg.com +81 3 6836-5436

Ryoichi Watanabe

Equity Analyst
Ryoichi.Watanabe@morganstanleymufg.com +81 3 6836-8929

Kayoko Shoji

Research Associate
Kayoko.Shoji@morganstanleymufg.com +81 3 6836-5437

Kano Fujita

Research Associate
Kano.Fujita@morganstanleymufg.com +81 3 6836-8932



PETROCHEMICAL MAJORS

Japan	
Industry View	Attractive

ELECTRONIC CHEMICALS

Japan	
Industry View	In-Line

FINE CHEMICALS

Japan	
Industry View	In-Line

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- Petrochemical majors (Industry View: Attractive):** Expecting continued weak petrochemical demand and ethylene utilization rates, but in addition to China’s anti-involution policies, there are signs of naphtha cracker downsizing in South Korea; believe the overall mood is improving. Asia petchem prices and spreads unlikely to fall further, but probably lack recovery momentum. Added impetus for industry reorganization. Investment indicators remain low and shares look generally undervalued. Investment appeal in Sumitomo Chemicals, as it focuses resources on accelerating growth in the agrochemicals and IT-related sectors. OW on Sumitomo Chemical (4005), Mitsui Chemicals (4183), Asahi Kasei (3407); EW on Mitsubishi Chemical (4188), Tosoh (4042).
- Electronic chemicals (Industry View: In-line):** In addition to the expansion of AI semiconductors, demand for legacy semiconductors is also gradually recovering, and a steady growth trend continues. For silicon wafers, although user inventory levels remain high, the recovery trend continues, centered on 300mm wafers. We are OW on Zeon (4205), Shin-Etsu Chemical (4063); EW on Nissan Chemical (4021), Dexerials (4980), Kuraray (3405); UW on SUMCO (3436), Nitto Denko (6988).
- Fine chemicals (Industry View: In-line):** Carbon fiber composite materials show significant revenue improvement due to full recovery in aircraft applications. Toray is our Top Pick, with the top share in carbon fiber business and strength in textiles and functional chemicals. We are OW on Toray (3402); EW on Gunze (3002); UW on Teijin (3401); ++ on DIC (4631).

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Asia Research

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Industry reshuffling also gaining steam amid an AI-driven market

Company	Code	Rating	C. Price 13-Jul	Price Target	% Difference from Current Price											
					-60%	-40%	-20%	0%	20%	40%	60%	80%	100%	120%	140%	
Petrochemical Majors			Attractive													
Sumitomo Chemical	4005	OW	¥519	¥850	-13%			64% 122%								
Mitsui Chemicals	4183	OW	¥2,070	¥2,900	-8%			40% 93%								
Asahi Kasei	3407	OW	¥1,816	¥2,200	-6%			21% 49%								
Mitsubishi Chemical Group	4188	EW	¥1,162	¥1,250	-18%			8% 29%								
Tosoh	4042	EW	¥2,691	¥2,900	-22%			8% 34%								
Electronic Chemicals			In-Line													
Zeon	4205	OW	¥2,225	¥3,000	-6%			35% 73%								
Shin-Etsu Chemical	4063	OW	¥7,340	¥8,200	-14%			12% 29%								
Nissan Chemical	4021	EW	¥7,906	¥9,000	-24%			14% 39%								
Dexerials	4980	EW	¥3,922	¥4,400	-46%				12% 53%							
Kuraray	3405	EW	¥1,696	¥1,750	-26%			3% 30%								
SUMCO	3436	UW	¥5,133	¥3,000	-42%				13%							
Nitto Denko	6988	UW	¥3,221	¥3,000	-32%	-7%				21%						
Fine Chemicals			In-Line													
Toray	3402	OW	¥1,138	¥1,600	-3%			41% 76%								
Gunze	3002	EW	¥3,970	¥4,200	-29%			6% 28%								
Teijin	3401	UW	¥1,655	¥1,450	-46%	-12%				27%						
DIC	4631	++	¥4,520	++												

Source: FactSet, Morgan Stanley Research

Bear  Bull
Target Price (Base)

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Overall Summary: Chemicals industry coverage list & key investment metrics

Recommended stocks:

Zeon (4205), Sumitomo Chemical (4005), Toray (3402), Asahi Kasei (3407), Shin-Etsu Chemical (4063)

	Rating	Share price (¥)	Price target (¥)	P/E (x)			P/CF (x)			EV/EBITDA (x)			P/B (x)			Dividend yield (%)			Mkt cap	FX Sensitivity for OP (¥bn)		FX Sensitivity vs F26 MS (core) OP		Company FX assumptions (F26)	
		(13-Jul)		F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	(¥bn)	vs. USD	vs. EUR	vs. USD	vs. EUR	(¥/USD)	(¥/EUR)
Petrochemical Majors																									
3407 Asahi Kasei	OW	1,816	2,200	14.3	12.1	10.7	6.3	5.8	5.4	6.7	6.2	5.8	1.1	1.1	1.0	2.4	2.9	3.2	2,462.6	1.6	0.1	0.6%	0.0%	150.0	175.0
4005 Sumitomo Chemical	OW	519	850	8.7	6.5	5.6	3.9	3.4	3.1	6.3	5.5	5.4	0.8	0.7	0.7	4.6	4.8	5.4	857.1	2.0	-	0.8%	-	155.0	-
4042 Tosoh	EW	2,691	2,900	13.7	12.8	11.2	7.4	7.0	6.5	6.6	6.5	6.3	1.0	0.9	0.9	3.7	3.7	3.7	828.4	0.5	0.2	0.5%	0.2%	-	-
4183 Mitsui Chemicals	OW	2,070	2,900	12.8	8.3	6.8	4.0	3.3	3.1	7.7	6.4	5.8	0.8	0.8	0.7	3.6	4.1	4.8	762.0	0.8-0.9	-	0.7%	-	155.0	-
4188 Mitsubishi Chemical Group	EW	1,162	1,250	13.1	11.7	10.1	3.9	3.8	3.6	6.2	6.0	5.7	0.9	0.8	0.8	2.8	3.0	3.4	1,578.0	1.1	-	0.4%	-	150.0	-
Petrochemical Majors average	Attractive			12.9	10.7	9.5	5.0	4.7	4.5	6.6	6.1	5.7	1.0	0.9	0.9	-	-	-	-	-	-	-	-	-	-
Electronic Chemicals																									
3405 Kuraray	EW	1,696	1,750	15.7	12.6	10.8	4.3	3.9	3.6	5.2	4.9	4.7	0.7	0.6	0.6	3.8	3.8	3.8	511.0	0.1	0.2	0.2%	0.3%	150.0	175.0
3436 SUMCO	UW	5,133	3,000	-	138.1	59.8	15.6	14.0	13.1	16.8	15.2	13.4	3.3	3.3	3.1	0.4	0.4	0.6	1,795.1	1.1	-	-	-	160.0	-
4021 Nissan Chemical	EW	7,906	9,000	20.3	19.5	18.9	14.9	14.2	13.7	12.4	11.8	11.5	3.9	3.7	3.5	2.7	2.8	2.9	1,060.3	0.3	-	0.4%	-	150.0	-
4063 Shin-Etsu Chemical	OW	7,340	8,200	22.2	20.0	18.1	15.8	14.4	13.1	12.3	11.6	10.8	3.0	2.9	2.8	1.8	2.0	2.2	13,628.3	3.9	0.2	0.5%	0.03%	150.0	180.0
4205 Zeon	OW	2,225	3,000	11.2	10.7	9.7	7.2	7.0	6.6	7.2	6.9	6.8	1.1	1.0	1.0	3.6	3.7	4.1	425.6	0.3	0.1	0.7%	-	150.0	175.0
4980 Dexerials	EW	3,922	4,400	23.8	20.6	18.1	18.1	15.3	13.1	14.8	12.6	10.9	5.4	4.9	4.4	1.6	1.8	2.0	657.0	0.5	-	1.2%	-	150.0	-
6988 Nitto Denko	UW	3,221	3,000	15.8	14.5	13.0	9.8	9.1	8.5	7.1	6.8	6.5	1.8	1.7	1.6	2.0	2.0	2.2	2,169.9	2.7	-	1.5%	-	153.0	-
Electronic Chemicals average	In-Line			23.7	21.0	19.2	14.0	13.1	12.3	11.1	10.5	9.8	2.6	2.6	2.6	-	-	-	-	-	-	-	-	-	-
Fine Chemicals (In-Line)																									
3002 Gunze	EW	3,970	4,200	25.3	19.3	16.0	10.1	9.1	33.1	8.0	7.0	6.5	1.1	1.1	1.1	5.4	5.5	5.5	126.7	0.10	-	1.2%	-	155.0	-
3401 Teijin	UW	1,655	1,450	7.6	19.4	15.6	3.4	4.5	4.2	7.0	6.4	5.9	0.8	0.8	0.8	3.0	3.0	3.0	319.3	0.25	-	0.9%	-	150.0	176.0
3402 Toray	OW	1,138	1,600	14.3	11.0	9.1	6.4	5.5	5.0	8.3	7.4	6.8	0.9	0.8	0.8	2.3	2.6	3.2	1,657.1	1.0	-	0.6%	-	150.0	-
4631 DIC	++	4,520	++	12.4	13.2	12.2	4.8	4.7	4.6	7.4	7.3	7.0	0.9	0.8	0.8	3.1	3.3	3.5	428.0	0.2	-	0.3%	-	150.0	168.0

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Fiscal years for Kuraray, SUMCO, and DIC end in December
FX Assumption: Shin-Etsu F3/27 1Q, SUMCO F12/26 2Q
e = Morgan Stanley Research estimates
Source: Company data, FactSet, Morgan Stanley Research

Petrochemical Majors											Fine Chemicals												
Sales		Core Operating profit		Operating profit		Recurring/ Pretax profit		Net profit		EPS	Sales		Core Operating profit		Operating profit		Recurring/ Pretax profit		Net profit		EPS		
(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥)		
- Petrochemical Majors											- Fine Chemicals												
(3407) Asahi Kasei											(3002) Gunze												
3/25	3,037,312	9.1	-	-	211,921	50.6	193,459	114.7	134,996	208.2	97.9	3/25	137,117	3.2	-	-	7,921	16.9	8,180	20.8	6,279	22.9	189.7
3/26	3,074,505	1.2	-	-	231,200	9.1	230,419	19.1	158,793	17.6	117.0	3/26	130,918	-4.5	-	-	4,883	-38.4	4,920	-39.9	509	-92	15.8
3/27Ce	3,254,000	5.8	-	-	248,000	7.3	247,500	7.4	160,000	0.8	119.7	3/27Ce	132,000	0.8	-	-	8,800	80.2	8,400	70.7	5,200	922	165.9
3/27e	3,301,000	7.4	-	-	267,000	15.5	266,500	15.7	170,000	7.1	126.9	3/27e	131,000	0.1	-	-	8,300	70.0	7,900	60.6	4,900	863	156.6
3/27e (IFIS)	3,278,450	6.6	-	-	257,010	11.2	257,889	11.9	167,467	5.5	123.3	3/27e (IFIS)	131,600	0.5	-	-	8,200	67.9	7,950	61.6	4,713	825.8	150.5
3/28e	3,376,000	2.3	-	-	301,000	12.7	305,000	14.4	198,000	16.5	150.4	3/28e	129,000	-1.5	-	-	10,500	26.5	10,000	26.6	6,400	31	205.3
3/28e (IFIS)	3,379,880	3.1	-	-	283,830	10.4	285,922	10.9	188,278	12.4	139.4	3/28e (IFIS)	132,450	0.6	-	-	10,250	25.0	10,050	26.4	6,643	41.0	212.5
3/29e	3,504,000	3.8	-	-	335,000	11.3	339,000	11.1	220,000	11.1	170.2	3/29e	131,500	1.9	-	-	12,200	16.2	12,000	20.0	7,700	20	247.9
3/29e (IFIS)	3,515,380	4.0	-	-	313,500	10.5	315,267	10.3	208,289	10.6	156.4	3/29e (IFIS)	135,850	2.6	-	-	11,700	14.1	11,650	15.9	7,733	16.4	247.8
(4005) Sumitomo Chemical (IFRS)											(3401) Teijin (IFRS from 3/25)												
3/25	2,606,281	6.5	140,519	-	193,033	-	58,093	-	38,591	-	23.6	3/25	1,005,471	4.7	27,594	25.7	-71,828	-	-78,038	-	28,347	-	147.2
3/26	2,328,515	-10.7	208,376	48.3	151,744	-21.4	116,068	99.8	60,947	57.9	37.2	3/26	873,190	-13.2	25,781	-6.6	-70,714	-	-74,060	-	-88,003	-	-456.3
3/27Ce	2,360,000	1.4	215,000	3.2	177,000	16.6	-	-	70,000	14.9	42.4	3/27Ce	850,000	-2.7	30,000	16.4	70,000	-	-	-	45,000	-	233.3
3/27e	2,365,000	1.6	245,000	17.6	207,000	36.4	197,000	69.7	99,000	62.4	59.9	3/27e	886,000	1.5	27,000	4.7	66,000	-	61,000	-	42,000	-	217.7
3/27e (IFIS)	2,473,044	6.2	-	-	194,756	28.3	175,625	51.3	82,433	35.3	49.9	3/27e (IFIS)	875,280	0.2	-	-	69,120	-	65,260	-	43,920	-	227.7
3/28e	2,465,000	4.2	267,000	9.0	252,000	21.7	246,000	24.9	129,000	30.3	79.3	3/28e	929,000	4.9	34,500	27.8	29,000	-56.1	24,000	-60.7	16,500	-60.7	85.5
3/28e (IFIS)	2,515,856	1.7	-	-	198,856	1.1	177,363	1.0	85,556	3.8	52.0	3/28e (IFIS)	914,000	4.4	-	-	34,600	-49.9	30,880	-52.7	20,220	-54.0	104.8
3/29																							

Ce = Company estimates, e = Morgan Stanley Research estimates, e(IFIS) = IFIS Consensus data .
Source: Company data, Morgan Stanley Research

Chemicals industry earnings estimates (2)

Sales		Business profit		Operating· Business profit		Recurring· Pretax profit		Net profit		EPS	Sales		Business profit		Operating· Business profit		Recurring· Pretax profit		Net profit		EPS		
(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥ m)	(% YoY)	(¥)		
- Electronic Chemicals																							
(3405) Kuraray											(4205) Zeon												
12/24	826,895	5.9	-	-	85,081	12.7	81,480	18.0	31,724	-25.3	96.3	3/25	420,647	10.0	-	-	29,321	43.0	33,051	22.8	26,199	-15.8	127.4
12/25	808,447	-2.2	-	-	58,882	-30.8	51,515	-36.8	7,468	-76.5	23.6	3/26	411,966	-2.1	-	-	36,377	24.1	40,038	21.1	36,226	38.3	186.7
12/26Ce	850,000	5.1	-	-	70,000	18.9	64,000	24.2	40,000	435.6	130.3	3/27Ce	405,000	-1.7	-	-	38,000	4.5	37,000	-7.6	36,000	-0.6	188.5
12/26e	846,000	4.6	-	-	61,000	3.6	55,000	6.8	32,000	328.5	108.1	3/27e	420,000	2.0	-	-	41,000	12.7	42,500	6.1	37,500	3.5	199.2
12/26e (IFIS)	860,275	6.4	-	-	61,363	4.2	55,717	8.2	32,629	336.9	108.6	3/27e (IFIS)	429,371	4.2	-	-	38,786	6.6	38,660	-3.4	35,106	-3.1	183.6
12/27e	856,000	1.2	-	-	70,000	14.8	64,500	17.3	38,500	20.3	134.9	3/28e	424,000	1.0	-	-	46,000	12.2	48,000	12.9	38,500	2.7	208.7
12/27e (IFIS)	893,163	3.8	-	-	67,413	9.9	62,883	12.9	36,814	12.8	124.5	3/28e (IFIS)	427,914	-0.3	-	-	40,943	5.6	42,700	10.5	32,789	-6.6	170.0
12/28e	882,000	3.0	-	-	78,000	11.4	72,500	12.4	43,500	13.0	157.8	3/29e	433,000	2.1	-	-	50,000	8.7	52,000	8.3	41,500	7.8	229.4
12/28e (IFIS)	925,338	3.6	-	-	74,200	10.1	69,717	10.9	41,514	12.8	143.0	3/29e (IFIS)	438,317	2.4	-	-	43,733	6.8	45,525	6.6	34,657	5.7	185.3
(3436) SUMCO											(4980) Dexcelials (IFRS from 3/25)												
12/24	396,619	-6.9	-	-	36,924	-49.5	37,457	-48.4	19,877	-68.9	56.8	3/25	110,390	4.9	38,068	11.7	39,735	24.6	39,359	27.4	27,737	22.9	162.0
12/25	409,670	3.3	-	-	1,342	-96.4	-3,886	-	-11,751	-	-33.6	3/26	113,832	3.1	39,352	3.4	38,097	-4.1	38,388	-2.5	28,009	1.0	166.5
12/26e	439,000	7.2	-	-	-16,000	-	-25,000	-	-27,000	-	-77.2	3/27Ce	123,000	8.1	40,000	1.6	38,500	1.1	38,500	0.3	27,500	-1.8	163.5
12/26e (IFIS)	441,075	7.7	-	-	-8,892	-	-20,890	-	-19,105	-	-50.8	3/27e	122,000	7.2	40,000	1.6	38,500	1.1	38,500	0.3	27,500	-1.8	164.5
12/27e	464,000	5.7	-	-	21,000	-	19,000	-	13,000	-	37.2	3/27e (IFIS)	123,600	8.6	-	-	39,900	4.7	40,078	4.4	28,492	1.7	170.3
12/27e (IFIS)	475,675	7.8	-	-	37,942	-	29,020	-	22,127	-	71.2	3/28e	132,000	8.2	45,500	13.8	44,000	14.3	44,000	14.3	31,500	14.5	190.0
12/28e	489,000	5.4	-	-	44,000	109.5	43,000	126.3	30,000	130.8	85.8	3/28e (IFIS)	137,850	11.5	-	-	48,275	21.0	48,343	20.6	34,354	20.6	206.2
12/28e (IFIS)	530,108	11.4	-	-	95,050	150.5	83,760	188.6	58,394	163.9	186.5	3/29e	139,000	5.3	51,000	12.1	49,500	12.5	49,500	12.5	35,500	12.7	206.2
(4021) Nissan Chemical											3/29e (IFIS)												
3/25	251,365	10.9	-	-	56,833	17.9	58,018	12.4	43,043	13.2	313.3	(6988) Nitto Denko (IFRS)											
3/26	279,586	11.2	-	-	63,552	11.8	65,897	13.6	49,707	15.5	368.3	3/25	1,013,878	10.8	-	-	185,667	33.4	185,329	33.4	137,237	33.7	195.7
3/27Ce	289,700	3.6	-	-	66,800	5.1	68,800	4.4	51,500	3.6	387.1	3/26	1,028,171	1.4	-	-	183,615	-1.1	184,976	-0.2	133,498	-2.7	197.2
3/27e	288,000	3.0	-	-	67,500	6.2	69,500	5.5	52,000	4.6	389.9	3/27Ce	1,065,000	3.6	-	-	193,000	5.1	193,000	4.3	141,000	5.6	209.3
3/27e (IFIS)	290,450	3.9	-	-	68,713	8.1	70,413	6.9	52,346	5.3	393.2	3/27e	1,054,000	2.5	-	-	182,000	-0.9	182,000	-1.6	133,000	-0.4	203.7
3/28e	297,000	3.1	-	-	70,000	3.7	72,000	3.6	53,500	2.9	405.5	3/27e (IFIS)	1,066,838	3.8	-	-	191,000	4.0	191,263	3.4	139,676	4.6	211.2
3/28e (IFIS)	304,913	5.0	-	-	73,138	6.4	74,988	6.5	55,529	6.1	419.9	3/28e	1,088,000	3.2	-	-	192,000	5.5	192,000	5.5	140,000	5.3	222.2
3/29e	308,000	3.7	-	-	71,500	2.1	73,500	2.1	54,500	1.9	417.6	3/28e (IFIS)	1,105,863	3.7	-	-	204,725	7.2	205,025	7.2	148,465	6.3	228.1
3/29e (IFIS)	320,800	5.2	-	-	78,171	6.9	80,129	6.9	59,210	6.6	455.5	3/29e	1,125,000	3.4	-	-	207,000	7.8	207,000	7.8	151,000	7.9	248.4
(4063) Shin-Etsu Chemical											3/29e (IFIS)												
3/25	2,561,249	6.1	-	-	742,105	5.9	820,543	4.2	534,021	2.7	269.5	3/29e (IFIS)	1,149,886	4.0	-	-	214,971	5.0	215,357	5.0	155,746	4.9	242.8
3/26	2,573,969	0.5	-	-	635,204	-14.4	708,281	-13.7	474,459	-11.2	252.7												
3/27e	2,940,000	14.2	-	-	785,000	23.6	867,000	22.4	600,000	26.5	330.1												
3/27e (IFIS)	2,847,631	10.6	-	-	762,554	20.0	831,273	17.4	562,498	18.6	304.9												
3/28e	3,032,000	3.1	-	-	852,000	8.5	943,000	8.8	648,000	8.0	366.3												
3/28e (IFIS)	2,998,992	5.3	-	-	842,123	10.4	905,364	8.9	613,449	9.1	336.7												
3/29e	3,157,000	4.1	-	-	923,000	8.3	1,016,000	7.7	697,000	7.6	404.4												
3/29e (IFIS)	3,182,842	6.1	-	-	938,275	11.4	998,000	10.2	677,260	10.4	378.2												

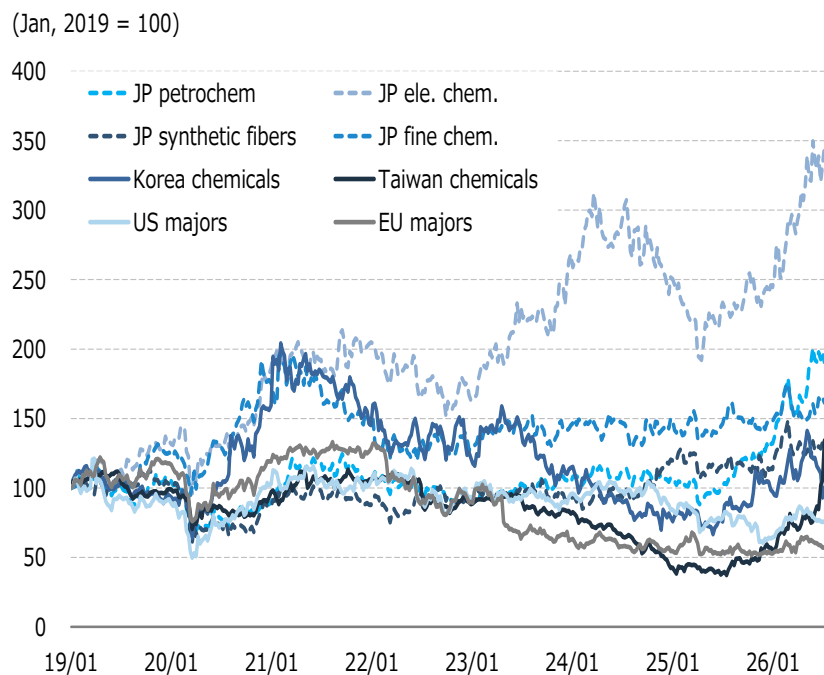
Ce = Company estimates, e = Morgan Stanley Research estimates,

e(IFIS) = IFIS Consensus data

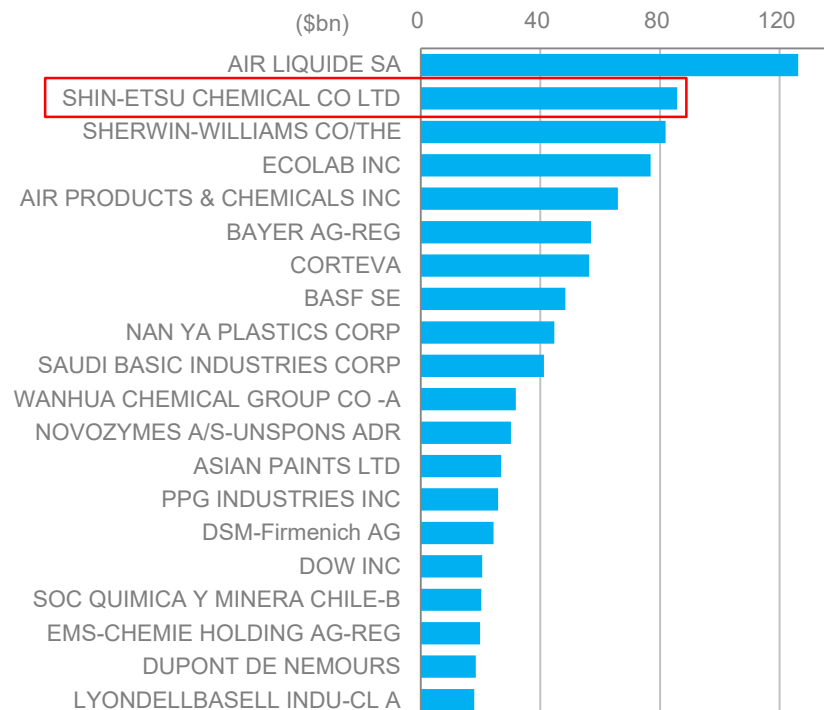
Source: Company data, Morgan Stanley Research

Overseas chemical industry market cap trends / Market cap ranking of global chemical companies (Top 20)

Market cap performance since Jan 2019



Top 20 market cap ranking (as of 9 July. 2026)



Japan 7 Petrochem: Asahi Kasei, Sumitomo Chemical, Tosoh, Mitsui Chemicals, Mitsubishi Chemical Group, Resonac, UBE

Japan 6 Elec. Chemicals: Shin-Etsu Chemical, JSR, Zeon, Nitto Denko, Kuraray, SUMCO

Japan 2 Synthetic Fibers: Teijin, Toray

Japan 7 Fine Chemicals: Nippon Shokubai, Mitsubishi Gas Chemical, Daicel, Sekisui Chemical, Nippon Paint, Kansai Paint, DIC

Korea 8 Chemicals: LG Chem, Lotte Chemical, OCI Company, Hanwha Chemical, Kumho Petrochemical, SK Innovation, S-Oil, Hyosung

Taiwan 8 Chemicals: FPC, NYP, FCFC, Taiwan Fertilizer, China Petrochem, LCY Chemical, TSRC, Eternal Chemical

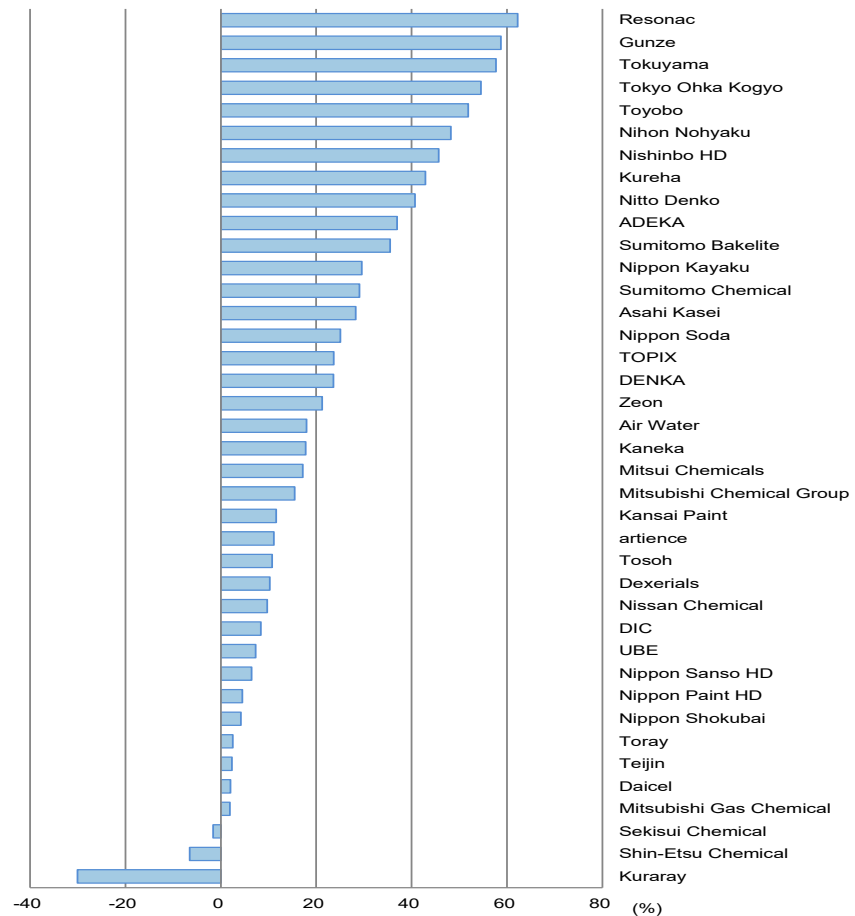
US 5 majors: Celanese, Dow, DuPont, Eastman, LyondellBasell

Euro 5 majors: Arkema, Lanxess, BASF, Solvay, DSM

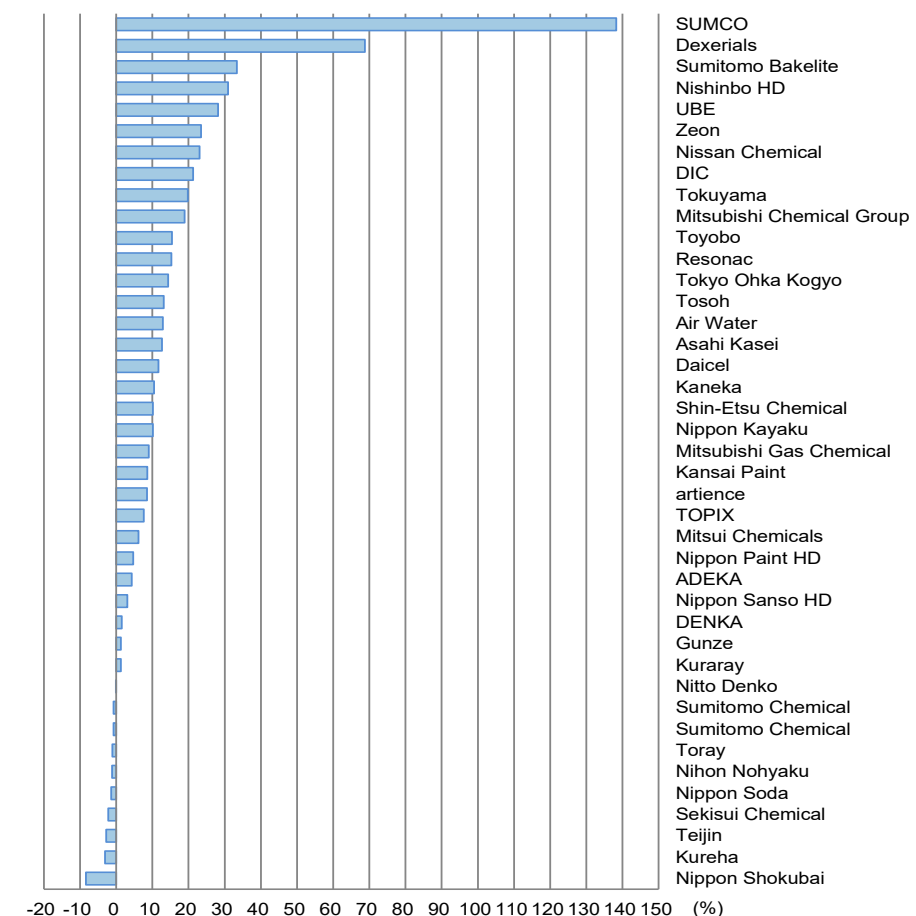
Source: Bloomberg, Morgan Stanley Research

Stock performance ranking

Stock performance in 2025



Vs. 3 months ago



Source: Workspace ; Note: For Vs. 3 months ago exhibit: Stock prices as of 13th July 2026

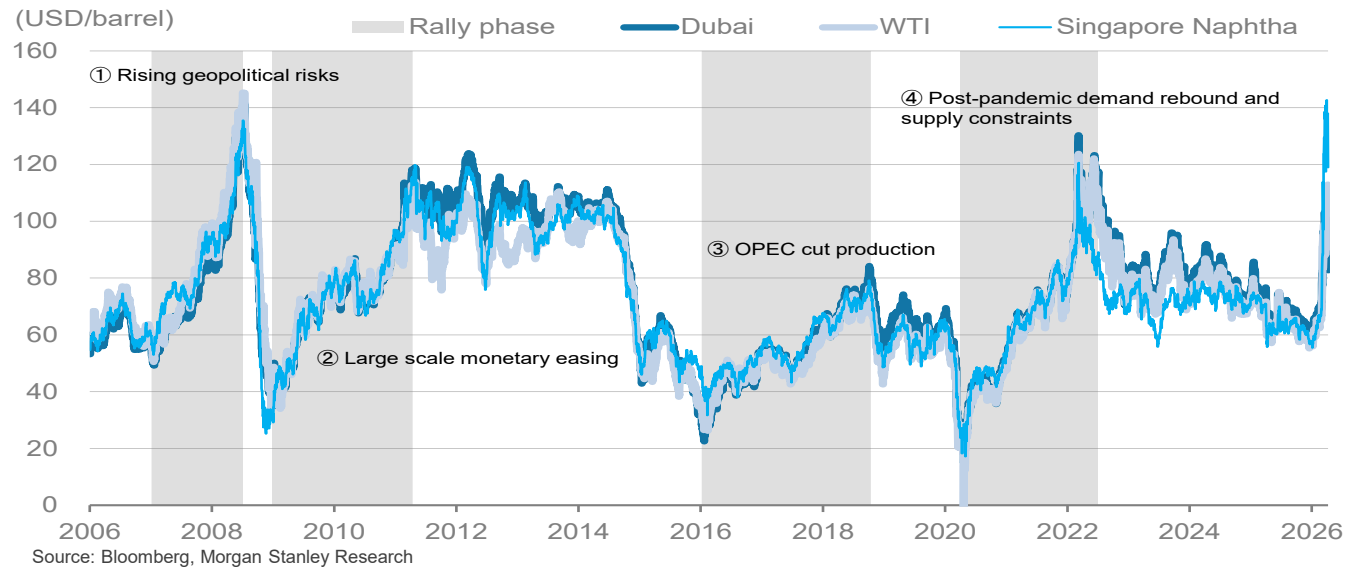
Global chemical peer valuations

Ticker	Company	Country	Mkt. Cap.	P/E			P/B			EV/EBITDA			Div. Yield	ROE	Coverage Analyst
			(US \$mn)	F26	F27	F28	F26	F27	F28	F26	F27	F28	F26 (%)	F26 (%)	
Conglomerate (Petrochemicals)															
3407.T	Asahi Kasei	Japan	15,230	14.3 e	12.1 e	10.7 e	1.1 e	1.1 e	1.0 e	6.7 e	6.2 e	5.8 e	2.4% e	8.0% e	Takato Watabe
4005.T	Sumitomo Chemical	Japan	5,248	8.7 e	6.5 e	5.6 e	0.8 e	0.7 e	0.7 e	6.3 e	5.5 e	5.4 e	4.6% e	9.5% e	Takato Watabe
4042.T	Tosoh	Japan	5,123	13.7 e	12.8 e	11.2 e	1.0 e	0.9 e	0.9 e	6.6 e	6.5 e	6.3 e	3.7% e	7.1% e	Takato Watabe
4183.T	Mitsui Chemicals	Japan	4,820	12.8 e	8.3 e	6.8 e	0.8 e	0.8 e	0.7 e	7.8 e	6.5 e	5.9 e	3.6% e	6.3% e	Takato Watabe
4188.T	Mitsubishi Chemical Group	Japan	9,759	13.1 e	11.7 e	10.1 e	0.9 e	0.8 e	0.8 e	7.0 e	6.7 e	6.3 e	2.8% e	6.7% e	Takato Watabe
DOW.N	Dow	USA	21,951	-	15.7 e	16.6 e	1.3 e	1.3 e	1.3 e	5.9 e	6.0 e	5.8 e	4.6% e	10.6% e	Vincent Andrew s
DD.N	DuPont De Nemours	USA	-	-	-	-	-	-	-	-	-	-	-	5.3% e	Vincent Andrew s
051910.KS	LG Chem	S. Korea	11,982	-	35.3 e	19.7 e	0.6 e	0.5 e	0.5 e	6.8 e	5.1 e	4.4 e	-	-	Young Suk Shin
CTVA.N	Corteva	USA	57,546	22.6 e	20.9 e	18.2 e	2.3 e	2.2 e	2.2 e	13.4 e	12.0 e	10.6 e	0.8% e	6.9% e	Vincent Andrew s
BASFn.DE	BASF	Germany	48,971	14.2 e	17.3 e	18.9 e	1.2 e	1.2 e	1.2 e	7.2 e	7.3 e	7.5 e	5.0% e	8.2% e	Thomas Wrigglesw orth
EVKn.DE	Evonik	Germany	8,893	10.0 e	10.5 e	10.6 e	0.9 e	0.9 e	0.9 e	6.0 e	6.0 e	6.0 e	4.8% e	9.1% e	Thomas Wrigglesw orth
Petrochemical				14.9 e	17.2 e	14.3 e	1.1 e	1.1 e	1.2 e	7.5 e	6.9 e	6.6 e	3.0% e	5.3% e	
CEN	Celanese	USA	5,251	7.9 e	7.7 e	6.6 e	1.1 e	1.0 e	0.9 e	7.5 e	7.1 e	6.6 e	0.2% e	10.4% e	Vincent Andrew s
LYB.N	LyondellBasell	USA	18,784	5.9 e	7.7 e	11.1 e	1.6 e	1.4 e	1.3 e	4.9 e	5.2 e	6.1 e	4.7% e	28.6% e	Vincent Andrew s
WLK.N	Westlake	USA	9,725	21.9 e	30.6 e	62.3 e	1.1 e	1.1 e	1.2 e	6.4 e	6.9 e	7.9 e	3.0% e	5.3% e	Vincent Andrew s
2010.SE	SABIC	Saudi Arabia	41,952	33.0 e	18.6 e	14.3 e	1.3 e	1.3 e	1.3 e	10.9 e	8.6 e	7.4 e	5.7% e	3.8% e	Ricardo Rezende
PTTGC.BK	PTT Global Chemicals	Thailand	4,678	-	17.2 e	14.4 e	0.5 e	0.5 e	0.5 e	7.5 e	6.2 e	5.5 e	1.4% e	2.0% e	Mayank Maheshw ari
Electronic Chemicals				18.0 e	19.5 e	-	3.0 e	2.9 e	-	11.9 e	10.8 e	-	2.0% e	11.5% e	
3405.T	Kuraray	Japan	3,221	15.7 e	12.6 e	10.8 e	0.7 e	0.6 e	0.6 e	5.2 e	5.0 e	4.8 e	3.8% e	4.3% e	Takato Watabe
3436.T	SUMCO	Japan	11,102	-	138.1 e	59.8 e	3.3 e	3.3 e	3.1 e	16.8 e	15.2 e	13.4 e	0.4% e	(4.8%) e	Takato Watabe
4021.T	Nissan Chemical	Japan	6,557	20.3 e	19.5 e	18.9 e	3.9 e	3.7 e	3.5 e	12.2 e	11.6 e	11.2 e	2.7% e	19.9% e	Takato Watabe
4205.T	Zeon	Japan	2,632	11.2 e	10.7 e	9.7 e	1.1 e	1.0 e	1.0 e	7.0 e	6.6 e	6.4 e	3.6% e	9.8% e	Takato Watabe
4980.T	Dexerials	Japan	4,063	23.8 e	20.6 e	18.1 e	5.4 e	4.9 e	4.4 e	15.4 e	13.1 e	11.3 e	1.6% e	24.0% e	Takato Watabe
6988.T	Nitto Denko	Japan	13,420	15.8 e	14.5 e	13.0 e	1.8 e	1.7 e	1.6 e	7.2 e	7.0 e	6.6 e	2.0% e	11.5% e	Takato Watabe
Fine Chemicals (Specialty Chemicals)				13.6 e	16.3 e	13.9 e	1.0 e	1.0 e	1.0 e	7.6 e	7.1 e	6.6 e	3.1% e	6.7% e	
3002.T	Gunze	Japan	783	25.3 e	19.3 e	16.0 e	1.1 e	1.1 e	1.1 e	7.7 e	6.5 e	5.7 e	5.4% e	4.4% e	Takato Watabe
3401.T	Teijin	Japan	1,975	7.6 e	19.4 e	15.6 e	0.8 e	0.8 e	0.8 e	4.7 e	6.9 e	6.3 e	3.0% e	11.0% e	Takato Watabe
3402.T	Toray	Japan	10,249	14.3 e	11.0 e	9.1 e	0.9 e	0.8 e	0.8 e	8.3 e	7.4 e	6.8 e	2.3% e	6.2% e	Takato Watabe
4631.T	DIC	Japan	2,647	12.4 e	13.2 e	12.2 e	0.9 e	0.8 e	0.8 e	7.4 e	7.3 e	7.0 e	3.1% e	7.2% e	Takato Watabe
SOLB.BR	Solvay	Belgium	3,169	12.9 e	12.0 e	12.3 e	2.5 e	2.6 e	2.7 e	6.4 e	6.2 e	6.3 e	9.2% e	15.6% e	Thomas Wrigglesw orth
DSFIR.AS	DSM-Firmenich AG	Netherlands	24,806	24.5 e	22.0 e	20.5 e	1.2 e	1.2 e	1.2 e	14.2 e	13.0 e	12.1 e	3.0% e	2.5% e	Lisa De Neve
Industrial Gas				21.1 e	20.2 e	-	3.0 e	2.8 e	-	13.1 e	11.8 e	-	7.7% e	14.4% e	
AIRP.PA	Air Liquide	France	124,229	-	-	-	-	-	-	-	-	-	-	14.4% e	Thomas Wrigglesw orth
4091.T	Nippon Sanso HD	Japan	16,202	19.1 e	19.1 e	-	2.0 e	1.8 e	-	9.7 e	9.5 e	-	1.1% e	10.8% e	Ryoichi Watanabe

e = Morgan Stanley Research estimates Note: Mkt Cap is as of 13 July, 2026, EPS estimates are our MW base. Source: Bloomberg, Morgan Stanley Research

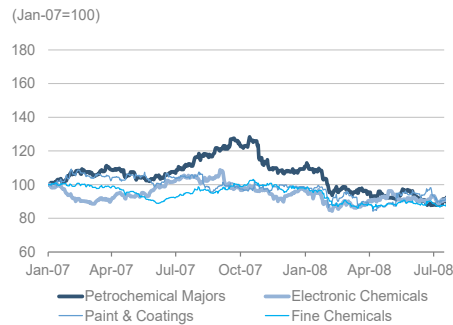
Stock Selection During Periods of Rising Crude Oil Prices

Uptrend in crude oil price in four past periods

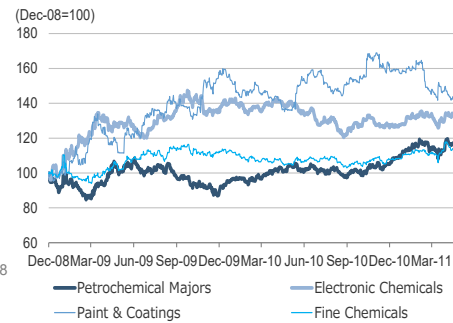


Performance by industry

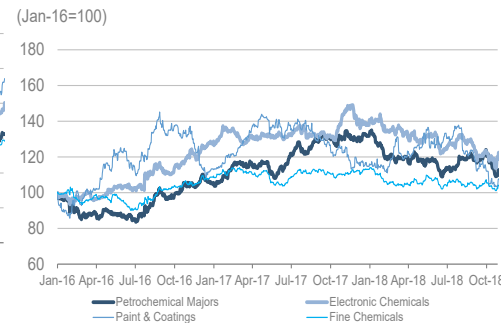
① Jan 2007-Jul 2008



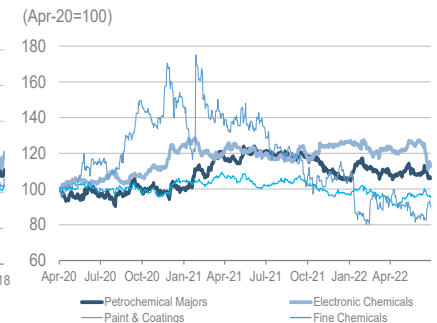
② Dec 2008-Apr 2011



③ Jan 2016-Oct 2018



④ Apr 2020-June 2022



Source: Bloomberg, Morgan Stanley Research

Petrochemical majors: Industry view: Attractive

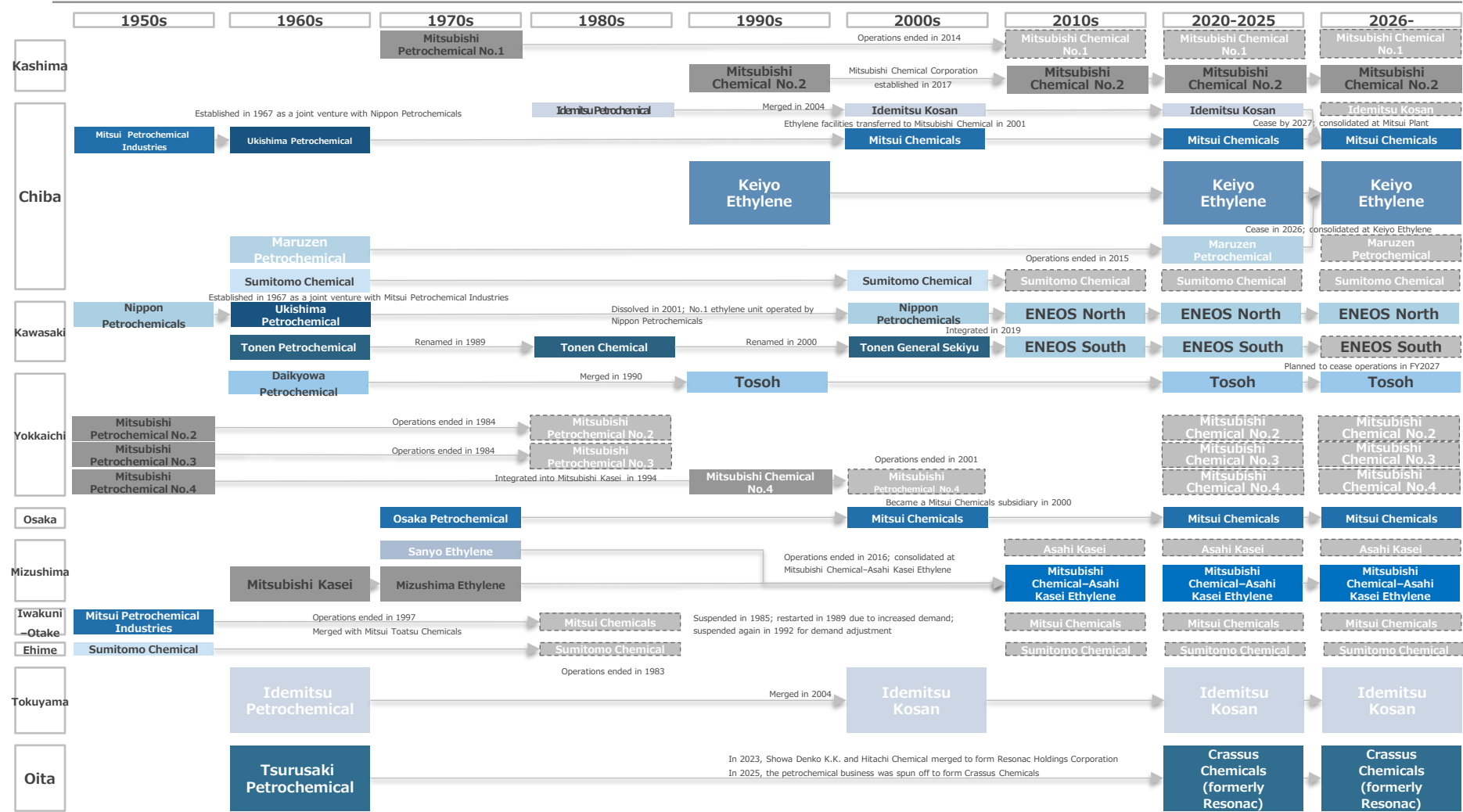
Petchem demand, ethylene utilization rate remain weak, but heading for bottom. In addition to China's anti-involution policies, there are signs of naphtha cracker downsizing in South Korea; we believe the overall mood is improving. Asian petchem prices and spreads look to have bottomed. Industry reorganization has begun and momentum is set to increase. We look for petchem prices to surge in the near term, given the situation in the Middle East. Investment indicators remain low, with stocks looking undervalued overall. Investment appeal in Sumitomo Chemicals, as it concentrates management resources to accelerate growth in the agrochemicals and IT-related sectors. Our preferred names are Sumitomo Chemical, Mitsui Chemicals and Asahi Kasei.

OW	4005	Sumitomo Chem	We expect F3/28 core OP to set its first record in around 10 years. We anticipate continued profit growth beyond market forecasts. Petrochemicals restructuring intended to complete over 3-year horizon. We regard the stock as deeply undervalued in view of the medium-term agrochemicals & semiconductor-related growth potential. Strong valuation appeal, OW.
	4183	Mitsui Chemicals	Anticipate 2-digit profit growth on higher growth business earnings/improving petchem profitability. Medium-term, we look for petchem business spin-off and higher multiples. Stock looks undervalued; OW.
	3407	Asahi Kasei	Healthcare business is on an earnings growth trend. Portfolio is evolving with petchem restructuring. We expect efforts to redress the book value discount, and with appealing valuations (P/E ~14.3x on our F3/27e), we stay OW.
EW	4188	Mitsubishi Chem	We expect continued profit growth toward F3/28. The stock does not appear undervalued from a relative industry basis. There is no compelling growth story (semiconductor-related core OP comes to only around ¥10bn even combining materials, water treatment, and advanced engineering plastics materials); rate EW.
	4042	Tosoh	Fundamentals weaker than expected but share price supported by high returns yield. We stay EW.

	Rating	Share price (¥)	Price target (¥)	P/E (x)			P/CF (x)			EV/EBITDA (x)			P/B (x)			Dividend yield (%)			Mkt cap	FX Sensitivity for OP (¥bn)		FX Sensitivity vs F26 MS (core) OP		Company FX assumptions (F26)	
		(13-Jul)		F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	(¥bn)	vs. USD	vs. EUR	vs. USD	vs. EUR	(¥/USD)	(¥/EUR)
Petrochemical Majors																									
3407 Asahi Kasei	OW	1,816	2,200	14.3	12.1	10.7	6.3	5.8	5.4	6.7	6.2	5.8	1.1	1.1	1.0	2.4	2.9	3.2	2,462.6	1.6	0.1	0.6%	0.0%	150.0	175.0
4005 Sumitomo Chemical	OW	519	850	8.7	6.5	5.6	3.9	3.4	3.1	6.3	5.5	5.4	0.8	0.7	0.7	4.6	4.8	5.4	857.1	2.0	-	0.8%	-	155.0	-
4042 Tosoh	EW	2,691	2,900	13.7	12.8	11.2	7.4	7.0	6.5	6.6	6.5	6.3	1.0	0.9	0.9	3.7	3.7	3.7	828.4	0.5	0.2	0.5%	0.2%	-	-
4183 Mitsui Chemicals	OW	2,070	2,900	12.8	8.3	6.8	4.0	3.3	3.1	7.7	6.4	5.8	0.8	0.8	0.7	3.6	4.1	4.8	762.0	0.8-0.9	-	0.7%	-	155.0	-
4188 Mitsubishi Chemical Group	EW	1,162	1,250	13.1	11.7	10.1	3.9	3.8	3.6	6.2	6.0	5.7	0.9	0.8	0.8	2.8	3.0	3.4	1,578.0	1.1	-	0.4%	-	150.0	-
Petrochemical Majors average	Attractive			12.9	10.7	9.5	5.0	4.7	4.5	6.6	6.1	5.7	1.0	0.9	0.9	-	-	-	-	-	-	-	-	-	-

e = Morgan Stanley Research estimate, Source: Company data, FactSet, Morgan Stanley Research

Too many Japanese petrochemical companies: Industry restructuring needed



Source: Company data, Morgan Stanley Research

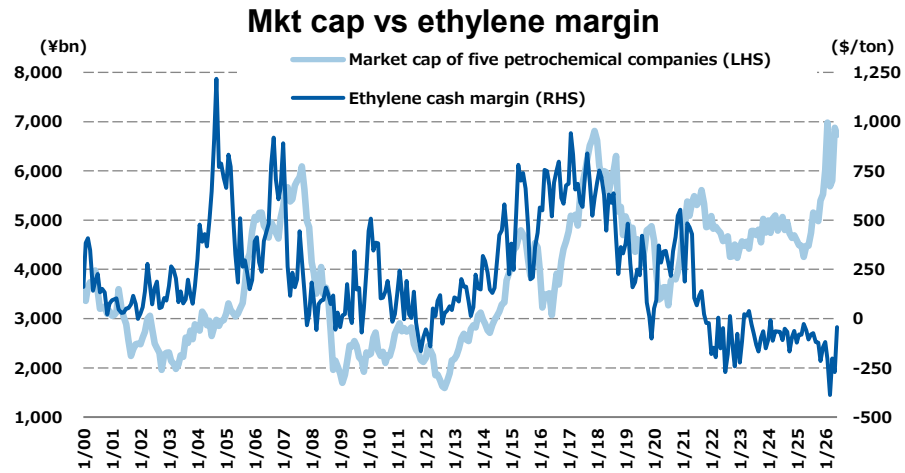
Supply/demand for petrochemicals has worsened further as ethylene production in China has surged since 2020. Reconsolidation momentum in Japan's petchem industry is gaining steam. Industry is shifting business structures from a focus on basic chemicals (vulnerable to economic swings) to high-margin functional chemicals (relatively insulated from economic waves).

2026~

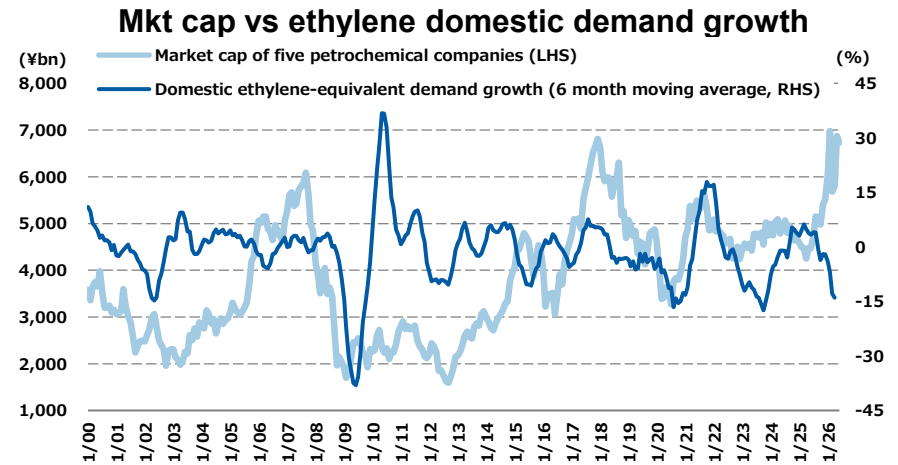
Mitsubishi Chemical Group •Acquisition of Qualicaps, Taiyo Nippon Sanso, NSCI •Stoppage of Kashima C2 1 •Sale of Chinese TPA biz •JV integration of Mizushima naphtha cracker	•Acquisition of Mitsubishi Tanabe Pharma •Kashima complex LLP created •Sale of alumina fiber biz (crystalline material) •Sale of Lucite Japan, Qualicaps, Indonesia PTA •Exit of dicago Inc biz	•Acquisition of C.P.C. SRL •Stoppage of Otake MMA・AN, Kurosaki BPA •Domestic carbon biz production optimization begins •Potential stoppage of US MMA project •Sells Mitsubishi Tanabe Pharma •Evaluating possible consortium for phenol products (stable supply) (Mitsui, Mitsubishi)	•Announcement of the dissolution of the Taiwan MMA JV
Mitsui Chemicals •Acquisition of ARRK •Indonesia PTA pullout •Stoppage of Ichihara PE2, PP1, Chiba PH, Ichihara BPA, SG JV BPA1, Omuta MDI, Kashima TDI •Partial divestment of Thailand PTA, PET biz •Keiyo Ethylene spin-off, •High-performance PE equipment, PP catalyst online, New plant for AC-based IPA in Osaka	•Acquisition of Honshu Chemical, Meiji Seika's pharma agrichem biz •Opens PP compound center (Netherlands) •Stoppage of Iwakuni, Otake PTA •SG PH business sold •Establishes the TAFMER Plant •Mitsui Chem acquires Asahi Kasei pellicle biz •Stoppage of Ichihara PP1, Iwakuni & Otake PET •AC-based IPA capacity increase •TOHCELLO restructuring •TDI capacity optimization •Nonwoven fabric biz jointly established (Mitsui Chem, Asahi Kasei)	•Stoppage of Ichihara PH •Chiba ethylene facility production optimization begins with Idemitsu Kosan) (Ichihara PP1 stoppage disclosed) •(Korea) Kumho MDI capacity increase •High-performance PP construction completion •Announces start of consideration of spin-off to promote Partnerships & integration/ reorganization in B&GM •Announces exit from Chinese Phenol-related JV	•Acquisition of Ultradent, a U.S. dental materials company
Asahi Kasei	•Acquisition of Cardiac Science (US), Veloxis (US), McDonald Jones (Aus), Itamar (Israel), Respicardia (US), Adient's (US), automotive fabric biz •MCNS dissolved	•Acquires of Calliditas (Sweden) •Announces Lib separator investment (Canada) •Thailand AN withdrawal •Announces withdraw/suspend supplies in Kawasaki Works as MMA monomer, cyclohexyl methacrylate, acrylic resin, SB latex and acrylonitrile	•Announcement of the restructuring of certain derivative product biz at the Mizushima Plant
Sumitomo Chemical •Acquisition of Tanaka Chemical •Stoppage of Ichihara C2 •SCIOCS established	•Acquisition of Sanritz, Roivant, Nufarm's (Aus) South American agrichem biz •Spins off domestic CPL biz •Buys Hitachi Metals compound semi materials biz. Establishes SCIOCS •Stoppage of Sodegaura EPDM •Acquisition of Myovant	•Sells partial stake in Petro Rabigh •Sells Roivant (UK) •Transfer of PLASIST •SG MMA capacity cut •Starts to evaluate streamlining at Keiyo Ethylene •Agrees to close Maruzen manufacturing facility, consolidating production at Keiyo Ethylene	•Announcement of the restructuring of certain derivative product biz at the Mizushima Plant

Source: Company data, Morgan Stanley Research

Ethylene margin and market cap of major petrochemical companies



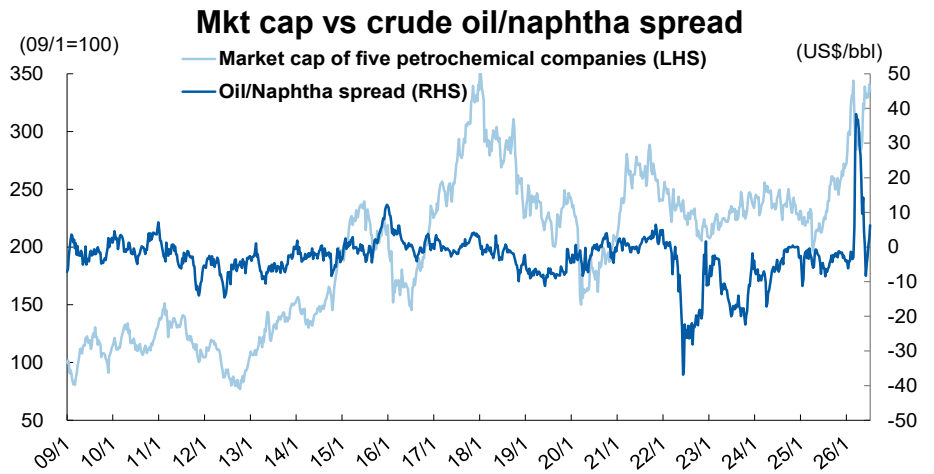
Source: Bloomberg, MoF, Morgan Stanley Research



Source: Bloomberg, METI, Morgan Stanley Research



Source: Bloomberg, Morgan Stanley Research

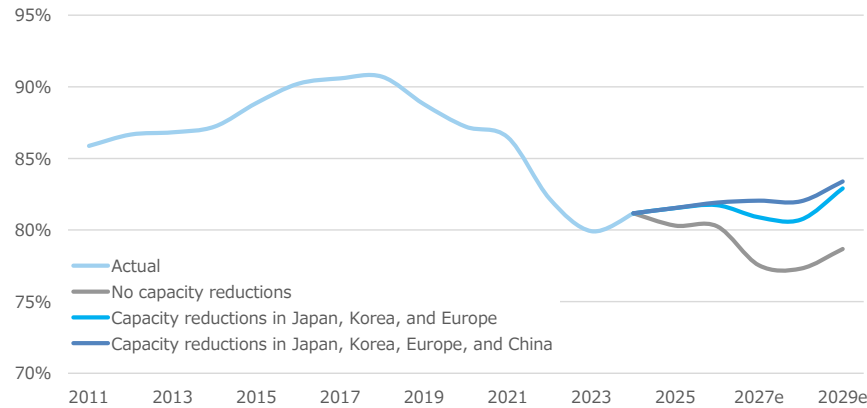


Source: Bloomberg, Morgan Stanley Research

Global ethylene supply/demand

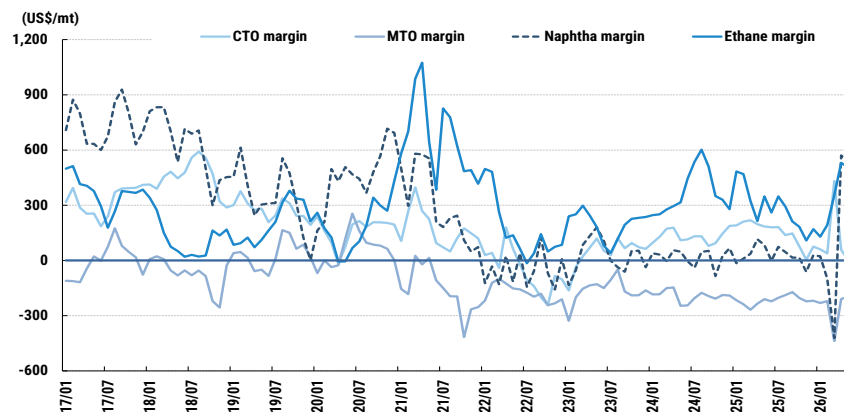
Global ethylene operating rate

Utilization bottomed out in 2023, now on a modest upward trend



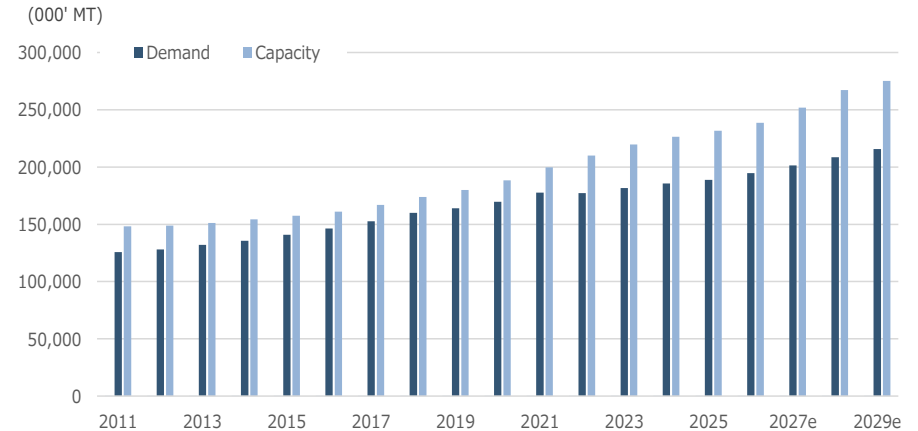
Ethylene margins by various feedstock

MTO cost competitiveness depends on integrated production of coal

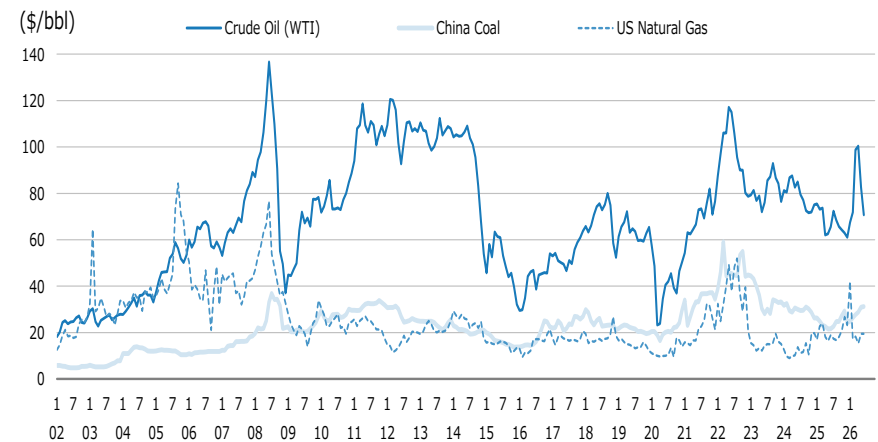


e = Morgan Stanley Research estimates; Source: IHS, Bloomberg, Morgan Stanley Research

Global ethylene supply/demand



Coal, Crude oil, Natural gas (oil equivalent)



**Domestic ethylene capacity utilization/commodity resins net export trend:
With weak domestic demand, ethylene capacity utilization is low**

Changes in Japan's ethylene production

Significant gap between production volume and domestic demand since the 1990s

(1,000ton)

Disposal of plants enforced by Industrial Revitalization Law (IRL, 1983)

Removal of IRL restriction (1987)

Ethylene capacity

Ethylene production

Ethylene converted domestic demand

90s

S/D gap is attributed to gap between capacity and production

S/D gap is attributed to gap between domestic demand and production

(%)

Ethylene Operation

110

100

90

80

70

60

50

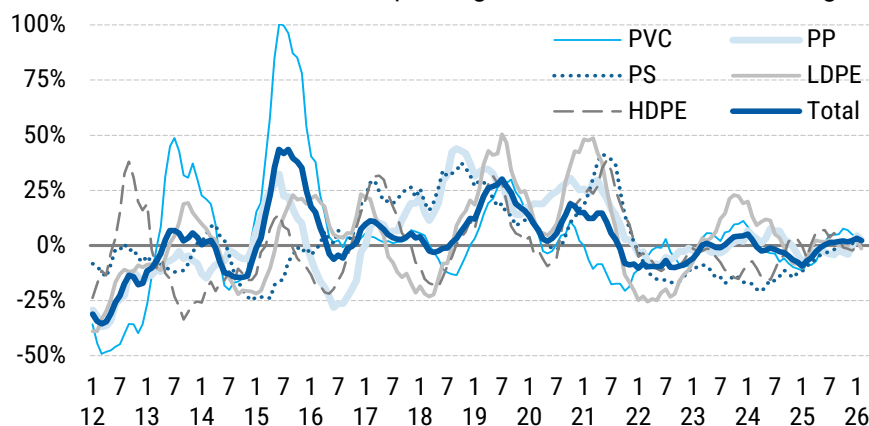
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e = Morgan Stanley Research estimates; Source: METI, Morgan Stanley Research

e = Morgan Stanley Research estimates; Source: METI, Morgan Stanley Research

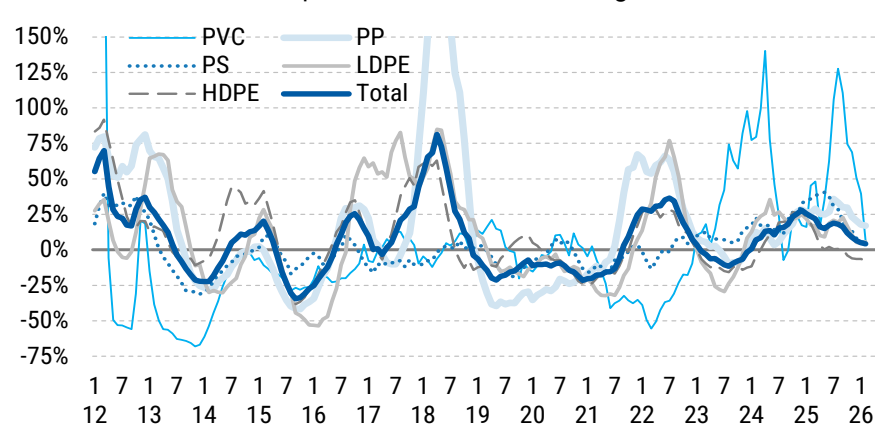
Commodity resins export vol. YoY trend (6mo average)

Difference in movements depending on the resin, but still declining



Commodity resins import vol. YoY trend (6mo average)

Imports overall are moderating



Source: MoF, Morgan Stanley Research

Progress on restructuring at olefin complexes

1 Kashima Mitsubishi No.2

Year of Startup : 1992
Annual Capacity (Mil. Ton)
Turnaround : 485.0, N/A : 564.0

2 Chiba Maruzen Petrochem

Year of Startup : 1969
Annual Capacity (Mil. Ton)
Turnaround : 480.0, N/A : 525.0

3 Chiba Keiyo Ethylene

Year of Startup : 1994
Annual Capacity (Mil. Ton)
Turnaround : 690.0, N/A : 768.0

4 Chiba Mitsui Chem.

Year of Startup : 1973
Annual Capacity (Mil. Ton)
Turnaround : 553.0, N/A : 612.0

5 Chiba Idemitsu Kosan

Year of Startup : 1985
Annual Capacity (Mil. Ton)
Turnaround : 374.0, N/A : 414.0

6 Kawasaki ENEOS

Year of Startup : 1967
Annual Capacity (Mil. Ton)
Turnaround : 404.0, N/A : 448.0

7 Kawasaki ENEOS

Year of Startup : 1971
Annual Capacity (Mil. Ton)
Turnaround : 491.0, N/A : 540.0

8 Yokaichi Tosoh

Year of Startup : 1972
Annual Capacity (Mil. Ton)
Turnaround : 493.0, N/A : 527.0

9 Osaka Mitsui Chem.

Year of Startup : 1970
Annual Capacity (Mil. Ton)
Turnaround : 455.0, N/A : 500.0

10 Mizushima Mitsubishi Chem Asahi Kasei Ethylene

Year of Startup : 1970
Annual Capacity (Mil. Ton)
Turnaround : 496.0, N/A : 567.0

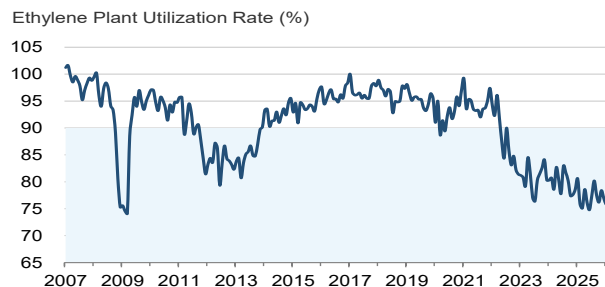
11 Tokuyama Idemitsu Kosan

Year of Startup : 1964
Annual Capacity (Mil. Ton)
Turnaround : 623.0, N/A : 689.0

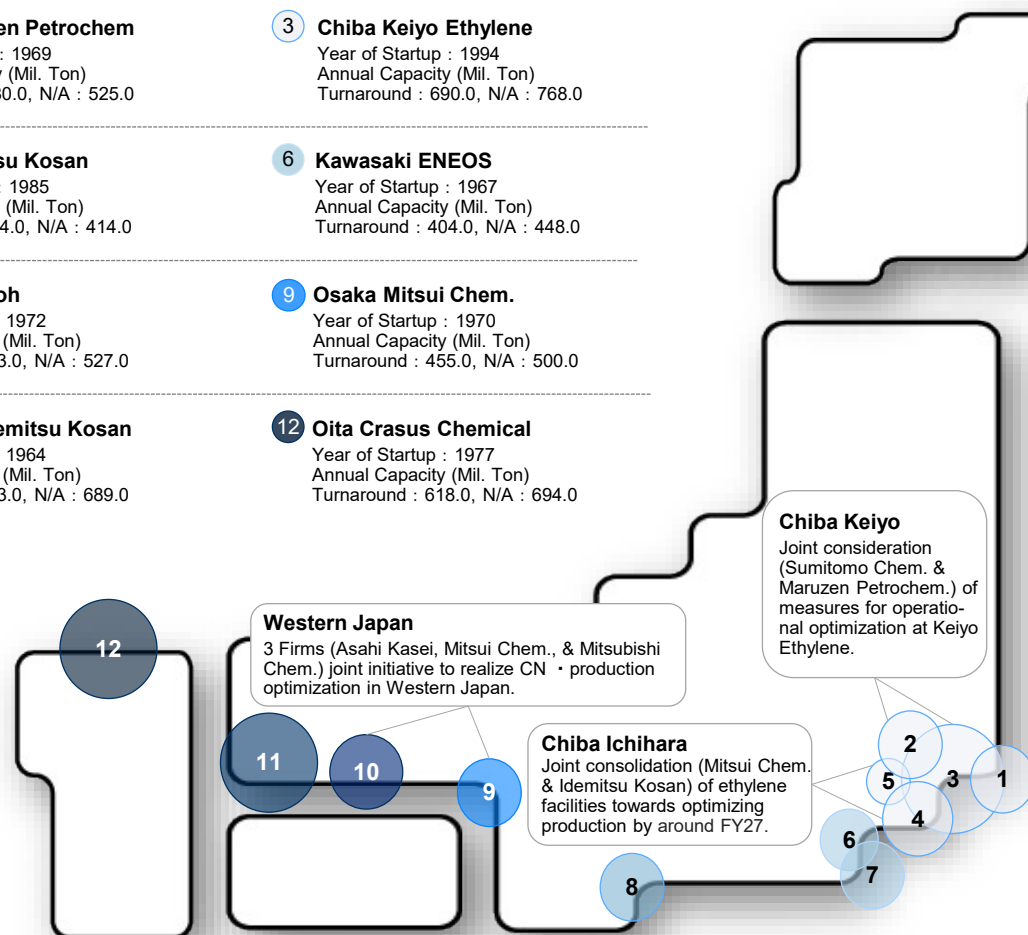
12 Oita Crasus Chemical

Year of Startup : 1977
Annual Capacity (Mil. Ton)
Turnaround : 618.0, N/A : 694.0

Domestic Ethylene op rate (with overhaul impact)



Source: Company data, Chemicals Handbook, Morgan Stanley Research



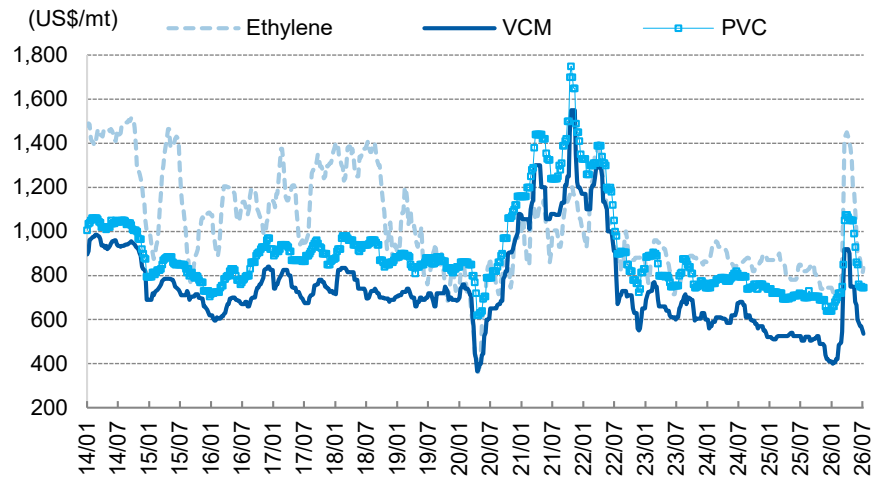
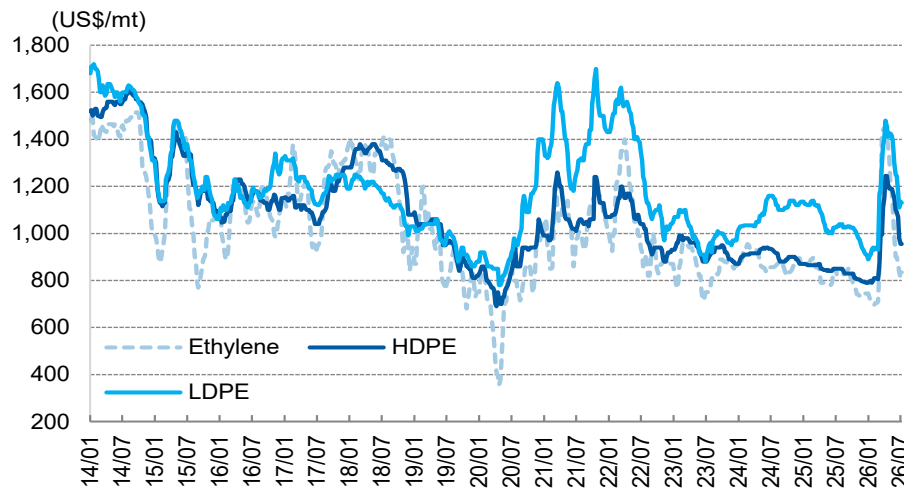
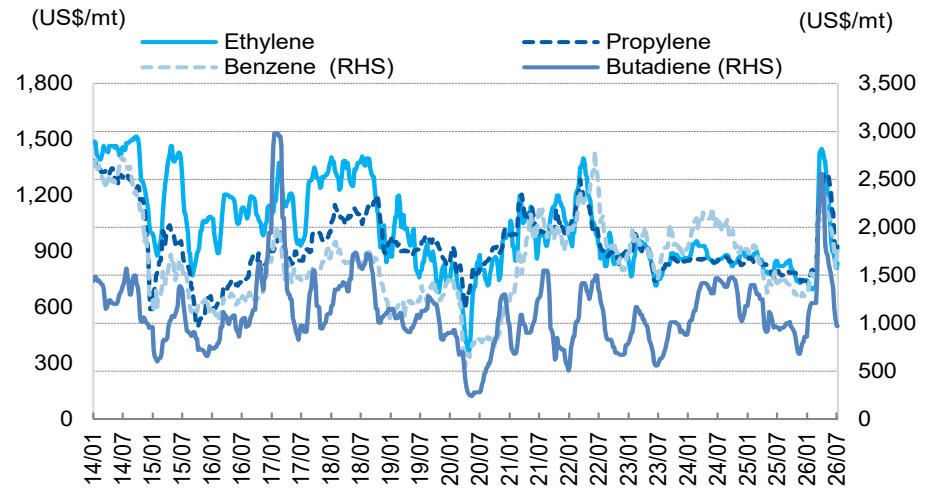
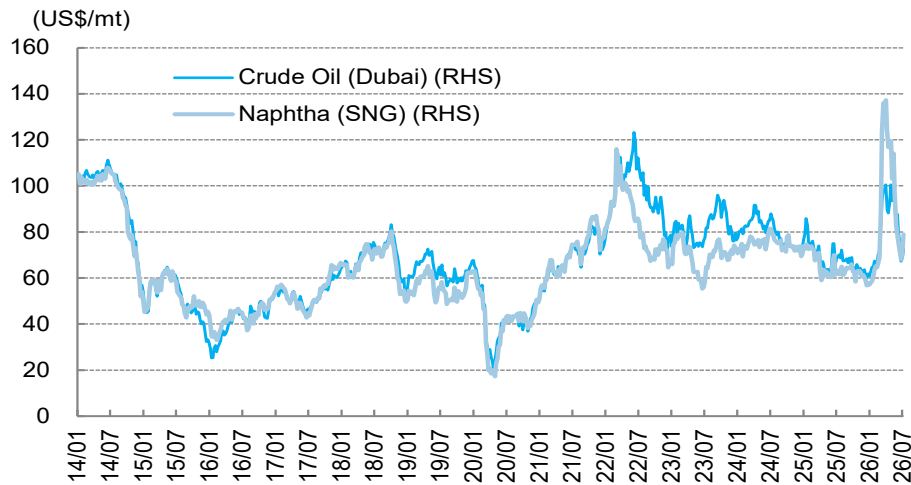
Progress on restructuring at olefin complexes

Region	Company	Year of Annual Capacity (mt)			Major derivatives consuming C2/C3	Progress on structural reforms
		Startup	Turnaround	N/A		
Kashima	Mitsubishi No.1	1971	343,000	392,000	C2: EO, VCM (Kashima VCM), C3: cumene, PP (Japan Polypro)	Closed in May 2014
	Mitsubishi No.2	1992	485,000	564,000		add 50kt at the end of 2013, OCU (C3 150kt) came online in 2009
Chiba	Idemitsu	1985	374,000	414,000	C2: PE (shutdown in 2013), SM, C3: PP	LLP alliance with Mitsui (Chiba)
	Mitsui	1973	553,000	612,000	C2: PE (Prime Polymer), C3: PP (Prime Polymer), Phenol	achieve efficient ops at 70% rate from 7/13 Close the Idemitsu facility as both firms start to utilize Mitsui Chem. facilities by around FY27
	Keiyo Ethylene	1994	690,000	768,000	Maruzen (55%), Sumitomo (22.5%), Mitsui (22.5%)	By the end of 2015, Maruzen no change from 55%, Mitsui 22.5%→0%, Sumitomo 22.5%→45% Joint consolidation (Sumitomo Chem. & Maruzen Petrochem.) of measures for operational optimization at Keiyo Ethylene Plan to shut down Maruzen Petrochemical's own ethylene manufacturing equipment and consolidate production at Keiyo Ethylene by around FY26
	Sumitomo	1970	380,000	415,000	C2: PE, SM, C3: PP, PO SM/PO (Nihon Oxirane 5/15 disolves)	Permanent shutdown (May 2015), investment ratio of Keiyo Ethylene increased from 22.5% to 45%
	Maruzen	1969	480,000	525,000	C2: PE, SM (Chiba SM), EO, VCM (Keiyo Monomer), C3: PP, Octanol	Plan to shut down Maruzen Petrochemical's own ethylene manufacturing equipment and consolidate production at Keiyo Ethylene by around FY26 no change on stockholding ratio)
Kawasaki	ENEOS	1971	491,000	540,000	C2: PE (50kt shutdown in 4/14), C3: PP, AN, export	Japan Polyethene HDPE 50kt shut down in 4/14, considering shutting down one of the two facilities
	ENEOS	1967	404,000	448,000	C2: PE (Japan Polyethylene), EO (Nippon Shokubai), C3: PP, IPA, export	Enhance petrochemical exports, considering shutting down one of the two facilities
Yokkaichi	Tosoh	1972	493,000	527,000	C2: PE, EO, VCM, C3: Oxo-alcohol (Kyowa Hakko Chemical), cumene, PP	
Osaka	Mitsui	1970	455,000	500,000	C2: EO, VCM (Kaneka, Tosoh), C3: PP (Prime Polymer), phenol	IPA 60kt (acetone method) came online as part of PH chain consolidation in 4/13 procure cold energy from Osaka Gas and conserve 13k kl/annual in crude oil term 3 firms (Asahi Kasei, Mitsui Chem. & Mitsubishi Chem.) joint initiatives to realize CN - production optimization in Western Japan
Mizushima	Asahi Kasei	1972	443,000	504,000	C2: PE, SM (3/16, shutdown 1 line 320kt) , C3: AN	procure residual fraction from JX FCC and obtain 2/3 of energy needed Shutdown in 2016 spring, obtain 50% stake in Mitsubishi's Mizushima ethylene
	Mitsubishi Chemical Asahi Kasei Ethylene	1970	496,000	567,000	C2: PE (Japan Polyethylene), VAM, C3: PP, AN, oxoalchol	obtain 50% stake in Mitsubishi's Mizushima ethylene alliance LLP with Asahi Kasei Mizushima, give out 50% stake to Asahi Kasei 3-firm (Asahi Kasei, Mitsui Chem, Mitsubishi Chem) joint initiative for CN production optimization in Western Japan, moving to establish LLP
Tokuyama	Idemitsu	1964	623,000	689,000		oil refinery shutdown in 3/14; focus more on petrochemical
Oita	Crasus Chemical (Resonac)	1977	618,000	694,000	C2: PE (Japan Polyethylene), SM, export, C3: PP, export	NS Styrene Monomer replaced No.2 SM unit (190kt) commercial production of ethylene-based acetaldehyde kicked off in 2016 Resonac's petrochemical business was spun off as 'Crasus Chemical' in January 2025
Total (2023)			6,162,000	6,848,000		

Note: In red: companies already closed ethylene plants; "export" under major derivatives means high export ratio of C2/C3. In blue: companies already announced structural reforms of ethylene plants

Source: Company data, Chemicals Handbook, Morgan Stanley Research

Asia spot prices for major petchem products (basic materials/intermediates/synthetic resins) on a weekly basis (2014~)



Source: Bloomberg, MoF, Morgan Stanley Research

Sumitomo Chemical (4005, Overweight, PT ¥850): Consolidated earnings

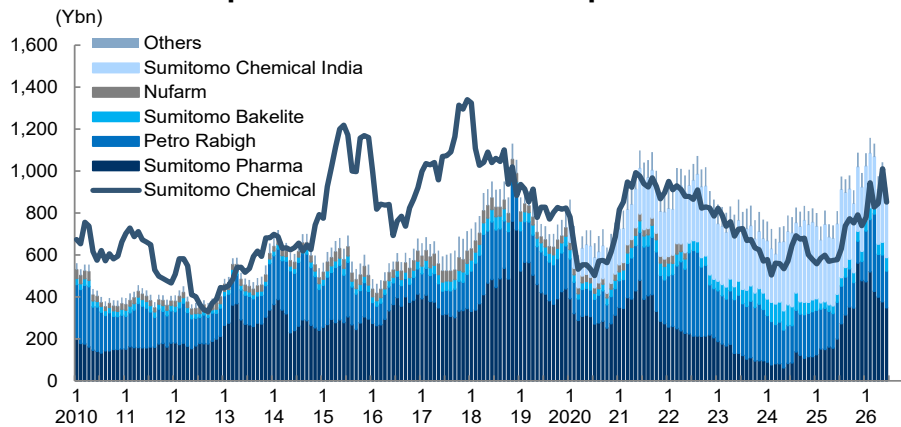
	FY3/26					FY3/27Ce (As of May 14)	FY3/27e					FY3/28e	FY3/29e		F3/25 (IFRS)	F3/26 (IFRS)	F3/27e (IFRS)	F3/28e (IFRS)	F3/29e (IFRS)
	1Q	2Q	3Q	4Q	Full	Full	1Q	2Q	3Q	4Q	Full	Full	Full	B/S analysis					
Sales (¥mil)																			
Agro & Life Solutions	96,915	116,056	133,893	172,392	519,256	560,000	106,000	124,000	141,000	182,000	553,000	578,000	606,000	Cash & securities	254,853	256,140	256,211	256,507	256,483
ICT & Mobility Solutions	137,412	146,070	148,303	142,377	574,162	590,000	144,000	150,000	152,000	138,000	584,000	608,000	630,000	Receivables	593,836	608,670	609,071	628,071	634,173
Advanced Medical Solutions	9,086	12,056	14,486	22,973	58,601	60,000	9,500	12,500	15,000	24,000	61,000	63,000	65,000	Inventories	625,243	595,471	589,639	601,064	599,714
Essential & Green Materials	165,379	163,765	181,842	167,814	678,800	560,000	162,000	136,000	146,000	129,000	573,000	552,000	565,000	Other current assets	109,202	47,429	47,429	47,429	47,429
Sumitomo Pharma	107,362	118,709	120,346	105,516	451,933	540,000	110,500	122,000	184,500	127,000	544,000	614,000	600,000	Current assets	1,583,134	1,507,710	1,502,350	1,533,072	1,537,799
Others	9,986	12,598	12,063	11,116	45,763	50,000	10,000	13,000	13,000	14,000	50,000	50,000	50,000	Tangible & intangible fixed asset	1,256,396	1,271,733	1,269,733	1,269,733	1,262,733
Total	526,140	569,254	610,933	622,188	2,328,515	2,360,000	542,000	557,500	651,500	614,000	2,365,000	2,465,000	2,516,000	Inv., loan & others	600,254	625,598	625,598	625,598	625,598
(% YoY)														Total assets	3,439,784	3,405,041	3,397,681	3,428,403	3,426,130
Agro & Life Solutions	-8.9	-2.1	-3.0	-2.7	-3.9	7.8	9.4	6.8	5.3	5.6	6.5	4.5	4.8	Short-term debt	334,256	305,159	280,012	259,296	230,969
ICT & Mobility Solutions	-10.0	-5.6	-3.6	-2.3	-5.4	2.8	4.8	2.7	2.5	-3.1	1.7	4.1	3.6	Payables	488,132	464,422	450,646	455,961	469,388
Advanced Medical Solutions	-31.0	-11.2	3.5	7.3	-5.7	2.4	4.6	3.7	3.5	4.5	4.1	3.3	3.2	Other liabilities	216,359	231,765	231,765	231,765	231,765
Essential & Green Materials	-26.5	-27.5	-18.1	-25.8	-24.5	-17.5	-2.0	-17.0	-19.7	-23.1	-15.6	-3.7	2.4	Current liabilities	1,038,747	1,001,346	962,423	947,022	932,122
Sumitomo Pharma	18.5	32.2	7.1	0.3	13.6	19.5	2.9	2.8	53.3	20.4	20.4	12.9	-2.3	Long-term debt	1,124,393	997,918	915,684	847,940	755,306
Others	-58.9	-52.5	-48.0	-56.9	-54.2	9.3	0.1	3.2	7.8	25.9	9.3	0.0	0.0	Other liabilities	202,229	169,104	169,104	169,104	169,104
Total	-14.0	-9.5	-7.9	-11.3	-10.7	1.4	3.0	-2.1	6.6	-1.3	1.6	4.2	2.1	Total liabilities	2,365,369	2,168,368	2,047,211	1,964,066	1,856,532
Operating profit (¥mil)														Equity	900,790	1,008,644	1,075,441	1,134,808	1,208,569
Agro & Life Solutions	2,219	9,008	16,872	28,235	56,334	65,000	12,500	9,500	17,000	29,000	68,000	70,000	88,000	Minority interest	173,625	228,029	275,029	329,529	361,029
ICT & Mobility Solutions	18,370	14,739	13,419	6,513	53,041	55,000	15,500	15,500	13,000	11,000	55,000	59,000	62,000	Total net asset	1,074,415	1,236,673	1,350,470	1,464,337	1,569,598
Advanced Medical Solutions	-1,024	-356	1,653	2,545	2,818	3,000	-1,000	0	1,500	2,500	3,000	4,000	8,000	Ratio analysis					
Essential & Green Materials	-5,463	-13,147	38,385	-5,329	14,446	20,000	25,000	7,000	3,000	0	35,000	16,000	27,000	Book value/share (¥)	550.4	610.8	651.2	708.6	775.4
Sumitomo Pharma	21,003	76,317	13,924	-2,800	108,444	94,000	9,000	10,000	64,500	22,500	106,000	142,000	96,000	Cash/share (¥)	155.7	155.1	155.1	160.2	164.6
Others	1,751	1,484	1,748	-589	4,394	4,000	-5,000	-5,000	-6,000	-6,000	-22,000	-24,000	-24,000	Equity ratio (%)	26.2	29.6	34.4	36.6	39.4
Elimination and corporate	-9,175	-7,010	-7,883	-7,033	-31,101	-26,000	-5,000	-5,000	-6,000	-6,000	-22,000	-24,000	-24,000	Debt/equity ratio	1.62	1.29	1.11	0.98	0.82
Core OP	27,681	81,035	78,118	21,542	208,376	215,000	56,000	37,000	93,000	59,000	245,000	267,000	257,000	Return on assets	6.1	5.3	7.2	8.4	8.1
Adjustment items	-2,229	-2,802	-1,387	-50,214	-56,632	-38,000	0	-5,000	-10,000	-23,000	-38,000	-15,000	-15,000	(%, business interests basis)					
Total	25,452	78,233	76,731	-28,672	151,744	177,000	56,000	32,000	83,000	36,000	207,000	252,000	242,000	Return on assets	1.1	1.8	2.9	3.8	4.3
(% YoY)														(%, net profit basis)					
Agro & Life Solutions	-55.0	-2.4	215.0	-20.4	2.5	15.4	463.3	5.5	0.8	2.7	20.7	2.9	25.7	Return on capital (%)	4.9	3.9	5.5	6.7	6.6
ICT & Mobility Solutions	-13.2	-34.2	-16.9	-39.9	-24.8	3.7	-15.6	5.2	-3.1	68.9	3.7	7.3	5.1	Return on equity (%)	4.1	6.4	9.5	11.7	12.5
Advanced Medical Solutions	-	-	94.9	-7.9	-28.9	6.5	-	-	-9.3	-1.8	6.5	33.3	100.0	Days of A/R	83.2	95.4	94.0	93.0	92.0
Essential & Green Materials	-	-	-	-	-	38.4	-	-	-92.2	-	142.3	-54.3	68.7	Days of inventory	87.6	93.3	91.0	89.0	87.0
Sumitomo Pharma	2,249.3	3,456.2	-34.8	-	206.9	-13.3	-57.1	-86.9	363.2	-	-2.3	34.0	-32.4	Number of employees	29,279	27,491	27,700	27,900	28,100
Others	-64.5	-89.8	-59.7	-	-93.4	-9.0	-	-	-	-	-	-	-	Shares O/S at EOY (mil)	1,636.7	1,651.4	1,651.4	1,601.4	1,558.6
Core OP	388.2	240.4	155.4	-73.2	48.3	3.2	102.3	-54.3	19.1	173.9	17.6	9.0	-3.7	CF analysis					
Total	121.3	-28.7	217.3	-	-21.4	16.6	120.0	-59.1	8.2	-	36.4	21.7	-4.0	F3/25 (IFRS)	F3/26 (IFRS)	F3/27e (IFRS)	F3/28e (IFRS)	F3/29e (IFRS)	
(Earnings from equity-method affiliates)														Net profit	38,591	60,947	99,000	129,000	147,000
(¥mil)	-9,826	-17,513	-15,873	-59	-43,271	-	12,000	15,000	2,000	1,000	30,000	14,000	13,000	Depreciation (+)	131,597	121,069	121,000	120,000	117,000
PBT														Receivables (-)	-21,964	-3,624	-401	-19,000	-6,101
(¥mil)	5,817	82,081	56,501	-28,331	116,068	-	54,000	30,000	81,000	32,000	197,000	246,000	238,000	Inventories (-)	56,532	38,564	5,832	-11,425	1,350
(% YoY)	-84.5	-	-20.0	-	99.8	-	828.3	-63.5	43.4	-	69.7	24.9	-3.3	Payables (+)	-6,113	-71,947	-13,776	5,315	13,427
Attributable to shareholders / NP														Others	34,384	89,750	47,000	54,500	31,500
(¥mil)	-4,523	44,222	47,664	-26,416	60,947	70,000	35,000	20,000	28,500	15,500	99,000	129,000	147,000	Operating CF	233,027	234,759	258,655	278,390	304,176
(% YoY)	-	-	-35.8	-	57.9	14.9	-	-54.8	-40.2	-	62.4	30.3	14.0	Purchase of PPE	-113,649	-117,323	-119,000	-120,000	-110,000
EPS (¥)	-2.8	27.0	29.1	-16.2	37.2	42.4	21.2	12.1	17.3	9.4	59.9	79.3	93.0	and intangible assets (-)	-113,649	-117,323	-119,000	-120,000	-110,000
Naphtha Price (¥/kl, domestic)	65,500	-	-	-	65,200	92,000	120,100	87,600	80,300	80,400	92,100	81,075	81,975	Investments, loan and others (-)	198,878	42,502	0	0	0
Dividends (¥)	-	-	-	-	13.5	16.0	-	-	-	-	24.0	25.0	28.0	Investment CF	85,229	-74,821	-119,000	-120,000	-110,000
														Debt (+)	-281,480	-173,389	-107,381	-88,460	-120,961
														Dividends (-)	-9,866	-19,680	-32,203	-39,634	-43,238
														Others	-9,432	-5,999	0	-30,000	-30,000
														Financial CF	-300,778	-199,068	-139,584	-158,094	-194,200
														Free cash flow	318,256	159,938	139,655	158,390	194,176
														DPS (¥)	9.0	13.5	24.0	25.0	28.0

Ce = Company estimates, e = Morgan Stanley Research estimates
Source: Company data, Morgan Stanley Research

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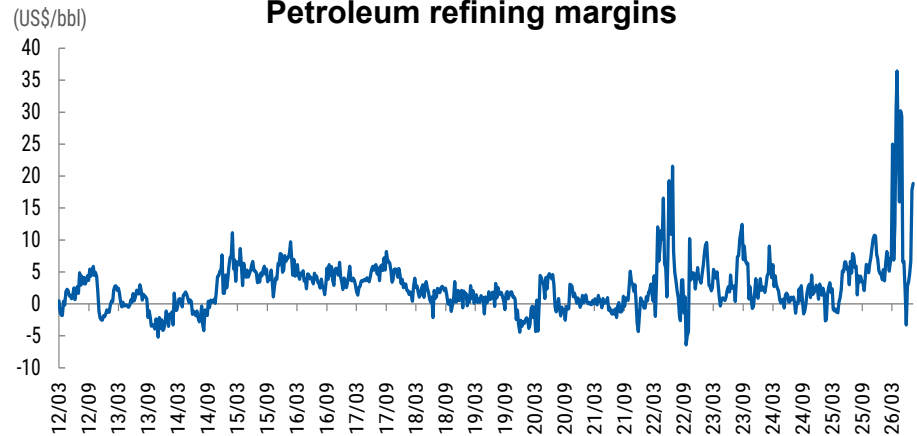
Sumitomo Chemical (4005): Market cap vs. total market cap of listed affiliates (adjusted for investment stakes), market-related product data

Mkt. cap and combined mkt. cap of sub/affiliates



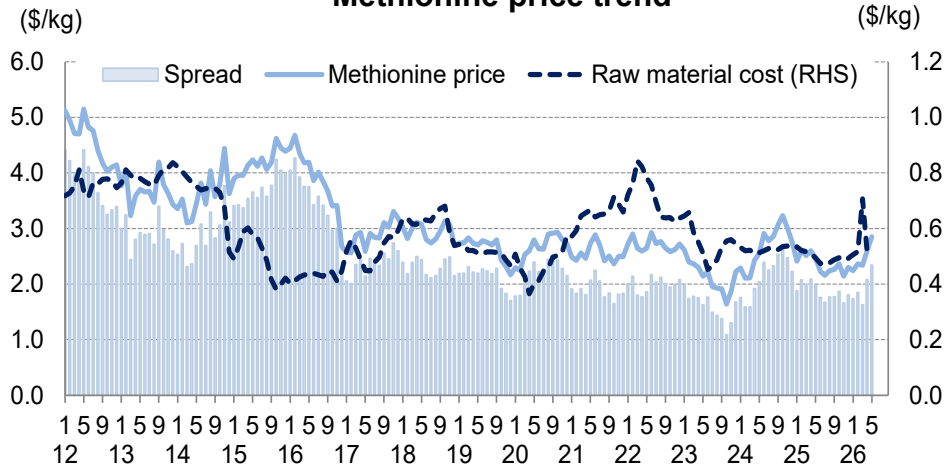
Source: FactSet, Morgan Stanley Research

Petroleum refining margins



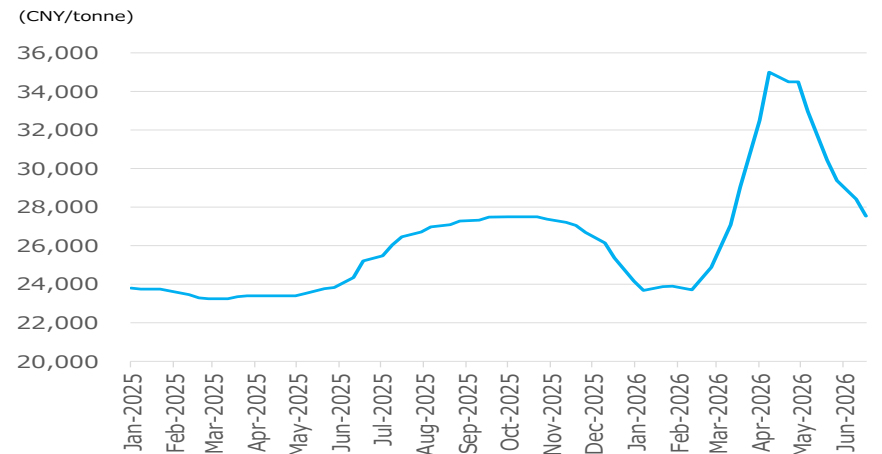
Source: Bloomberg, Morgan Stanley Research

Methionine price trend



Source: MoF, Morgan Stanley Research

China glyphosate price



Source: Bloomberg, Morgan Stanley Research

Mitsui Chemicals (4183, Overweight, PT ¥2,900): Consolidated earnings

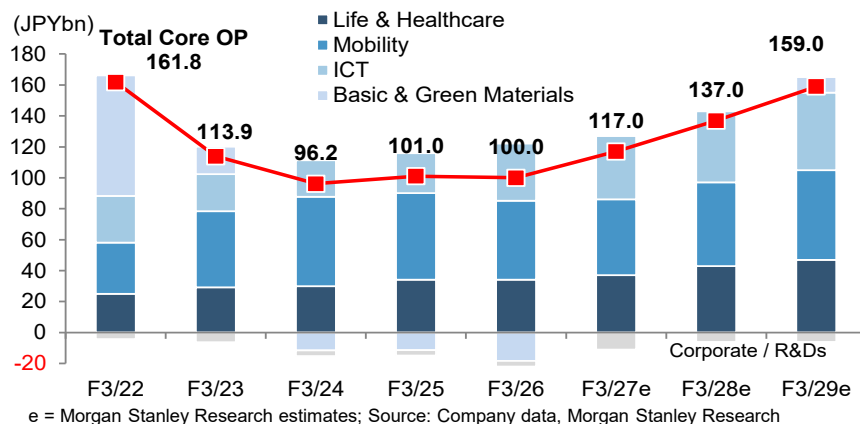
	FY3/26					FY3/27Ce (as of May 13)	FY3/27e					FY3/28e	FY3/29e	B/S analysis	F3/25 IFRS	F3/26 IFRS	F3/27e IFRS	F3/28e IFRS	F3/29e IFRS
	1Q	2Q	3Q	4Q	Full	Full	1Q	2Q	3Q	4Q	Full	Full	Full						
Sales (¥mil)																			
Life & Healthcare Solutions	56,251	59,052	58,844	84,929	259,076	270,000	58,000	61,500	76,000	101,500	297,000	338,000	349,000	Cash & securities	170,615	183,113	168,084	168,361	168,972
Mobility Solutions	130,219	128,011	124,555	132,621	515,406	530,000	144,000	140,000	128,000	137,000	549,000	561,000	577,000	Receivables	349,481	327,640	360,949	363,166	369,454
ICT Solutions	69,012	68,022	71,296	71,106	279,436	320,000	78,000	79,000	81,000	77,000	315,000	338,000	358,000	Inventories	442,763	414,466	453,766	452,643	456,386
Basic & Green Materials	156,159	139,404	146,949	157,410	599,922	630,000	189,000	171,000	171,000	175,000	706,000	669,000	684,000	Other current assets	78,312	67,940	67,940	67,940	67,940
Others	3,709	3,751	3,477	3,977	14,914	150,000	4,000	4,000	3,000	4,000	15,000	15,000	15,000	Current assets	1,041,171	993,159	1,050,738	1,052,110	1,062,752
Total	415,350	398,240	405,121	450,043	1,668,754	1,900,000	473,000	455,500	459,000	494,500	1,882,000	1,921,000	1,983,000	Tangible & intangible fixed asset:	778,230	840,505	853,505	860,505	870,505
(% YoY)														Inv., loan & others	334,552	317,988	461,988	461,988	461,988
Life & Healthcare Solutions	-0.6	0.3	2.7	7.7	2.9	4.2	3.1	4.1	29.2	19.5	14.6	13.8	3.3	Total assets	2,153,953	2,151,652	2,366,231	2,374,603	2,395,245
Mobility Solutions	-7.2	-6.2	-10.9	-4.3	-7.2	2.8	10.6	9.4	2.8	3.3	6.5	2.2	2.9	Short-term debt	282,488	296,727	375,320	358,147	339,612
ICT Solutions	1.1	-4.8	2.0	4.6	0.7	14.5	13.0	16.1	13.6	8.3	12.7	7.3	5.9	Payables	157,742	133,628	152,274	151,963	155,023
Basic & Green Materials	-13.7	-18.1	-17.4	-13.1	-15.5	5.0	21.0	22.7	16.4	11.2	17.7	-5.2	2.2	Other liabilities	165,697	160,746	136,787	141,594	146,838
Others	5.9	-2.0	-6.6	7.9	1.2	-	7.8	6.6	-13.7	0.6	0.6	0.0	0.0	Current liabilities	605,927	591,101	664,381	651,704	641,473
Total	-7.6	-9.7	-9.7	-4.3	-7.8	13.9	13.9	14.4	13.3	9.9	12.8	2.1	3.2	Long-term debt	455,489	443,464	560,923	535,257	507,556
Core OP (¥mil)														Other liabilities	121,933	128,303	128,303	128,303	128,303
Life & Healthcare Solutions	6,190	6,816	4,016	17,166	34,188	38,000	6,000	6,500	6,500	18,000	37,000	43,000	47,000	Total liabilities	1,183,349	1,162,868	1,353,607	1,315,264	1,277,332
Mobility Solutions	14,550	11,477	11,447	13,508	50,982	51,000	10,000	11,000	13,000	15,000	49,000	54,000	58,000	Equity	848,284	864,727	880,068	917,782	966,356
ICT Solutions	9,046	8,742	10,737	8,371	36,896	41,000	9,500	10,000	12,000	9,500	41,000	46,000	50,000	Minority interest	122,320	124,057	132,557	141,557	151,557
Basic & Green Materials	-2,886	-7,647	-2,240	-5,583	-18,356	-3,000	17,000	-13,000	-2,000	-1,000	1,000	0	10,000	Total net asset	970,604	988,784	1,012,625	1,059,339	1,117,913
Others	-173	-191	238	19	-107	-22,000	-500	-1,500	-3,500	-5,500	-11,000	-6,000	-6,000	Ratio analysis					
Elimination and corporate	-113	-1,354	-686	-1,422	-3,575	-22,000	-500	-1,500	-3,500	-5,500	-11,000	-6,000	-6,000	Book value/share (¥)	2,264.0	2,349.2	2,577.7	2,756.9	2,972.9
Core OP total	26,614	17,843	23,512	32,059	100,028	105,000	42,000	13,000	26,000	36,000	117,000	137,000	159,000	Cash/share (¥)	455.4	497.5	492.3	505.7	519.8
Non-recurring items	-13,861	-2,659	3,195	-12,894	-26,219	-22,000	-5,000	-5,000	-5,000	-7,000	-22,000	-5,000	-5,000	Equity ratio (%)	39.4	40.2	39.4	41.1	43.1
OP total	12,753	15,184	26,707	19,165	73,809	83,000	37,000	8,000	21,000	29,000	95,000	132,000	154,000	Debt/equity ratio	0.87	0.86	1.06	0.97	0.88
(% YoY)														Return on assets	4.01	3.95	4.35	5.90	6.76
Life & Healthcare Solutions	5.4	-27.8	-22.2	26.6	0.4	11.2	-3.1	-4.6	61.9	4.9	8.2	16.2	9.3	(%, business interests basis)					
Mobility Solutions	-6.1	-10.9	-22.4	12.9	-7.5	0.0	-31.3	-4.2	13.6	11.0	-3.9	10.2	7.4	Return on assets	1.50	1.60	2.32	3.54	4.17
ICT Solutions	45.8	33.7	28.3	48.9	38.0	11.1	5.0	14.4	11.8	13.5	11.1	12.2	8.7	(%, net profit basis)					
Basic & Green Materials	-	-	-	-	-	-	-	-	-	-	-	-	-	Return on capital (%)	3.0	2.8	3.1	4.4	5.1
Others	-	-	-	-	-	-	-	-	-	-	-	-	-	Return on equity (%)	3.8	4.0	6.3	9.3	10.6
Core OP total	-11.8	-21.1	2.3	27.2	-0.9	5.0	57.8	-27.1	10.6	12.3	17.0	17.1	16.1	Days of A/R	70.5	71.7	70.0	69.0	68.0
OP total	-53.1	-19.2	27.7	67.6	-5.8	12.5	190.1	-47.3	-21.4	51.3	28.7	38.9	16.7	Days of inventory	89.3	90.7	88.0	86.0	84.0
Pretax profit														Number of employees	17,320	16,967	18,500	18,600	18,700
(¥mil)	9,953	16,211	25,369	17,075	68,608	74,000	34,000	6,000	19,000	27,000	86,000	125,000	148,000	Shares O/S at EOY (mil)	374.7	368.1	341.4	332.9	325.1
(% YoY)	-66.0	40.2	1.0	200.0	-4.2	7.9	241.6	-63.0	-25.1	58.1	25.3	45.3	18.4	CF analysis	F3/25 IFRS	F3/26 IFRS	F3/27e IFRS	F3/28e IFRS	F3/29e IFRS
Attributable to shareholders														Net profit	32,242	34,378	55,000	84,000	100,000
(¥mil)	729	7,114	14,738	11,797	34,378	45,000	21,000	2,000	13,000	19,000	55,000	84,000	100,000	Depreciation (+)	99,768	104,744	121,000	123,000	120,000
(% YoY)	-95.9	63.9	-4.8	-	6.6	30.9	2,780.7	-71.9	-11.8	61.1	60.0	52.7	19.0	Receivables (-)	23,334	31,347	-33,309	-2,217	-6,288
EPS (¥)	1.9	18.9	39.2	31.6	91.6	124.5	61.5	5.9	38.1	55.7	161.1	250.8	305.8	Inventories (-)	5,550	38,387	-39,300	1,123	-3,743
Naphtha Price														Payables (+)	-20,217	-30,304	18,646	-311	3,060
(¥/kl, domestic)	66,400	63,400	65,600	65,700	65,300	95,000	120,100	87,600	80,300	80,400	92,100	81,075	81,975	Others	59,824	34,436	-15,459	13,807	15,244
Dividends (¥)	-	-	-	-	75.0	75.0	-	-	-	-	75.0	85.0	100.0	Operating CF	200,501	212,988	106,578	219,402	228,273
														purchase of PPE	-138,122	-137,170	-134,000	-130,000	-130,000
														and intangible assets (-)					
														Investments, loan and others (-)	-26,890	2,399	-144,000	0	0
														Investment CF	-165,012	-134,771	-278,000	-130,000	-130,000
														Debt (+)	-27,158	-13,083	196,052	-42,839	-46,237
														Dividends (-)	-27,572	-28,171	-26,923	-26,286	-31,426
														Others	-19,707	-34,677	-12,737	-20,000	-20,000
														Financial CF	-74,437	-75,931	156,393	-89,124	-97,662
														Free cash flow	35,489	78,217	-171,422	89,402	98,273
														DPS (¥)	75.0	75.0	75.0	85.0	100.0

Ce = Company estimates, e = Morgan Stanley Research estimates, Source: Company data, Morgan Stanley Research

Mitsui Chemicals (4183): Mobility segment

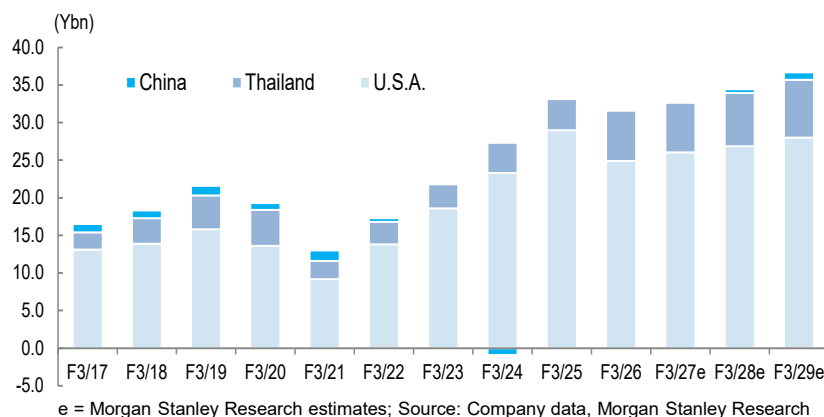
Direction of business earnings portfolio

Ongoing portfolio reform, 3 growth areas generate ¥112bn

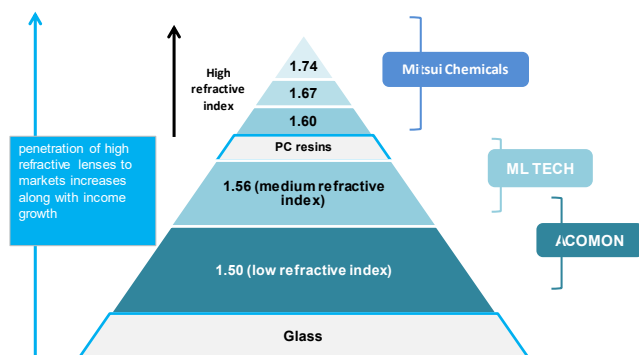


Overseas PP compounds business OP trend

To recover from F3/22 due to auto production recovery



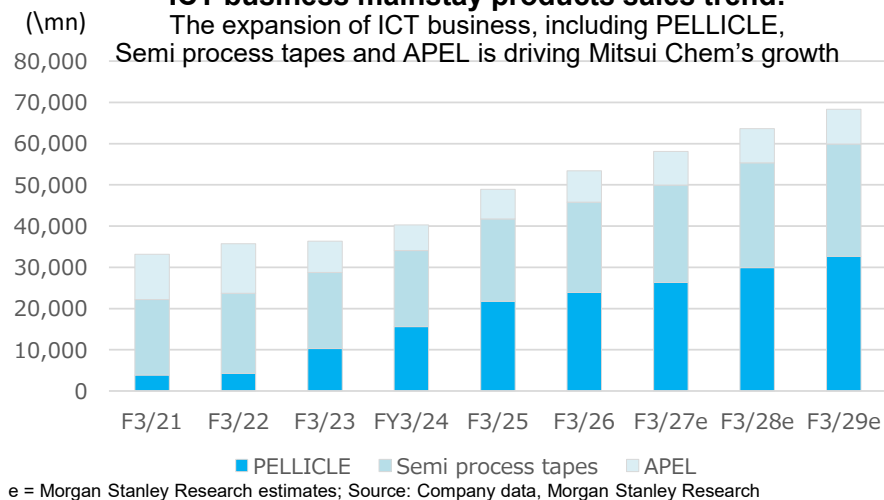
Overview of Mitsui Chemicals' lens materials: Spanning from the volume zone to the high end



Source: Company data, Morgan Stanley Research

ICT business mainstay products sales trend:

The expansion of ICT business, including PELLICLE, Semi process tapes and APEL is driving Mitsui Chem's growth



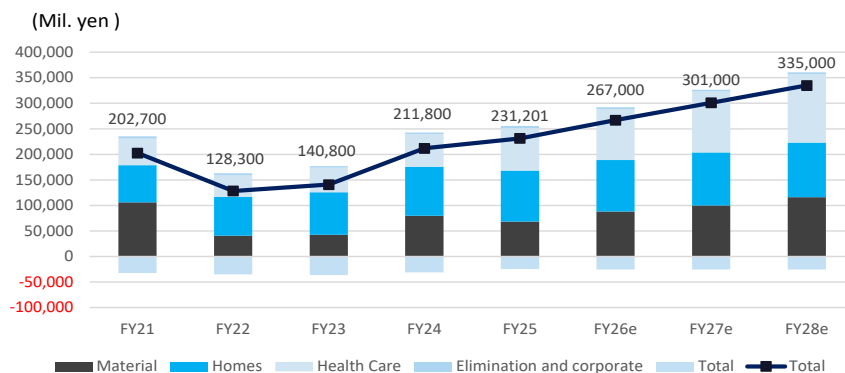
Asahi Kasei (3407, Overweight, PT ¥2,200): Consolidated earnings

	FY3/26						FY3/27Ce (as of May 12)						FY3/27e					FY3/28e		FY3/29e		B/S analysis	F3/25	F3/26	F3/27e	F3/28e	F3/29e
	1Q	2Q	3Q	4Q	Full	Full*	Full	1Q	2Q	3Q	4Q	Full	Full	Full	Full	Full	Full	Full	Full	Full	Cash & securities		393,467	377,023	377,077	372,411	368,010
Sales (¥mil)																					Receivables	491,414	513,807	547,137	554,943	571,184	
Healthcare segment	155,126	151,700	176,145	181,201	664,146	664,146	749,000	182,500	180,500	197,500	202,500	763,000	816,000	859,000							Inventories	719,330	793,725	841,074	850,934	873,597	
Pharmaceuticals & Life Science	65,600	62,000	69,400	62,900	259,900	259,900	309,000	76,500	76,500	81,500	75,500	310,000	341,000	363,000							Other current assets	165,237	180,802	180,802	180,802	180,802	
Critical Care	89,600	89,600	106,700	118,300	404,200	404,200	440,000	106,000	104,000	116,000	127,000	453,000	475,000	496,000							Current assets	1,769,448	1,865,357	1,946,089	1,959,090	1,993,592	
Homes segment	258,908	267,600	265,890	285,004	1,077,394	1,077,394	1,173,000	275,500	289,000	289,500	309,000	1,163,000	1,221,000	1,259,000							Tangible & intangible fixed assets	1,851,164	1,878,946	1,914,946	1,939,946	1,967,946	
Housing	248,000	257,100	253,600	275,600	1,034,300	1,034,300	1,126,000	264,500	277,000	277,000	297,499	1,116,000	1,173,000	1,210,000							Inv., loan & others	394,602	393,640	536,740	536,740	536,740	
Construction Materials	10,900	10,400	12,400	9,400	43,100	43,100	47,000	11,000	12,000	12,500	11,500	47,000	48,000	49,000							Total assets	4,015,214	4,137,943	4,397,775	4,435,776	4,498,278	
Material segment	316,576	321,400	328,276	339,964	1,306,240	1,306,240	1,301,000	343,600	341,500	327,000	332,000	1,344,000	1,308,000	1,356,000							Short-term debt	318,298	139,259	148,592	141,918	132,597	
Electronics	38,100	41,500	41,200	44,500	165,300	164,000	188,000	42,500	45,500	48,000	52,000	188,000	209,000	228,000							Payables	193,583	195,002	207,942	210,018	215,776	
Car Interior	39,000	40,200	42,400	44,100	165,700	165,700	168,000	40,000	41,000	43,000	45,000	169,000	173,000	178,000							Other liabilities	452,727	458,882	561,446	555,572	575,713	
Energy & Infrastructure	30,000	33,100	32,300	32,500	127,900	127,900	110,000	24,000	26,000	27,000	33,000	110,000	115,000	119,000							Current liabilities	964,608	793,143	917,979	907,508	924,086	
Comfort Life	60,800	64,000	68,700	70,100	263,600	263,600	230,000	61,000	64,000	52,000	53,000	230,000	211,000	217,000							Long-term debt	876,747	871,962	930,397	888,614	830,249	
Performance Chemical	55,700	56,700	54,300	55,700	222,400	222,400	229,000	60,000	60,000	57,000	58,000	235,000	241,000	249,000							Other liabilities						
Essential Chemical	91,500	84,500	88,100	91,500	355,600	355,600	368,000	114,000	103,000	98,000	89,000	404,000	351,000	356,000							Current liabilities	964,608	793,143	917,979	907,508	924,086	
Others in Material	1,400	1,500	1,200	1,600	5,700	7,000	8,000	2,000	2,000	2,000	2,000	8,000	8,000	8,000							Long-term debt	876,747	871,962	930,397	888,614	830,249	
Others	7,710	7,500	4,400	7,073	26,725	26,725	31,000	8,000	9,000	6,000	7,500	31,000	31,000	31,000							Other liabilities						
Total	738,321	748,047	774,895	813,242	3,074,505	3,074,505	3,254,000	810,000	820,000	820,000	851,000	3,301,000	3,376,000	3,504,000							Total	964,608	793,143	917,979	907,508	924,086	
(% YoY)																					Current liabilities	964,608	793,143	917,979	907,508	924,086	
Healthcare segment	6.4	3.2	8.6	12.6	7.8	7.8	12.8	17.6	19.0	12.1	11.8	14.9	6.9	5.3							Long-term debt	876,747	871,962	930,397	888,614	830,249	
Pharmaceuticals & Life Science	16.5	8.4	-2.0	3.3	6.0	6.0	18.9	16.6	23.4	17.4	20.0	19.3	10.0	6.5							Other liabilities	259,916	307,191	307,191	307,191	307,191	
Critical Care	0.2	-0.2	16.7	18.2	9.0	9.0	8.9	18.3	16.1	8.7	7.4	12.1	4.9	4.4							Total liabilities	2,101,271	1,972,296	2,155,567	2,103,913	2,061,526	
Homes segment	9.5	-0.4	0.6	7.0	4.0	4.0	8.9	6.4	8.0	8.9	8.4	7.9	6.0	3.1							Equity	1,366,768	1,468,278	1,538,839	1,623,093	1,721,383	
Housing	9.5	-0.3	0.2	7.5	4.1	4.1	8.9	6.7	7.7	9.2	7.9	7.9	5.1	3.2							Minority interest	54,524	77,189	83,189	89,189	95,189	
Construction Materials	7.9	-3.7	0.7	-6.9	1.9	1.9	9.0	0.9	15.4	0.8	22.3	9.0	2.1	2.1							Total net asset	1,913,944	2,165,647	2,242,208	2,332,462	2,436,752	
Material segment	-9.7	-4.1	-2.9	-1.5	-4.6	-4.6	-0.4	8.5	6.3	-0.4	-2.3	2.9	-2.7	3.6							Ratio analysis						
Electronics	6.7	12.8	9.3	21.9	12.7	-	14.6	11.5	9.6	16.5	16.9	14.6	11.2	9.1							Book value/share (¥)	1,369.2	1,539.7	1,617.5	1,712.3	1,820.0	
Car Interior	-1.3	5.0	0.5	12.2	4.0	4.0	1.4	2.6	2.0	1.4	2.0	2.0	2.4	2.9							Cash/share (¥)	289.7	278.0	282.5	284.3	286.0	
Energy & Infrastructure	-18.9	-0.3	0.6	-9.5	-7.5	-7.5	-14.0	-20.0	-21.5	-16.4	1.5	-14.0	4.5	3.5							Equity ratio (%)	46.3	50.5	50.0	51.6	53.2	
Comfort Life	-4.6	-3.2	1.0	1.2	-1.3	-1.3	-12.7	0.3	0.0	-24.3	-24.4	-12.7	-8.3	2.8							Debt/equity ratio	0.64	0.48	0.50	0.46	0.41	
Performance Chemical	-13.9	-8.1	-9.0	-9.1	-10.1	-10.1	3.0	7.7	5.8	5.0	4.1	5.7	2.6	3.3							Return on assets (% business interests basis)	5.61	5.94	6.32	7.03	7.69	
Essential Chemical	-16.0	-13.9	-8.7	-9.2	-12.0	-12.0	3.5	24.6	21.9	11.2	-2.7	13.6	-13.1	1.4							Return on assets (% net profit basis)	3.36	3.84	3.87	4.46	4.89	
Others in Material	55.6	36.4	-29.4	-26.0	0.0	-	14.3	42.9	33.3	66.7	25.0	14.3	0.0	0.0							Return on capital (%)	4.2	4.5	4.9	5.5	6.1	
Others	144.2	114.3	-3.5	28.1	59.3	59.3	16.0	10.2	20.0	36.4	6.0	16.0	0.0	0.0							Return on equity (%)	7.4	8.0	8.0	9.0	9.6	
Total	0.3	-0.8	0.8	4.5	1.2	1.2	5.8	9.7	9.6	5.8	4.6	7.4	2.3	3.8							Days of A/R	59.1	61.0	60.5	60.0	59.5	
Operating profit (¥mil)																					Days of inventory	86.4	94.2	93.0	92.0	91.0	
Healthcare segment	22,654	17,400	25,819	17,533	83,452	83,452	90,000	30,000	21,500	28,000	20,500	100,000	119,000	134,000							Number of employees	50,352	47,895	48,000	48,500	49,000	
Pharmaceuticals & Life Science	16,200	12,400	15,000	3,700	47,300	47,300	44,400	18,000	10,500	14,000	5,500	48,000	58,000	67,000							Shares O/S at EOY (mil)	1,358.1	1,356.4	1,334.8	1,310.1	1,286.6	
Critical Care	6,400	5,100	10,900	13,700	36,100	36,100	46,000	12,000	11,000	14,000	15,000	52,000	61,000	67,000							CF analysis						
Homes segment	22,353	24,200	26,437	26,744	99,781	99,781	101,300	21,000	24,900	27,000	28,100	101,000	104,000	107,000							Net profit	134,996	158,793	170,000	198,000	220,000	
Housing	21,000	22,800	24,400	26,300	94,500	94,500	95,000	19,500	23,500	25,500	26,500	95,000	98,000	101,000							Depreciation (+)	186,106	196,344	218,000	215,000	212,000	
Construction Materials	1,400	1,300	2,200	400	5,300	5,300	6,300	1,500	1,500	1,500	1,500	6,000	6,000	6,000							Receivables (-)	2,816	-12,377	-33,330	-7,806	-16,240	
Material segment	14,905	16,100	19,076	18,245	68,321	68,321	81,000	25,000	19,000	20,000	24,000	88,000	100,000	116,000							Inventories (-)	-32,068	-76,553	-47,349	-9,860	-22,663	
Electronics	5,100	7,000	7,300	8,800	28,200	29,600	34,100	7,000	8,500	10,000	13,500	39,000	48,000	54,500							Payables (+)	-26,732	-6,461	12,940	2,077	5,758	
Car Interior	2,100	2,100																									

Asahi Kasei (3407): Evolving portfolio drives continued record profits beyond FY25

Portfolio Transformation (OP)

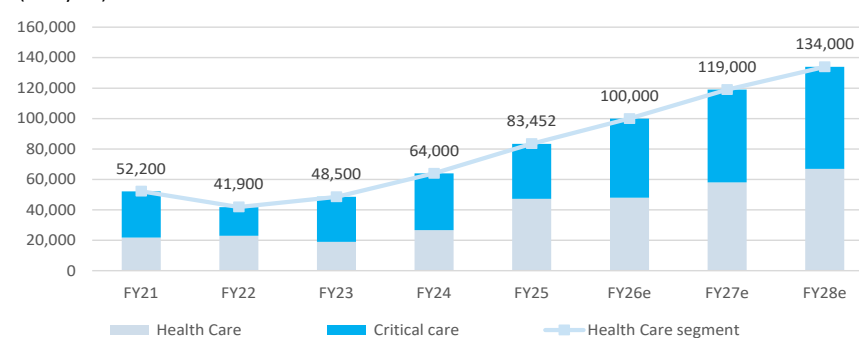
Driven by growth in the healthcare business backed by structural reforms and acquisition strategies in commodity-based chemical products



e = Morgan Stanley Research estimates; Source: Company data, Morgan Stanley Research

Health Care Business OP

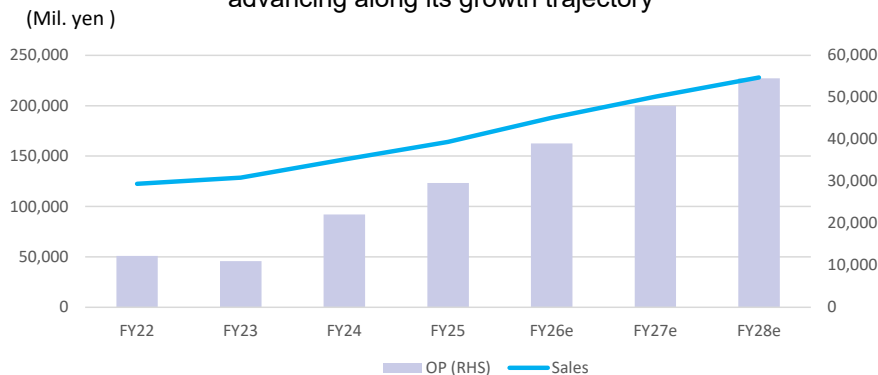
Backed by an acquisition-driven strategy, the business has been expanding in scale and profitability, and is expected to continue its strong growth trajectory



e = Morgan Stanley Research estimates; Source: Company data, Morgan Stanley Research

Electronics Business Performance

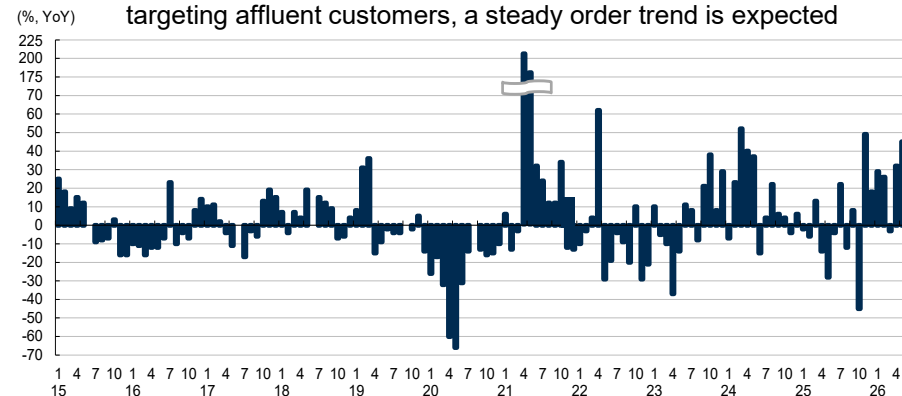
As a strategic growth area, we expect the business is steadily advancing along its growth trajectory



e = Morgan Stanley Research estimates; Source: Company data, Morgan Stanley Research

Asahi Kasei Homes' housing orders (value, monthly, YoY)

Driven by strong demand for large-scale, high value-added condominiums targeting affluent customers, a steady order trend is expected



Source: Company data, Morgan Stanley Research

Mitsubishi Chemical Group (4188, Equal-weight, PT ¥1,250): Consolidated earnings

	FY3/26*					FY3/27Ce (as of May 13)			FY3/27e					FY3/28e	FY3/29e	B/S analysis	F3/25	F3/26	F3/27e	F3/28e	F3/29e
	1Q	2Q	3Q	4Q	Full	1H	2H	Full	1Q	2Q	3Q	4Q	Full	Full	Full	Cash & securities	IFRS	IFRS	IFRS	IFRS	IFRS
Sales																Receivables	392,247	621,608	613,514	613,531	613,152
(¥mil)																Inventories	764,814	671,912	719,294	702,628	699,286
Specialty Materials	285,900	293,000	295,100	303,800	1,177,800	606,000	631,000	1,237,000	302,000	309,000	310,500	316,500	1,238,000	1,281,000	1,317,000	Other current assets	759,423	669,126	719,244	702,579	699,236
Industrial Gases	313,022	334,010	345,237	360,229	1,352,498	684,000	688,000	1,372,000	345,000	359,000	361,000	374,000	1,439,000	1,481,000	1,508,000	Current assets	145,076	132,601	132,601	132,601	132,601
MMA & Derivatives	89,600	85,100	83,900	86,100	344,700	176,000	173,000	349,000	101,000	96,500	92,000	89,500	379,000	360,000	367,000	Tangible & intangible fixed assets	2,061,560	2,095,247	2,184,654	2,151,340	2,144,275
Basic Materials	165,400	166,100	178,400	169,800	679,700	329,000	354,000	683,000	268,000	195,000	179,000	182,000	824,000	695,000	637,000	Inv., loan & others	3,274,090	3,365,318	3,425,018	3,455,018	3,490,018
Others	26,647	40,325	35,523	46,734	149,229	66,000	93,000	159,000	28,000	41,000	37,000	53,000	159,000	159,000	159,000	Total assets	5,894,619	5,876,609	6,025,716	6,022,402	6,050,337
Total	880,652	918,472	938,159	966,705	3,703,988	1,861,000	1,939,000	3,800,000	1,044,000	1,000,500	979,500	1,015,000	4,039,000	3,976,000	3,988,000	Short-term debt	428,067	387,064	386,967	361,785	338,596
(%YoY)																Payables	424,635	383,664	414,719	404,373	401,750
Specialty Materials	-5.7	-0.6	-0.6	3.0	-1.1	4.7	5.4	5.0	5.6	5.5	5.2	4.2	5.1	3.5	2.8	Other liabilities	647,456	630,173	630,173	630,173	630,173
Industrial Gases	-4.4	7.1	5.8	7.4	3.9	5.7	-2.5	1.4	10.2	7.5	4.6	3.8	6.4	2.9	1.8	Current liabilities	1,500,158	1,400,901	1,431,859	1,396,330	1,370,519
Pharma	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	Long-term debt	1,612,920	1,503,457	1,503,080	1,405,265	1,315,195
MMA & Derivatives	-18.5	-22.7	-11.1	-9.1	-15.7	0.7	1.8	1.2	12.7	13.4	9.7	3.9	10.0	-5.0	1.9	Other liabilities	496,972	557,571	557,571	557,571	557,571
Basic Materials	-29.8	-26.8	-16.2	-2.1	-19.9	-0.8	1.7	0.5	62.0	17.4	0.3	7.2	21.2	-15.7	-8.3	Total liabilities	3,610,050	3,461,929	3,492,510	3,359,166	3,243,285
Others	-14.4	5.2	-3.8	-27.7	-12.8	-1.5	13.1	6.5	5.1	1.7	4.2	13.4	6.5	0.0	0.0	Equity attributable to shareholders	1,740,570	1,761,675	1,807,201	1,864,230	1,933,547
Total	-13.4	-7.5	-3.6	0.2	-6.2	3.4	1.8	2.6	18.5	8.9	4.4	5.0	9.0	-1.6	0.3	Non-controlling interests	543,999	653,005	726,005	799,005	873,505
Operating profit																Total equity	2,284,569	2,414,680	2,533,206	2,663,235	2,807,052
(¥mil)																Ratio analysis					
Specialty Materials	17,400	22,300	14,700	-9,500	44,900	38,000	52,000	90,000	18,000	21,000	22,500	23,500	85,000	98,000	108,000	Book value/share (¥)	1,223.0	1,296.7	1,356.3	1,425.8	1,506.5
Industrial Gases	45,009	48,028	51,378	56,291	200,706	101,000	104,000	205,000	51,500	53,000	51,500	52,000	208,000	216,000	221,000	Cash/share (¥)	275.6	457.6	460.4	469.3	477.7
MMA & Derivatives	3,600	100	-2,600	-3,100	-2,000	5,000	6,000	11,000	2,000	-1,000	-1,500	-1,500	-2,000	-500	6,000	Equity ratio (%)	29.5	30.0	34.1	35.7	37.4
Basic Materials	-6,700	-1,800	-3,300	-4,600	-16,400	-6,000	1,000	-5,000	10,000	-2,000	-2,500	-500	5,000	4,000	12,000	Debt/equity ratio	1.17	1.07	1.05	0.95	0.86
Others	280	4,551	2,866	5,808	13,505	1,000	3,000	4,000	1,500	4,500	2,500	5,000	13,500	14,000	13,500	Return on assets (% business interests basis)	3.5	0.7	5.0	5.4	5.9
Eliminations & corporate	-3,114	-3,568	-3,674	-5,465	-15,821	1,000	3,000	4,000	-2,000	-1,500	-3,000	-3,000	-9,500	-9,500	-9,500	Return on assets (% net profit basis)	0.8	0.2	2.0	2.2	2.5
Core operating profit	56,562	69,548	59,512	39,380	225,002	139,000	166,000	305,000	81,000	74,000	69,500	75,500	300,000	322,000	351,000	Return on capital (%)	3.1	0.5	4.8	5.2	5.8
Special items	4,346	-43,967	-32,679	-122,624	-194,924	4,000	-9,000	-5,000	0	4,000	0	-9,000	-5,000	-5,000	-5,000	Return on equity (%)	2.6	0.7	6.7	7.1	7.8
Total	60,908	25,581	26,833	-83,244	30,078	143,000	157,000	300,000	81,000	78,000	69,500	66,500	295,000	317,000	346,000	Days of A/R	63.3	66.2	65.0	64.5	64.0
(%YoY)																Days of inventory	62.9	65.9	65.0	64.5	64.0
Specialty Materials	27.8	48.3	30.1	-	35.3	-4.3	900.0	100.4	3.4	-5.8	53.1	-	89.3	15.3	10.2	Number of employees	63,258	56,678	56,500	56,600	56,800
Industrial Gases	-5.1	8.1	12.7	15.8	7.9	8.6	-3.4	2.1	14.4	10.4	0.2	-7.6	3.6	3.8	2.3	Shares O/S at EOY (mil)	1,423.2	1,358.5	1,332.5	1,307.5	1,283.5
Pharma	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	CF analysis					
MMA & Derivatives	-64.2	-98.3	-	-	-	35.1	-	-	-44.4	-	-	-	-	-	-	F3/25	F3/26	F3/27e	F3/28e	F3/29e	
Basic Materials	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	IFRS	IFRS	IFRS	IFRS	IFRS	
Others	-92.8	-	-1.3	7.1	12.8	-79.3	-65.4	-70.4	435.7	-1.1	-12.8	-13.9	0.0	3.7	-3.6	Attributable to shareholders / NP	45,020	11,829	119,000	131,000	149,000
Core operating profit	-11.1	5.7	-2.0	2.0	-1.7	10.3	67.9	35.6	43.2	6.4	16.8	91.7	33.3	7.3	9.0	Depreciation (+)	275,933	267,786	279,400	270,000	265,000
Total	-9.3	-36.8	-29.4	-	-78.8	65.2	-	897.4	33.0	204.9	159.0	-	880.8	7.5	9.1	Receivables (-)	53,118	955	-47,382	16,666	3,342
Income before Taxes																Inventories (-)	13,436	-445	-50,118	16,665	3,343
(¥mil)	50,158	18,577	20,605	-88,629	711	129,000	141,000	270,000	74,000	69,000	60,000	60,000	263,000	286,000	314,000	Payables (+)	-22,457	-17,224	31,055	-10,346	-2,623
(%YoY)	-14.5	-20.1	-42.0	-	-99.3	87.7	-	-	47.5	271.4	191.2	-	-	8.7	9.8	Others	187,797	173,386	73,000	73,000	74,500
Net income attributable to owners of the parent																Operating CF	552,847	436,287	404,954	496,985	492,562
(¥mil)	19,627	90,505	-4,703	-93,600	11,829	59,000	68,000	127,000	36,000	33,000	25,000	25,000	119,000	131,000	149,000	Purchase of PPE and intangible assets (-)	-303,914	-284,192	-339,100	-300,000	-300,000
(%YoY)	-50.5	7,032.0	-	-	-73.8	-46.5	-	973.5	83.4	-63.5	-	-	906.0	10.1	13.7	Investments, loan and others (-)	28,480	408,662	0	0	0
EPS (¥)	14.0	65.7	-3.0	-68.1	8.6	43.4	50.1	93.5	26.5	24.3	18.6	19.1	88.4	99.2	115.0	Investment CF	-275,434	124,470	-339,100	-300,000	-300,000
Naphtha Price	66,300	63,200	65,600	-	65,200	63,000	63,000	63,000	120,100	87,600	80,300	80,400	92,100	81,075	81,975	Debt (+)	-182,852	-250,697	-474	-122,997	-113,258
(¥/kl, domestic)																Dividends (-)	-45,533	-44,508	-43,474	-43,971	-49,683
Dividends (¥)	-	-	-	-	32.0	16.0	16.0	32.0	-	-	-	-	32.0	35.0	40.0	Others	-18,269	-80,002	-30,000	-30,000	-30,000
																Financial CF	-246,654	-375,207	-73,948	-196,968	-192,942
																Free cash flow	277,413	560,757	65,854	196,985	192,562
																DPS (¥)	32.0	32.0	32.0	35.0	40.0

*= Segment reporting was revised in F26 with Basic Materials & Polymers renamed to Basic Materials. Figures shown reflect the revised segment classification.

* = Segment reporting was revised in F26, with Basic Materials & Polymers renamed to Basic Materials. Figures shown reflect the revised segment classification.

Ce = Company estimates, e = Morgan Stanley Research estimates

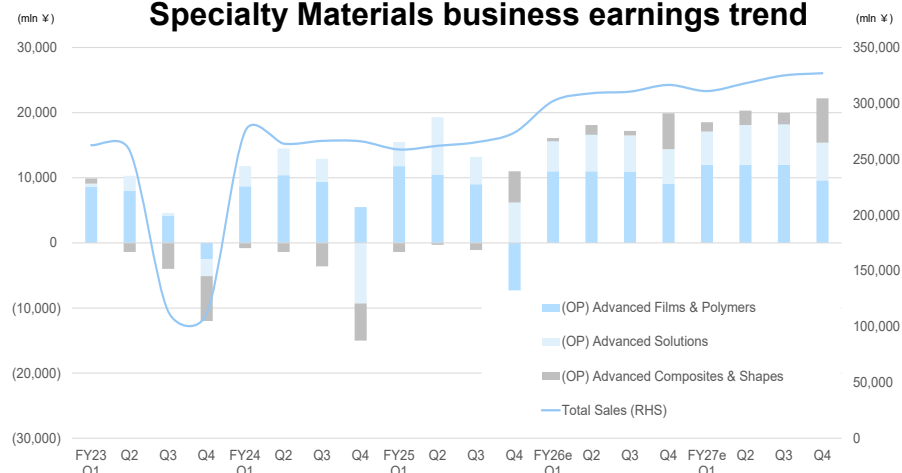
Source: Company data, Morgan Stanley Research

Mitsubishi Chemical Group (4188): Await Growth Drivers Following Structural Reforms

The stock does not appear undervalued from a relative industry basis, so our rating is EW....

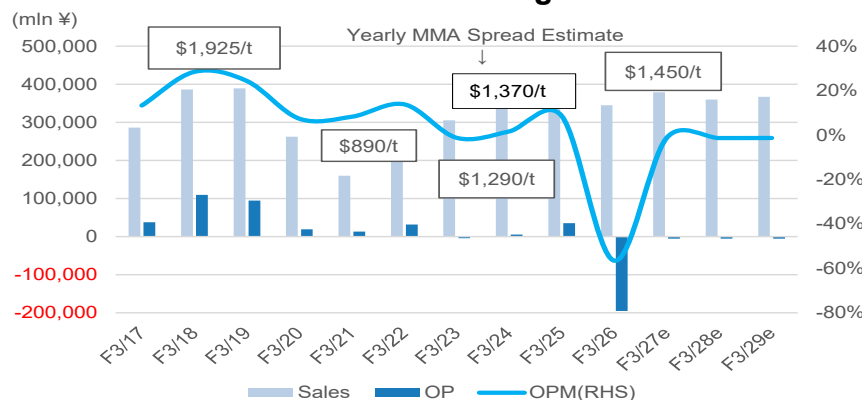
- Commendable restructuring of domestic petrochemical business based on business environment assessment and portfolio management.
- However, the revenue scale of semiconductor materials, which have growth expectations, is small, resulting in an earnings structure that lacks growth drivers.
- In the petchem business, MMA-related market conditions and spreads are expected to continue to stagnate due to capacity expansion by Chinese companies and weak demand.
- We look for the firm to create growth drivers by channeling the ~¥510bn from the pharma subsidiary sale into growth investments.

Specialty Materials business earnings trend



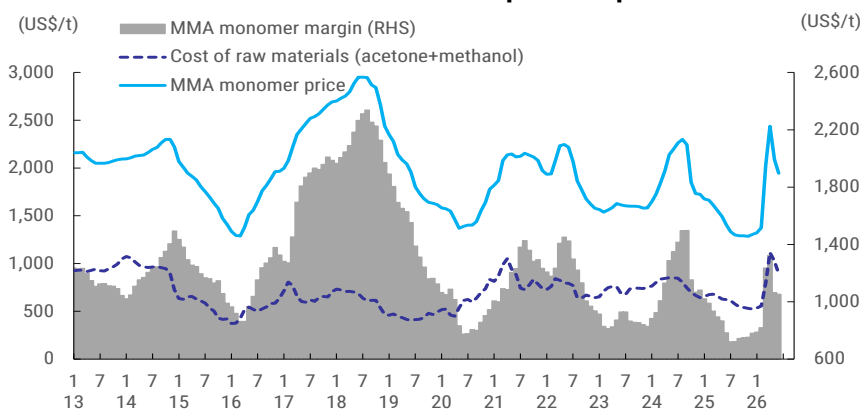
Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

MMA business earnings trend



Source: Company data, Morgan Stanley Research e = Morgan Stanley Research estimates

MMA monomer: Asian prices/spreads



Source: ICIS, industry data, Morgan Stanley Research

Tosoh (4042, Equal-weight, PT ¥2,900): Consolidated earnings

	FY3/26					FY3/27e					FY3/28e	FY3/29e
	1Q	2Q	3Q	4Q	Full	1Q	2Q	3Q	4Q	Full	Full	Full
Sales												
(¥mil)												
Petrochemical	45,093	44,562	43,376	36,709	169,740	49,000	57,000	52,500	49,500	208,000	201,000	190,000
Chlor-alkali	82,077	84,011	87,701	92,178	345,967	90,000	88,000	92,000	92,000	362,000	355,000	365,000
Speciality	67,730	67,377	67,499	70,252	272,858	71,500	70,500	70,500	72,500	285,000	293,000	301,000
Engineering	39,094	46,749	46,959	53,610	186,412	42,500	50,500	54,000	62,000	209,000	220,000	230,000
Others	11,131	11,312	11,406	11,089	44,938	11,500	11,500	11,500	11,500	46,000	46,000	46,000
Total	245,128	254,011	256,939	263,839	1,019,917	264,500	277,500	280,500	287,500	1,110,000	1,115,000	1,132,000
(%YoY)												
Petrochemical	-10.8	-19.9	-18.1	-19.6	-17.1	8.7	27.9	21.0	34.8	22.5	-3.4	-5.5
Chlor-alkali	-10.5	-10.2	-6.3	-2.6	-7.4	9.7	4.7	4.9	-0.2	4.6	-1.9	2.8
Speciality	1.9	-3.7	1.0	4.5	0.9	5.6	4.6	4.4	3.2	4.4	2.8	2.7
Engineering	18.9	6.1	9.2	8.6	10.1	8.7	8.0	15.0	15.7	12.1	5.3	4.5
Others	-1.2	-2.1	-3.2	2.6	-1.0	3.3	1.7	0.8	3.7	2.4	0.0	0.0
Total	-3.1	-7.6	-4.2	-1.4	-4.1	7.9	9.2	9.2	9.0	8.8	0.5	1.5
Operating profit												
(¥mil)												
Petrochemical	46	4,099	3,960	1,611	9,716	8,000	4,000	0	0	12,000	10,500	12,000
Chlor-alkali	-1,886	1,571	411	1,819	1,915	1,000	1,500	1,000	500	4,000	3,500	6,500
Speciality	9,503	11,185	10,442	8,803	39,933	10,500	11,500	12,000	9,000	43,000	46,000	48,500
Engineering	7,555	10,918	9,327	12,583	40,383	8,000	11,500	10,500	13,000	43,000	45,000	47,000
Others	858	893	1,010	822	3,583	1,000	1,000	1,000	1,000	4,000	4,000	4,000
Total	16,078	28,664	25,152	25,638	95,532	28,500	29,500	24,500	23,500	106,000	109,000	118,000
(%YoY)												
Petrochemical	-98.6	3.3	-23.1	-13.4	-32.0	17,291.3	-2.4	-	-	23.5	-12.5	14.3
Chlor-alkali	-	-52.0	-85.3	-14.9	-79.8	-	-4.5	143.4	-72.5	108.9	-12.5	85.7
Speciality	-5.2	-2.7	7.2	19.5	3.4	10.5	2.8	14.9	2.2	7.7	7.0	5.4
Engineering	62.1	37.9	6.2	2.5	20.1	5.9	5.3	12.6	3.3	6.5	4.7	4.4
Others	50.0	-2.1	35.9	24.4	24.1	16.6	12.0	-1.0	21.7	11.6	0.0	0.0
Total	-18.9	4.0	-7.6	5.5	-3.4	77.3	2.9	-2.6	-8.3	11.0	2.8	8.3
Recurring profit												
(¥mil)												
Petrochemical	14,082	31,659	31,238	29,773	106,752	29,500	30,000	25,000	23,500	108,000	112,000	122,000
(% YoY)	-48.5	78.4	-16.6	45.5	3.6	109.5	-5.2	-20.0	-21.1	1.2	3.7	8.9
Net profit												
(¥mil)												
Petrochemical	6,529	848	17,252	16,986	41,615	18,500	16,501	13,500	10,999	59,500	62,000	69,000
(% YoY)	-59.8	-90.3	-26.8	79.2	-28.3	183.3	1,845.8	-21.7	-35.2	43.0	4.2	11.3
EPS (¥)	20.5	2.7	54.7	54.5	132.4	60.4	53.9	44.6	37.6	196.6	210.8	240.0
Naphtha Price												
(¥/kl, domestic)	65,300	-	-	-	65,225	120,100	87,600	80,300	80,400	92,100	81,075	81,975
Dividends (¥)	-	-	-	-	100.0	-	-	-	-	100.0	100.0	100.0

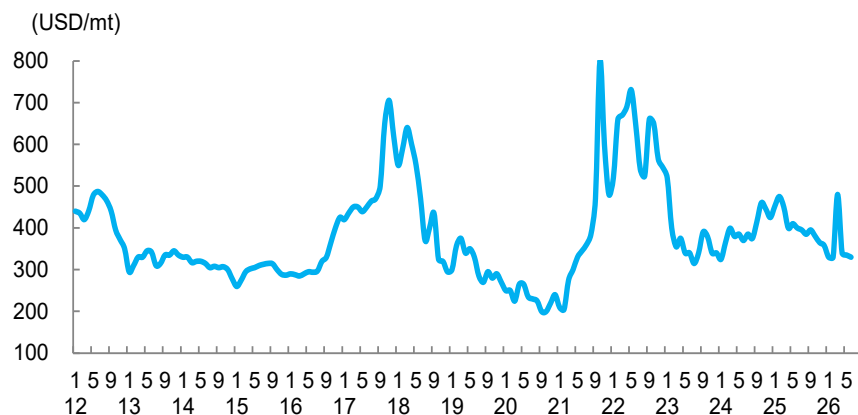
	F3/25	F3/26	F3/27e	F3/28e	F3/29e
B/S analysis					
Cash & securities	141,548	179,616	140,597	140,780	140,710
Receivables	258,721	256,413	276,749	276,468	279,133
Inventories	247,823	243,451	261,548	259,671	260,529
Other current assets	106,291	118,586	118,586	118,586	118,586
Current assets	754,383	798,066	797,480	795,505	798,958
Tangible & intangible fixed assets	431,718	438,274	469,274	499,274	525,274
Inv., loan & others	141,197	172,610	173,556	173,556	173,556
Total assets	1,327,298	1,408,950	1,440,310	1,468,335	1,497,788
Short-term debt	133,005	144,678	144,892	143,468	136,905
Payables	117,523	108,852	118,466	119,000	120,814
Other liabilities	82,965	100,993	100,993	100,993	100,993
Current liabilities	333,493	354,523	364,351	363,460	358,712
Long-term debt	46,099	84,232	84,356	83,527	79,707
Other liabilities	45,288	51,054	51,054	51,054	51,054
Total liabilities	424,880	489,809	499,762	498,042	489,473
Equity	772,503	757,698	761,459	773,705	793,625
Minority interest	75,308	87,347	104,047	121,547	139,647
Total net asset	902,418	919,141	940,546	970,292	1,008,312
Ratio analysis					
Book value/share (¥)	2,596.7	2,701.5	2,795.3	2,902.0	3,039.3
Cash/share (¥)	444.4	583.4	469.8	481.4	492.3
Equity ratio (%)	62.3	59.0	62.6	63.0	64.0
Debt/equity ratio	0.22	0.28	0.27	0.27	0.25
Return on assets (% , business interests basis)	7.7	7.0	7.6	7.6	8.1
Return on assets (% , net profit basis)	4.4	3.0	4.1	4.2	4.6
Return on capital (%)	5.9	5.4	6.0	6.1	6.5
Return on equity (%)	7.2	5.0	7.1	7.4	8.0
Days of A/R	88.8	91.8	91.0	90.5	90.0
Days of inventory	85.1	87.1	86.0	85.0	84.0
Number of employees	14,813	14,850	14,900	15,000	15,100
Shares O/S at EOY (mil)	318.5	307.9	299.2	292.5	285.8
CF analysis	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Net profit	58,002	41,615	59,500	62,000	69,000
Depreciation (+)	47,508	48,081	49,000	50,000	49,000
Receivables (-)	5,362	6,186	-20,336	281	-2,665
Inventories (-)	11,006	5,337	-18,097	1,877	-858
Payables (+)	-9,758	-9,661	9,614	534	1,814
Others	-5,876	22,998	16,700	17,500	18,100
Operating CF	106,244	114,556	96,382	132,191	134,392
purchase of PPE and intangible assets (-)	-79,205	-69,768	-80,000	-80,000	-75,000
Investments, loan and others (-)	-2,369	-2,358	0	0	0
Investment CF	-81,574	-72,126	-80,000	-80,000	-75,000
Debt (+)	-2,464	52,420	338	-2,254	-10,383
Dividends (-)	-30,209	-31,667	-30,739	-29,754	-29,079
Others	-5,252	-30,467	-25,000	-20,000	-20,000
Financial CF	-37,925	-9,714	-55,400	-52,008	-59,462
Free cash flow	24,670	42,430	16,382	52,191	59,392
DPS (¥)	100.0	100.0	100.0	100.0	100.0

Ce = Company estimates, e = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Tosoh (4042): Functional Products Division: Price trends for core products

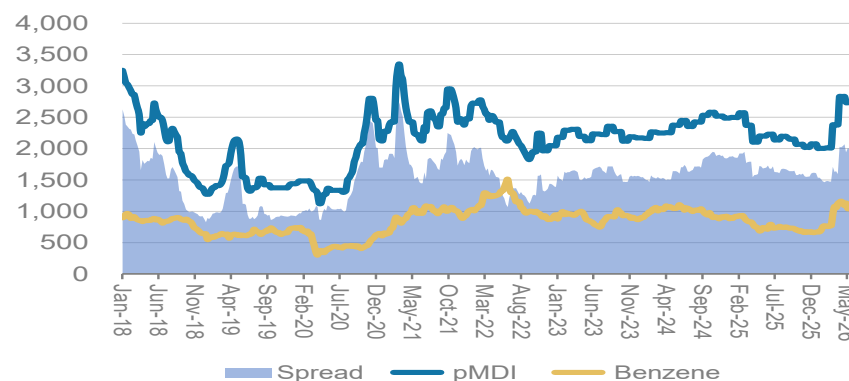
Asia Caustic Soda Price Trend



Source: Morgan Stanley Research, estimated from assorted data

Asian prices and spreads for MDI

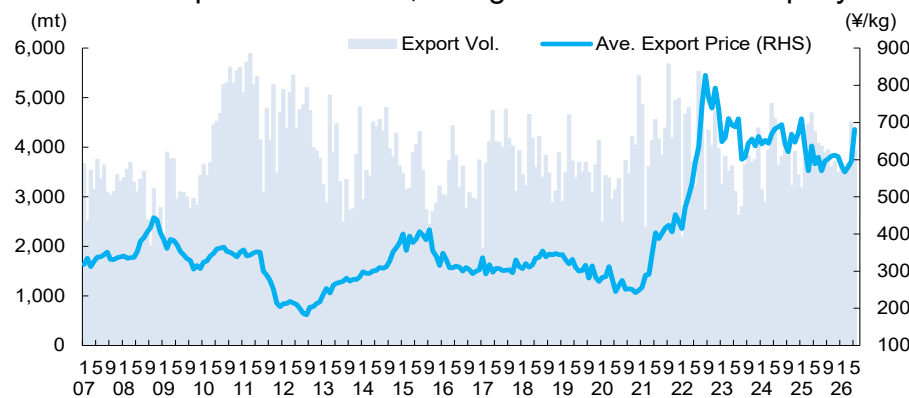
pMDI - Benzene Spread (\$/mt)



Source: Bloomberg, Morgan Stanley Research

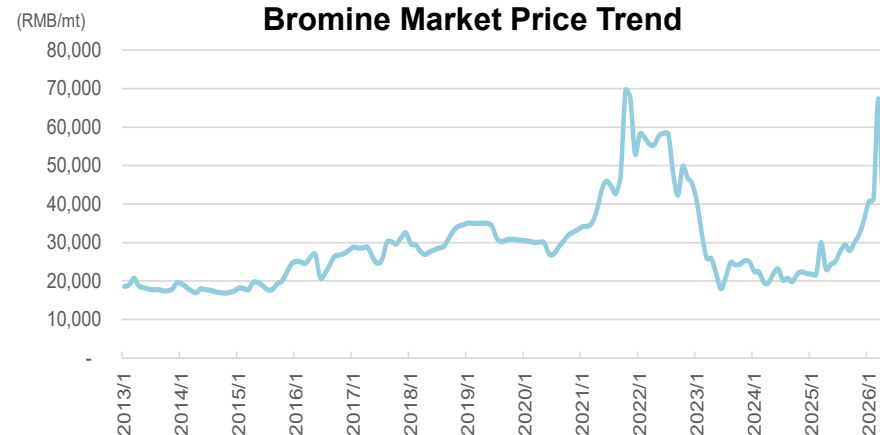
Organic Chemicals: Ethyleneamine export prices

Market prices to soften, though have recovered rapidly



Source: MoF, Morgan Stanley Research

Bromine Market Price Trend



Source: Bloomberg, Morgan Stanley Research

Electronic Chemicals (Industry view: In-line)

In addition to the expansion of AI semiconductors, demand for legacy semiconductors is also gradually recovering, and a steady growth trend continues. For silicon wafers, although user inventory levels remain high, the recovery trend continues, centered on 300mm wafers. We continue to recommend stock selection focused on individual traits. We continue to like ZEON and Shin-Etsu Chemical.

OW	4205	ZEON	Valuations look inexpensive at just 11x P/E on our F3/28 forecasts. In the medium term, we expect ROIC to rise with downsizing of general-purpose elastomers and focus on specialty materials, and semiconductor-related materials earnings contributions to increase.; OW.
	4063	Shin-Etsu Chem	We foresee recovery at cruising speed from F3/27. We also expect shareholder return to remain attractive based on robust cash flow. We think Shin-Etsu can sustain margins well above rivals' in challenging macro conditions, viewing the stock as undervalued from a medium-term perspective; OW.
EW	4021	Nissan Chem	We expect a decline in Agricultural Chemicals earnings in FY27 due to the animal health patent cliff, but continued growth in the Semiconductor Materials business should offset this impact, supporting ongoing growth in company-wide earnings. Meanwhile, valuation appears fair with limited upside; EW.
	4980	Dexerials	The share price rebounded sharply on upside surprises vs. consensus in F3/26 results and F3/27 guidance, and upward revision of mid-term plan targets. Expectations for mid-term earnings contributions from optical semiconductors have increased significantly. We believe further upside in the share price requires more substantial earnings contributions from optical semiconductors; EW rating.
	3405	Kuraray	Genuine earnings growth in activated carbon business will take time. Ongoing high inventory levels are another issue. Valuations neutral; EW rating
UW	3436	SUMCO	We expect supply/demand for 300mm wafers to continue improving, but not to the point of a shortage. Customer inventories remain elevated. Valuation on our F12/27e is demanding (P/B ~2.4x, P/E 103x). We expect market expectations to moderate with each quarterly earnings release; UW
	6988	Nitto Denko	We expect earnings to decline in FY26 due to higher raw material costs stemming from geopolitical tensions in the Middle East and sluggish demand for optical films used in notebook PCs and smartphones. At 14x our F3/28e EPS, the stock does not look as overvalued as it did, but as we look for the consensus to move down over the medium term; UW rating

	Rating	Share price (¥) (13-Jul)	Price target (¥)	P/E (x)			P/CF (x)			EV/EBITDA (x)			P/B (x)			Dividend yield (%)			Mkt cap (¥bn)	FX Sensitivity for OP (¥bn)		FX Sensitivity vs F26 MS (core) OP		Company FX assumptions (F26)	
				F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e		vs. USD	vs. EUR	vs. USD	vs. EUR	(¥/USD)	(¥/EUR)
Electronic Chemicals																									
3405 Kuraray	EW	1,696	1,750	15.7	12.6	10.8	4.3	3.9	3.6	5.2	4.9	4.7	0.7	0.6	0.6	3.8	3.8	3.8	511.0	0.1	0.2	0.2%	0.3%	150.0	175.0
3436 SUMCO	UW	5,133	3,000	-	138.1	59.8	15.6	14.0	13.1	16.8	15.2	13.4	3.3	3.3	3.1	0.4	0.4	0.6	1,795.1	1.1	-	-	-	160.0	-
4021 Nissan Chemical	EW	7,906	9,000	20.3	19.5	18.9	14.9	14.2	13.7	12.4	11.8	11.5	3.9	3.7	3.5	2.7	2.8	2.9	1,060.3	0.3	-	0.4%	-	150.0	-
4063 Shin-Etsu Chemical	OW	7,340	8,200	22.2	20.0	18.1	15.8	14.4	13.1	12.3	11.6	10.8	3.0	2.9	2.8	1.8	2.0	2.2	13,628.3	3.9	0.2	0.5%	0.03%	150.0	180.0
4205 Zeon	OW	2,225	3,000	11.2	10.7	9.7	7.2	7.0	6.6	7.2	6.9	6.8	1.1	1.0	1.0	3.6	3.7	4.1	425.6	0.3	0.1	0.7%	-	150.0	175.0
4980 Dexerials	EW	3,922	4,400	23.8	20.6	18.1	18.1	15.3	13.1	14.8	12.6	10.9	5.4	4.9	4.4	1.6	1.8	2.0	657.0	0.5	-	1.2%	-	150.0	-
6988 Nitto Denko	UW	3,221	3,000	15.8	14.5	13.0	9.8	9.1	8.5	7.1	6.8	6.5	1.8	1.7	1.6	2.0	2.0	2.2	2,169.9	2.7	-	1.5%	-	153.0	-
Electronic Chemicals average		In-Line		23.7	21.0	19.2	14.0	13.1	12.3	11.1	10.5	9.8	2.6	2.6	2.6	-	-	-	-	-	-	-	-	-	-

Fiscal years for Kuraray and SUMCO end in December

e = Morgan Stanley Research estimates. Source: Company data, FactSet, Morgan Stanley Research

The chart, titled '-Total-', displays three data series over time from January 2004 to January 2026. The left Y-axis represents absolute values, with a base of 100 in Jan 2004. The right Y-axis represents percentage year-over-year (% YoY) changes, ranging from -50% to 150%. A horizontal red line is drawn at the 25% mark on the right Y-axis.

- Wafer total (solid dark blue line):** Shows a general upward trend from approximately 100 in 2004 to a peak of about 135 in early 2022, followed by a decline to around 100 in 2023, and then a recovery to approximately 125 by 2026.
- %YoY (RHS) (dashed blue line):** Shows significant volatility, with a major spike to over 150% in early 2010, followed by a sharp drop to below -50% later in 2010. It then fluctuates between -25% and 25% for the remainder of the period.
- Total IC shipments (YoY, RHS) (solid cyan line):** Follows a similar pattern to the %YoY line, with a peak around 50% in early 2010 and a subsequent decline to around -25% in 2010. It then fluctuates between -25% and 25% for the remainder of the period.

The graph displays two data series over time from January 2007 to January 2026. The left Y-axis measures cumulative precipitation in millimeters (0 to 500), with a red horizontal line at 100mm. The right Y-axis measures the annual percentage of year (%YoY) from -50 to 175. The dark blue line represents the cumulative 300mm threshold, which rises steadily from approximately 25mm in 2007 to about 450mm in 2026. The light blue line represents the %YoY, which fluctuates significantly, peaking at approximately 150% in early 2010 and dropping to about -25% in early 2009.

Date	300mm (mm)	%YoY (RHS) (%)
04/01/07	25	75
05/01/07	40	65
06/01/07	55	55
07/01/07	70	45
08/01/07	85	35
09/01/07	100	25
10/01/07	115	15
11/01/07	130	5
12/01/07	145	15
01/01/08	160	25
02/01/08	175	35
03/01/08	190	45
04/01/08	205	55
05/01/08	220	65
06/01/08	235	75
07/01/08	250	85
08/01/08	265	95
09/01/08	280	105
10/01/08	295	115
11/01/08	310	125
12/01/08	325	135
01/01/09	340	145
02/01/09	355	155
03/01/09	370	165
04/01/09	385	175
05/01/09	400	185
06/01/09	415	195
07/01/09	430	205
08/01/09	445	215
09/01/09	460	225
10/01/09	475	235
11/01/09	490	245
12/01/09	505	255
01/01/10	520	265
02/01/10	535	275
03/01/10	550	285
04/01/10	565	295
05/01/10	580	305
06/01/10	595	315
07/01/10	610	325
08/01/10	625	335
09/01/10	640	345
10/01/10	655	355
11/01/10	670	365
12/01/10	685	375
01/01/11	700	385
02/01/11	715	395
03/01/11	730	405
04/01/11	745	415
05/01/11	760	425
06/01/11	775	435
07/01/11	790	445
08/01/11	805	455
09/01/11	820	465
10/01/11	835	475
11/01/11	850	485
12/01/11	865	495
01/01/12	880	505
02/01/12	895	515
03/01/12	910	525
04/01/12	925	535
05/01/12	940	545
06/01/12	955	555
07/01/12	970	565
08/01/12	985	575
09/01/12	1000	585
10/01/12	1015	595
11/01/12	1030	605
12/01/12	1045	615
01/01/13	1060	625
02/01/13	1075	635
03/01/13	1090	645
04/01/13	1105	655
05/01/13	1120	665
06/01/13	1135	675
07/01/13	1150	685
08/01/13	1165	695
09/01/13	1180	705
10/01/13	1195	715
11/01/13	1210	725
12/01/13	1225	735
01/01/14	1240	745
02/01/14	1255	755
03/01/14	1270	765
04/01/14	1285	775
05/01/14	1300	785
06/01/14	1315	795
07/01/14	1330	805
08/01/14	1345	815
09/01/14	1360	825
10/01/14	1375	835
11/01/14	1390	845
12/01/14	1405	855
01/01/15	1420	865
02/01/15	1435	875
03/01/15		

(Jan 2004=100)

-200mm-

(%YoY)

200mm

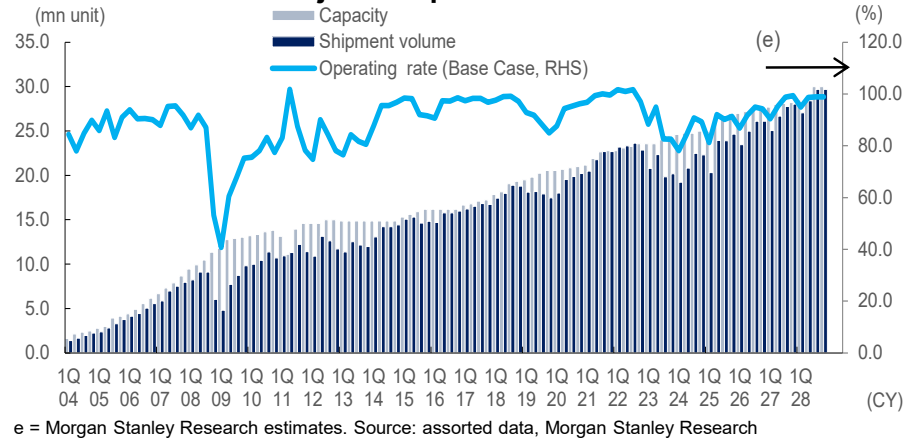
%YoY (RHS)

2004 05 06 07 08 09 10 11 12 13 14 15 16 17 18 19 20 21 22 23 24 25 26

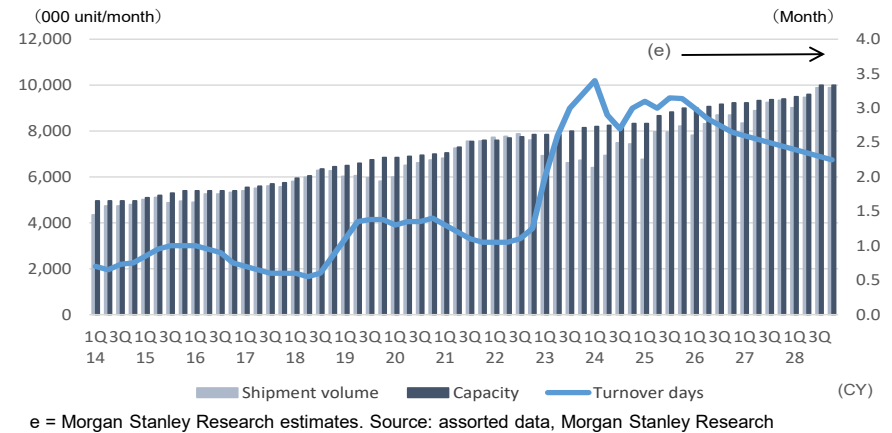
Source: Morgan Stanley Research (estimated based on interviews and assorted data)

Silicon wafer market

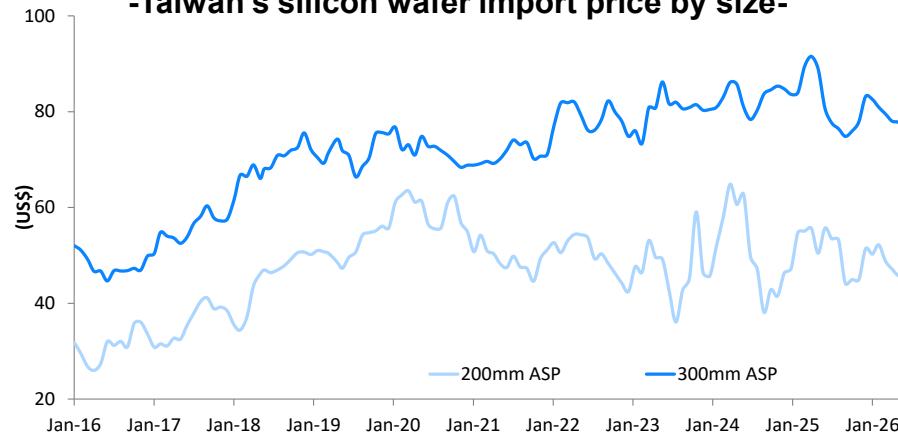
-300mm wafer supply/demand assumptions To avoid major collapse of the S/D balance-



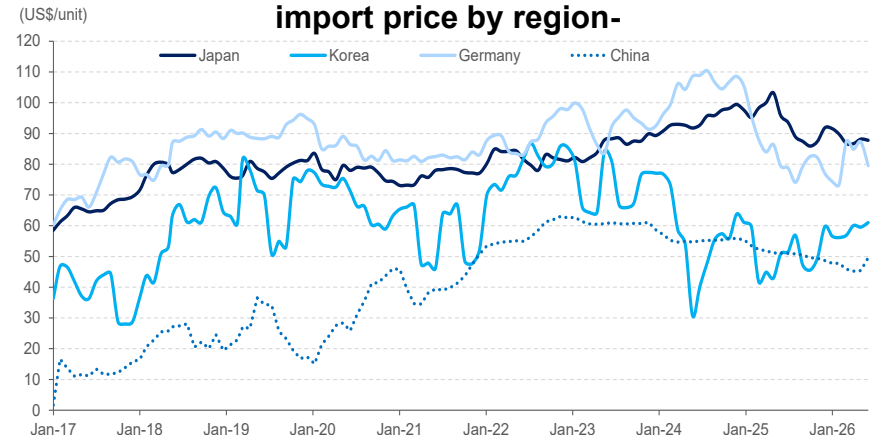
-300mm wafer trends in shipments, production capacity, and inventory months-



-Taiwan's silicon wafer import price by size-



-Taiwan's 300mm silicon wafer import price by region-

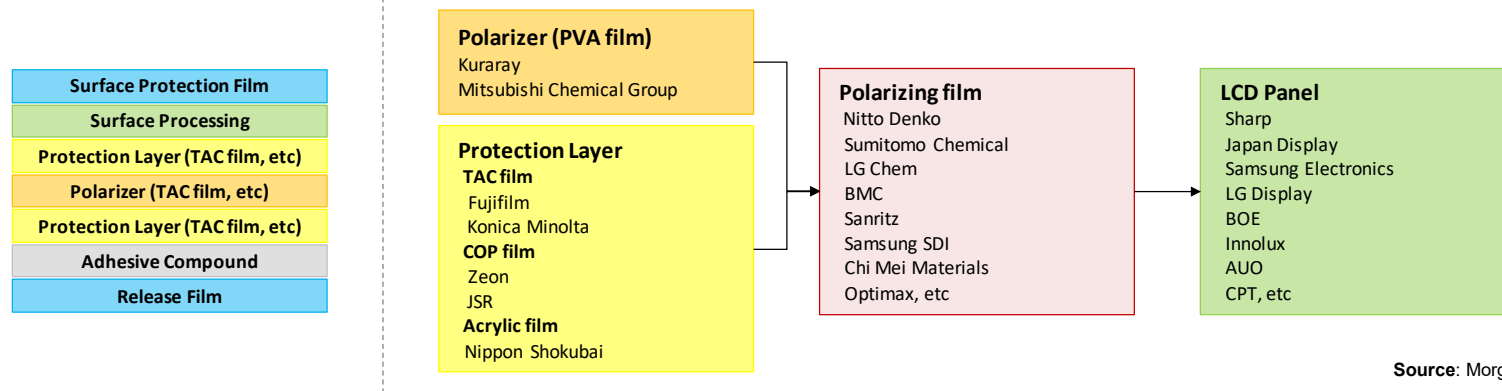


Source: Taiwan MoF, assorted data, Morgan Stanley Research

LCD Polarizer Market:

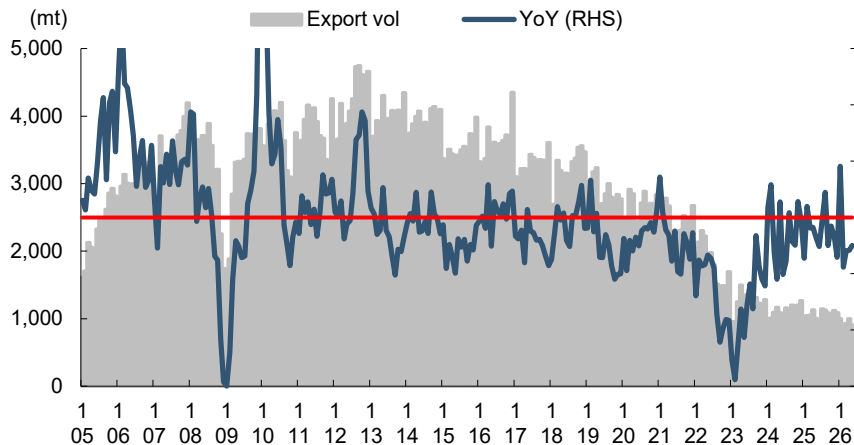
Small/mid-sized panel market and new coating-type development are the current market drivers

Simple outline of polarizing plates (left) & polarizing films supply chain (right)



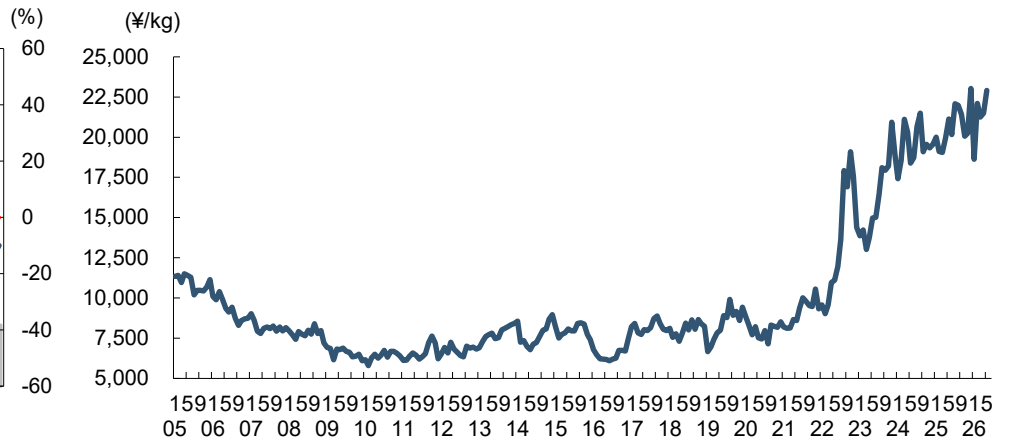
Source: Morgan Stanley Research

Polarizing films export volume



Source: MoF, Morgan Stanley Research

Polarizing films export price



Map of suppliers for main LiB materials

Stock Code	Company	Notes
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Cathode

N.A.	Nichia Chemical	LCO
UMI	Umicore	NMC
BAS	BASF	Merged its business with Toda Ind.
4005	Sumitomo Chemical	Operation: Tanaka Chemical (4080)
603799	Zhejiang Huayou Cobalt	Formed JV with POSCO (S.Korea)
066970	L&F	Supplier of Tesla
5563	Nippon Denko	LMO
5713	SMM	NMC
5232	SOC	LFP

Cathode binder

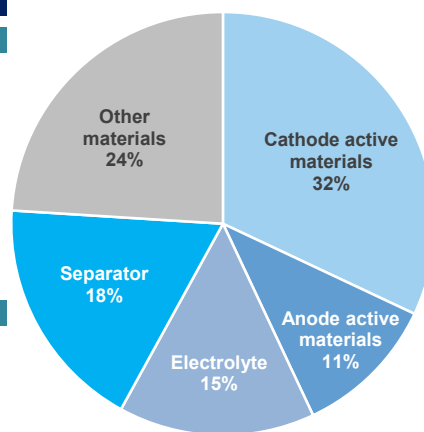
4023	Kureha	PVDF
4205	ZEON	Company unique materials
SOLB	Solvay	PVDF
6367	DAIKIN	PVDF

Anode

4004	Showa Denko	Natural/Synthetic, Showa Denko Materials
603659	Putailai	Synthetic
600884	ShanShan Group	Natural/Synthetic
5411	JFE Chemical	Synthetic
5302	Nippon Carbon	Natural/Synthetic
4188	Mitsubishi Chemical HD	Natural/Synthetic
5301	Tokai Carbon	Synthetic
4023	Kureha	Hard Carbon
3405	Kuraray	Bio Hard Carbon
N.A.	BTR (China)	Natural/Synthetic

Anode binder

4023	Kureha	PVDF
4205	ZEON	Company unique materials
4005	Sumitomo Chemical	SBR
3402	Toray	PI
4185	JSR	SBR
SOLB	Solvay	PVDF



Source: CEMAC, company data,
Morgan Stanley Research

Stock Code	Company	Notes
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Separator

002812	SEMCORP	Shanghai Energy, No.1 share in wet
3407	Asahi Kasei	No.2 position globally
3402	Toray	Strong tie-up with LG Group
096770	SK ie technology	Wet, Integrated LiB Manufacturer
4208	UBE	Dry
6619	W-Scope	Wet, focused in China
4005	Sumitomo Chemical	Wet, main supplier of Tesla
002108	Cangzhou Mingzhu	Wet

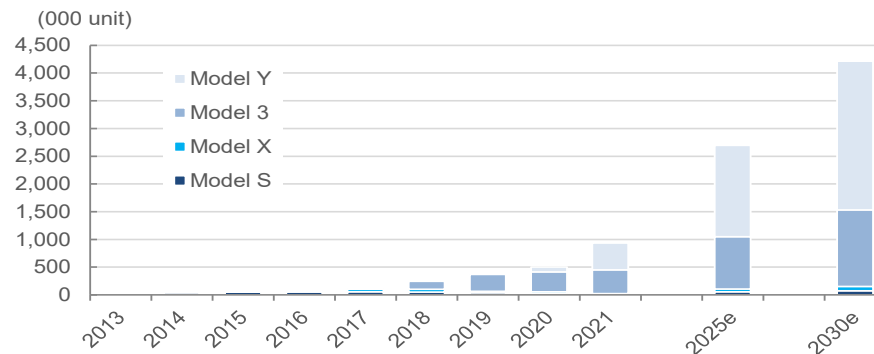
Electrolyte

4208	UBE	Business integration with Mitsubishi
4188	Mitsubishi Chemical HD	Focused in auto
4044	Central Glass	Produce in Japan/Korea/China
002709	Guangzhou Tinci Materials	Cooperation with Lanxess etc.
300037	Shenzhen Capchem	Supplier of Altium etc.
051910	LG Chem	Integrated Supplier of LiB

Core substance for electrolyte

4109	Stella Chemifa	
4047	Kanto Denka	
N.A.	Morita Kagaku	Manufacturing in China
002407	Do-Fluoride Chem	

Tesla Sales unit:

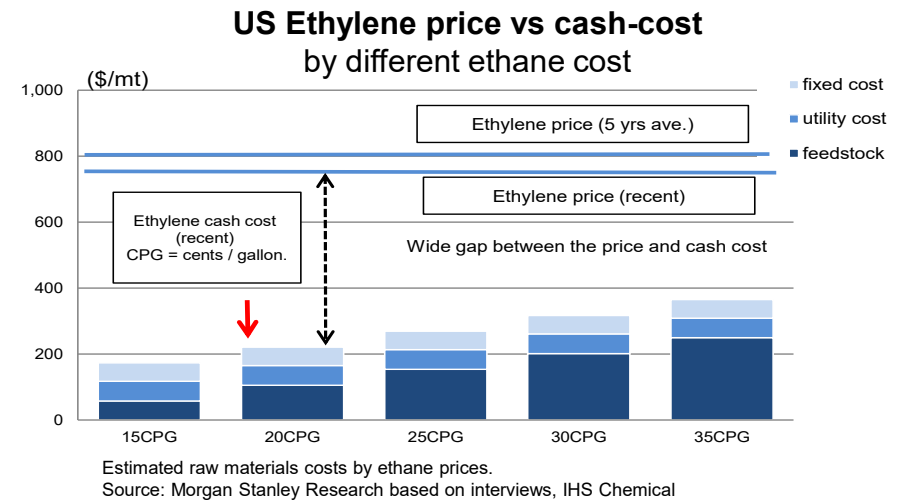
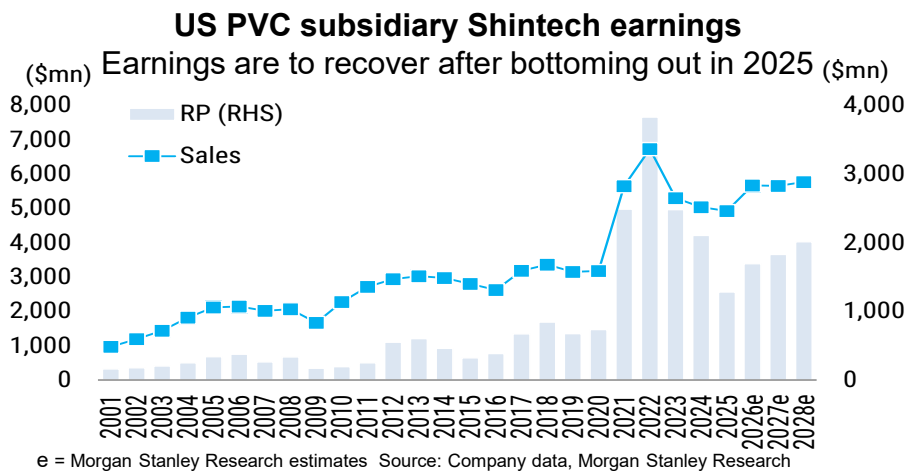


e = Morgan Stanley Research estimates. Source: Company data, Morgan Stanley Research

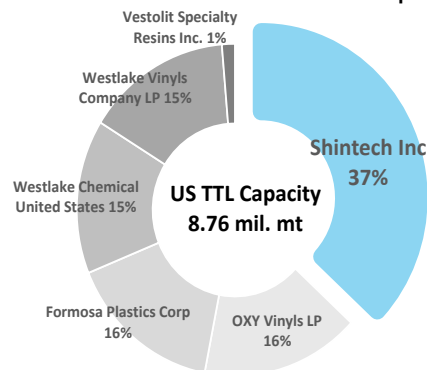
		F3/26						F3/27Ce		F3/27e						F3/28e		F3/29e		B/S analysis		F3/25	F3/26	F3/27e	F3/28e	F3/29e
		1Q	2Q	1H	3Q	4Q	2H	Full	Full	1Q	2Q	1H	3Q	4Q	2H	Full	Full	Full	Cash & securities	1,811,678	1,667,095	1,588,553	1,517,007	1,419,308		
																		Receivables	514,702	535,383	604,268	610,717	622,921			
																		Inventories	769,967	790,911	878,010	888,871	908,218			
																		Other current assets	113,305	112,666	112,666	112,666	112,666			
Structure Materials	244,400	256,000	500,400	247,512	233,458	480,970	981,370	-	274,000	303,000	577,000	287,000	285,000	572,000	1,149,000	1,145,000	1,170,000	Current assets	3,209,652	3,106,055	3,183,497	3,129,261	3,063,113			
cs Materials	240,229	256,071	496,300	254,040	265,425	519,465	1,015,765	-	286,000	309,000	595,000	302,000	293,000	595,000	1,190,000	1,262,000	1,340,000	Tangible & intangible fixed assets	2,065,945	2,187,982	2,297,982	2,452,982	2,632,982			
al Materials	110,013	110,587	220,600	113,176	107,071	220,247	440,847	-	114,000	116,000	230,000	118,000	112,000	230,000	460,000	480,000	498,000	Inv., loan & others	361,003	367,868	366,606	366,606	366,606			
ng & Specialized																		Total assets	5,636,601	5,661,907	5,848,085	5,948,849	6,062,701			
	33,904	33,196	67,100	34,871	34,014	68,885	135,985	-	35,000	34,000	69,000	36,000	36,000	72,000	141,000	145,000	149,000	Short-term debt	9,389	6,929	10,264	10,656	10,718			
	628,549	655,973	1,284,532	649,478	639,969	1,289,447	2,573,969	-	709,000	762,000	1,471,000	743,000	726,000	1,469,000	2,940,000	3,032,000	3,157,000	Payables	184,369	176,399	194,821	196,384	200,759			
																		Other liabilities	343,336	339,303	374,113	422,952	460,833			
Structure Materials	5.1	-7.5	-1.8	-7.7	-11.6	-10	-6	-	12.1	18.4	15.3	16.0	22.1	18.9	17.1	-0.3	2.2	Current liabilities	537,094	522,631	579,198	629,992	672,310			
cs Materials	5.8	7.9	6.8	3.8	17.9	11	9	-	19.1	20.7	19.9	18.9	10.4	14.5	17.2	6.1	6.2	Long-term debt	7,452	236,366	350,122	363,519	365,622			
al Materials	3.1	-7.3	-2.4	-1.9	-0.2	-1	-2	-	3.6	4.9	4.3	4.3	4.6	4.4	4.3	4.3	3.8	Other liabilities	254,468	259,603	259,603	259,603	259,603			
ng & Specialized	7.1	-4.8	0.8	-0.4	-3.3	-2	-1	-	3.2	2.4	2.8	3.2	5.8	4.5	3.7	2.8	2.8	Total liabilities	799,016	1,018,600	1,188,923	1,253,114	1,297,535			
	5.1	-1.9	1.4	-2.1	1.3	-0.4	0.5	-	12.8	16.2	14.5	14.4	13.4	13.9	14.2	3.1	4.1	Equity	3,879,362	3,655,570	3,638,188	3,635,262	3,661,692			
ng profit																		Minority interest	175,112	178,877	213,377	252,877	295,877			
																		Total net asset	4,837,585	4,6						

Ce = Company estimates
e = Morgan Stanley Research estimates
Source: Company data, Morgan Stanley Research

Shin-Etsu Chemical (4063): Earnings at Shintech (US PVC subsidiary)

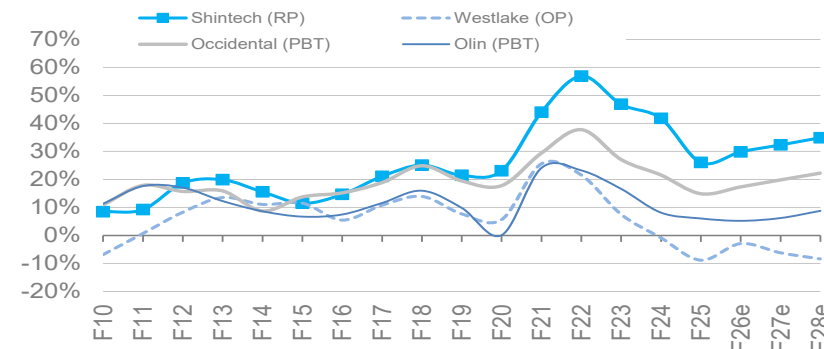


Production capacity share of US PVC makers Shintech remains at the top



Source: Morgan Stanley Research based on industry data, company materials, and interviews

OPMs at leading US PVC makers Shintech maintains its top-class margin



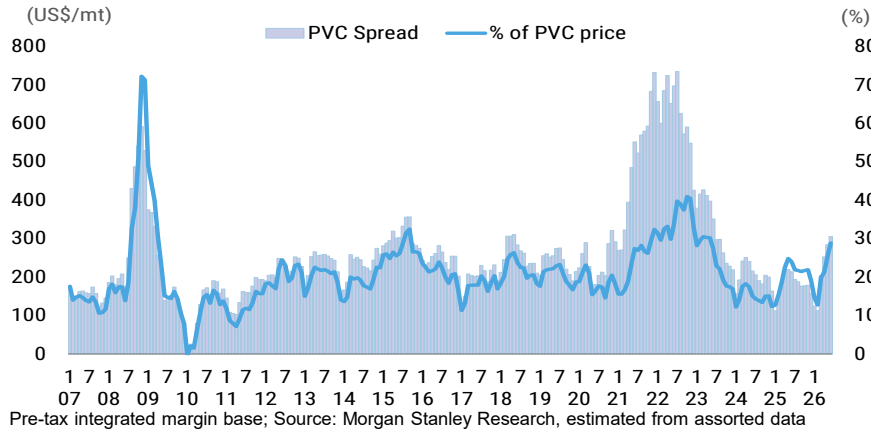
Note: Shintech=RP base, Westlake= Vinyl segment base Occidental=Chemical segment base;
e = Morgan Stanley Research estimates Source: Company data, Morgan Stanley Research

Shin-Etsu Chemical (4063):

North American PVC market trends - Supply/demand balance remains favorable

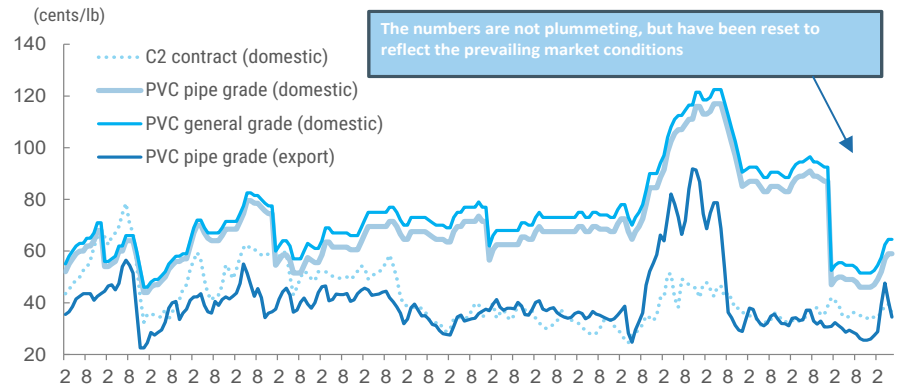
North American PVC spreads

Margins have bottomed out



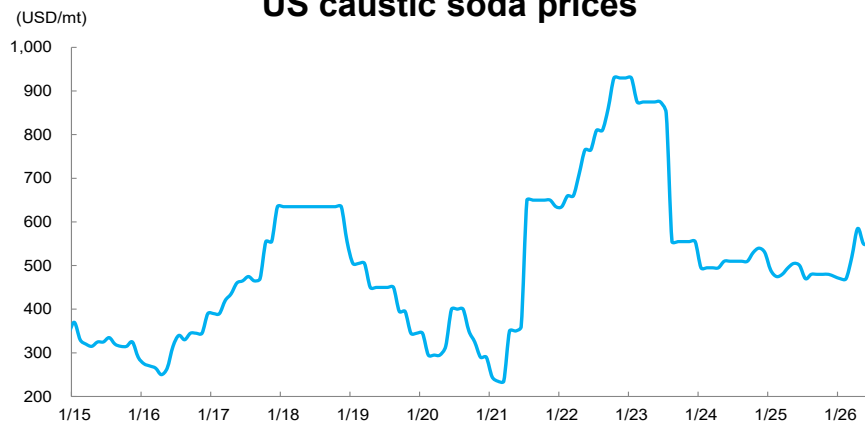
US PVC prices

Both domestic and export prices appear to be close to bottom



Source: IHS, industry data, Morgan Stanley Research

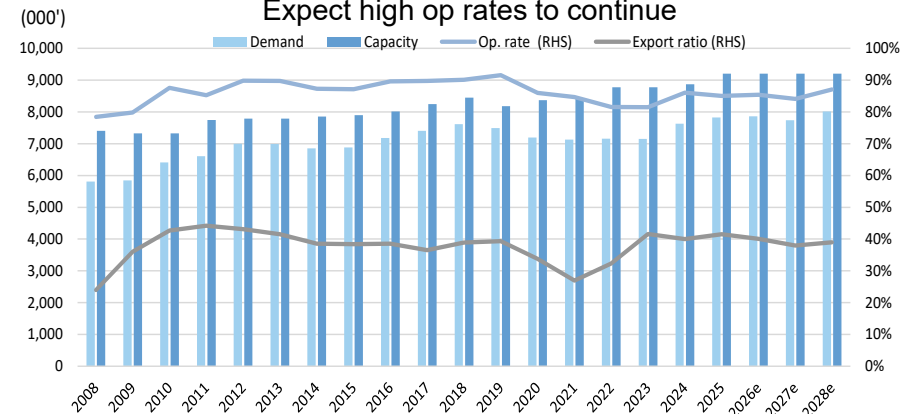
US caustic soda prices



Source: Morgan Stanley Research, estimated from assorted data

US PVC supply/demand

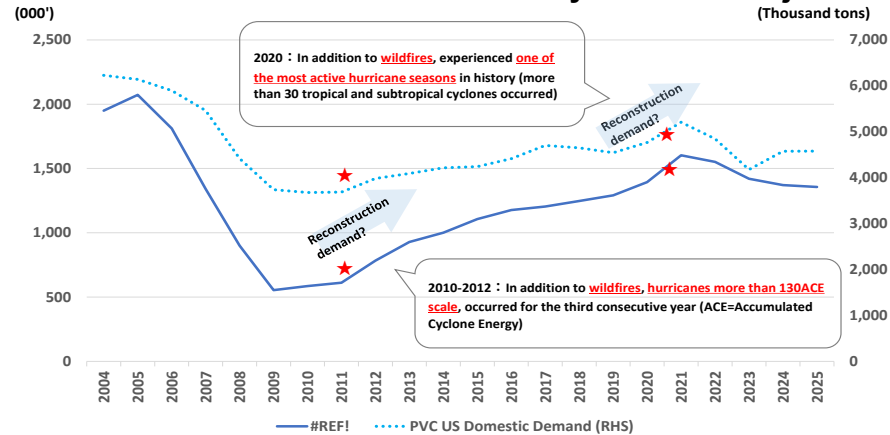
Expect high op rates to continue



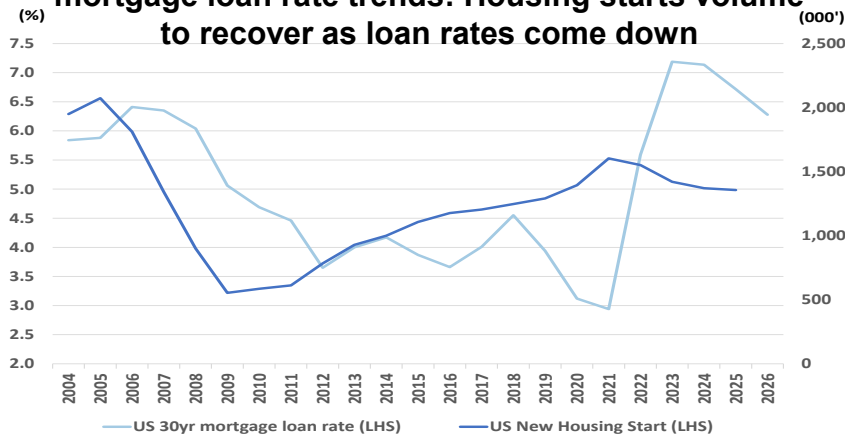
e = Morgan Stanley Research estimates; Source: IHS, industry data, Morgan Stanley Research

Shin-Etsu Chemical (4063): Full-fledged recovery in US PVC prices from mid-year

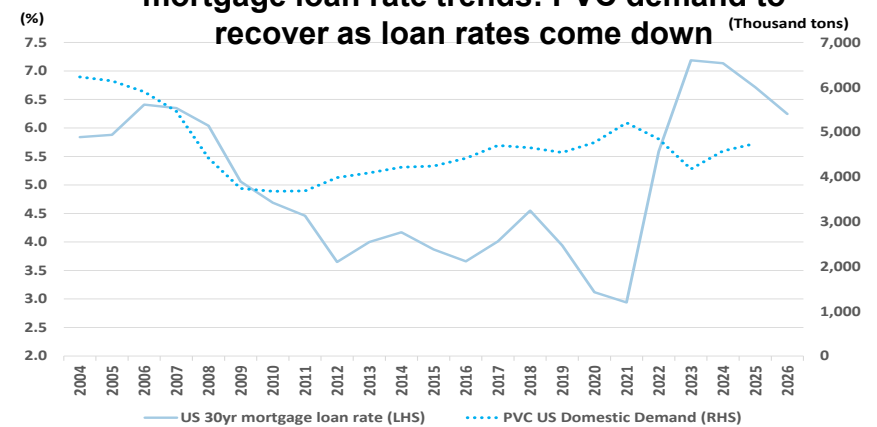
US domestic PVC demand and US new home construction start volume trends: The number of home starts expanded and PVC demand climbed in the 1-2 years after major natural disasters



US new home construction start volume and US 30yr mortgage loan rate trends: Housing starts volume to recover as loan rates come down



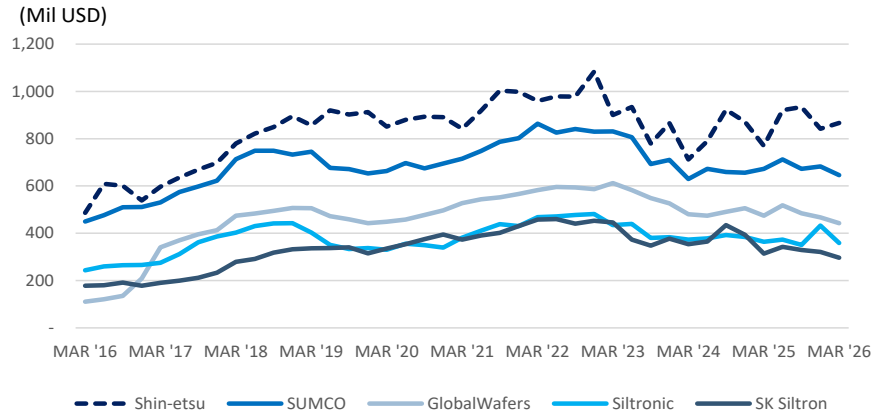
US domestic PVC demand and US 30yr mortgage loan rate trends: PVC demand to recover as loan rates come down



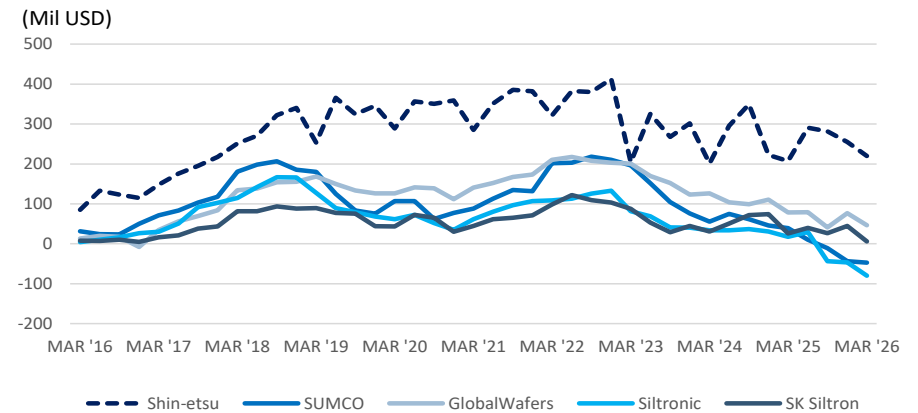
Source: Bloomberg, Morgan Stanley Research based on MoF Corp Stats data

Shin-Etsu Chemical (4063): Profitability levels surpass those of industry peers

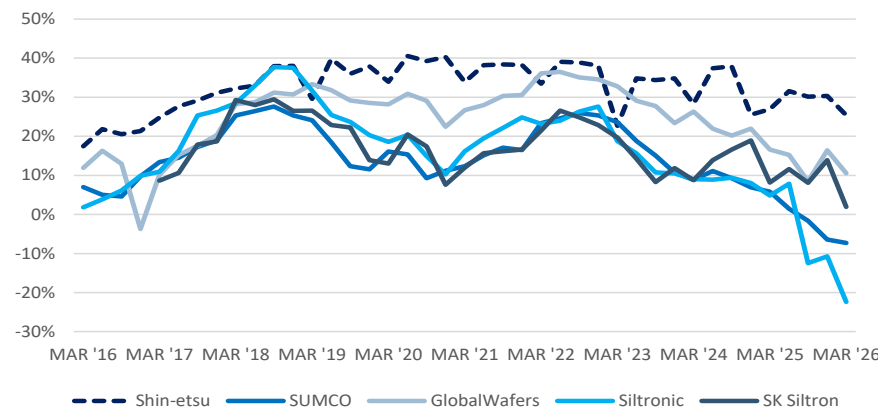
Sales Trend of 5 leading wafer makers



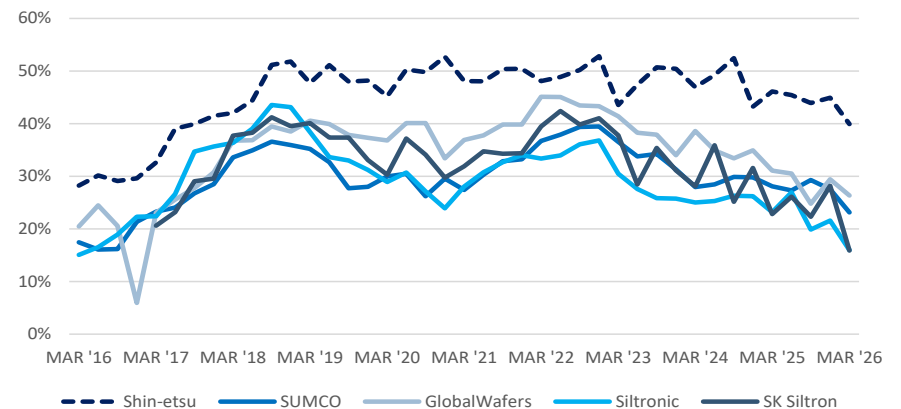
EBIT Trend of 5 leading wafer makers



EBIT Margin Trend of 5 leading wafer makers



EBITDA Margin Trend of 5 leading wafer makers



Source: FactSet, Various materials, Morgan Stanley Research based

Nissan Chemical (4021, Equal-weight, PT ¥9,000): Consolidated earnings

	F25							F26e (as of May 15)							F26e							F27e	F28e	Consolidated B/S (JPYmn)					F24	F25	F26e	F27e	F28e	
	1Q	2Q	1H	3Q	4Q	2H	Full	1Q	2Q	1H	2H	Full	1Q	2Q	1H	3Q	4Q	2H	Full	Full	Full	Full	Full											
Sales	69,871	60,223	130,094	65,341	84,151	149,492	279,586	69,100	62,400	131,500	158,200	289,700	70,000	62,000	132,000	67,000	89,000	156,000	288,000	297,000	308,000			Cash & securities					27,454	35,729	37,320	39,531	37,627	
Chemicals	9,338	9,492	18,830	10,119	10,364	20,483	39,313	9,900	9,700	19,600	21,800	41,400	10,000	10,000	20,000	10,500	11,000	21,500	41,500	43,500	45,500			Accounts receivable					89,131	97,167	100,091	103,219	107,042	
Performance Materials	25,858	28,559	54,417	28,574	30,386	58,960	113,377	29,600	30,600	60,200	65,900	126,100	29,000	30,500	59,500	31,500	33,000	64,500	124,000	132,000	139,000			Inventories					80,148	76,639	77,695	79,065	84,475	
Agro	26,589	15,684	42,273	19,198	34,772	53,970	96,243	23,300	15,900	39,200	58,000	97,200	24,000	16,000	40,000	19,500	38,500	58,001	98,000	97,000	98,500			Other current assets					13,619	12,416	12,416	12,416	12,416	
Healthcare	1,575	1,256	2,831	1,140	1,253	2,393	5,224	1,800	700	2,500	3,000	5,500	1,800	700	2,500	1,500	1,500	3,000	5,500	6,000	6,000			Current assets					210,352	221,951	227,523	234,230	241,560	
Retails	29,982	28,810	58,792	35,729	34,378	70,107	128,899	32,400	31,300	63,700	74,100	137,800	27,500	29,000	56,500	30,500	24,000	54,500	111,000	111,000	111,000			Tangible fixed assets					72,424	76,968	85,368	93,368	102,368	
Other	7,904	6,941	14,845	7,656	9,254	16,910	31,755	8,800	10,400	19,200	18,300	37,500	6,500	6,000	12,500	8,500	9,000	17,500	30,000	30,000	30,000			Intangible fixed assets					13,463	12,770	12,770	12,770	12,770	
Adjustments	-31,376	-30,520	-61,896	-37,075	-36,256	-73,331	-135,227	-36,700	-36,200	-72,900	-82,900	-155,800	-28,800	-30,200	-58,000	-35,000	-28,000	-63,000	-122,000	-122,500	-122,000			Investment, loan & others					34,524	43,389	43,388	43,388	43,388	
																									Fixed assets					120,411	133,127	141,526	149,526	158,526
																									Total assets					330,763	355,078	369,049	383,756	400,086
(% YoY)	19.1	1.2	10.1	15.3	10.0	12.2	11.2	-1.1	3.6	1.1	5.8	3.6	0.2	3.0	1.5	2.5	5.8	4.4	3.0	3.1	3.7			Short-term debt					29,497	28,057	27,675	27,675	27,675	
Chemicals	5.0	5.9	5.5	-1.3	6.5	2.5	3.9	6.0	2.2	4.1	6.4	5.3	7.1	5.4	6.2	3.8	6.1	5.0	5.6	4.8	4.6			Accounts payable					19,877	22,555	22,988	23,519	25,264	
Performance Materials	10.1	13.6	11.9	11.7	17.3	14.5	13.3	14.5	7.1	10.6	11.8	11.2	12.1	6.8	9.3	10.2	8.6	9.4	9.4	6.5	5.3			Other current liabilities					29,844	27,667	27,667	27,667	27,667	
Agro	30.6	-16.7	7.9	31.5	7.2	14.7	11.6	-12.4	1.4	-7.3	7.5	1.0	-9.7	2.0	-5.4	1.6	10.7	7.5	1.8	-1.0	1.5			Current liabilities					79,218	78,279	78,330	78,861	80,606	
Healthcare	7.4	-31.3	-14.1	0.8	-20.1	-11.3	-12.8	14.3	-44.3	-11.7	25.4	5.3	14.3	-44.3	-11.7	31.6	19.7	25.4	5.3	9.1	0.0			Long-term debt					10,977	10,388	10,388	10,388	10,388	
																									Other fixed liabilities					4,387	7,359	7,359	7,359	7,359
																									Fixed liabilities					15,364	17,747	17,747	17,747	17,747
																									Total liabilities					94,582	96,026	96,077	96,608	98,353
																									Equity					234,580	256,247	269,360	269,616	283,137
																									Minority interest					1,600	2,804	3,503	17,316	18,272
																									Total net asset					236,180	259,051	272,863	286,931	301,408
Operating profit	18,097	11,501	29,598	15,386	18,568	33,954	63,552	16,800	11,900	28,700	38,100	66,800	17,500	12,500	30,000	17,000	20,500	37,500	67,500	70,000	71,500			Ratio Analysis										
Chemicals	709	-806	-97	335	869	1,204	1,107	1,000	-700	300	1,000	1,300	1,000	-700	300	400	700	1,100	1,400	1,700	1,900			BPS (JPY)					1,721.3	1,910.7	2,030.6	2,054.7	2,181.4	
Performance Materials	8,201	9,166	17,367	9,400	8,564	17,964	35,331	8,300	9,500	17,800	20,800	38,600	8,500	10,000	18,500	11,000	9,500	20,500	39,000	42,500	45,000			Cash/share (JPY)					201.4	266.4	281.3	301.2	289.9	
Agro	8,648	3,327	11,975	5,022	9,046	14,068	26,043	7,200	3,900	11,100	15,900	27,000	7,500	4,000	11,500	5,200	10,500	15,700	27,200	26,000	24,500			Equity ratio (%)					70.9	72.2	73.0	70.3	70.8	
Healthcare	494	201	695	366	291	657	1,352	700	-200	500	600	1,100	700	-200	500	300	300	600	1,100	1,200	1,300			Interest rate (%)					1.6	1.0	2.1	2.1	2.1	
Retails	1,087	868	1,955	970	888	1,858	3,813	800	800	1,600	1,900	3,500	1,000	900	1,900	1,100	900	2,000	3,900	4,000	4,000			Net debt					13,020	2,716	743	-1,468	436	
Other	487	302	789	214	1,035	1,249	2,038	400	500	900	800	1,700	400	300	700	300	300	600	1,300	1,100	1,100			Total Debt					40,474	38,445	38,063	38,063	38,063	
Adjustments	-1,531	-1,555	-3,086	-924	-2,124	-3,048	-6,134	-1,600	-1,900	-3,500	-2,900	-6,400	-1,600	-1,800	-3,400	-1,300	-1,700	-3,000	-6,400	-6,500	-6,300			Debt/equity ratio					0.17X	0.15X	0.14X	0.14X	0.13X	
(% YoY)	25.4	-17.4	4.4	20.8	17.9	19.2	11.8	-7.2	3.5	-3.0	12.2	5.1	-3.3	8.7	1.4	10.5	10.4	10.4	6.2	3.7	2.1			Net debt/equity ratio					0.06X	0.01X	0.00X	-0.01X	0.00X	
Chemicals	3.7	-	-	-32.6	429.9	82.1	200.0	41.0	-	-	-16.9	17.4	41.1	-	-	19.5	-19.5	-8.7	26.5	21.4	11.8			ROA (% OP base)					17.8	18.4	18.8	18.7	18.3	
Performance Materials	15.2	23.7	19.5	17.8	25.7	21.4	20.5	1.2	3.6	2.5	15.8	9.3	3.6	9.1	6.5	17.0	10.9	14.1	10.4	9.0	5.9			ROA (% NP base)					13.0	14.0	14.1	13.9	13.6	
Agro	23.7	-55.1	-16.9	33.8	16.5	22.1	0.5	-16.7	17.2	-7.3	13.0	3.7	-13.3	20.2	-4.0	3.6	16.1	11.6	4.4	-4.4	-5.8			ROIC (%)					14.9	16.5	16.5	17.1	16.7	
Healthcare	-20.1	-70.0	-46.0	0.3	0.0	0.2	-30.5	41.7	-	-28.1	-8.7	-18.6	41.8	-	-28.1	-18.0	3.2	-8.6	-18.7	9.1	8.3			ROE (%)					18.3	19.4	19.3	19.8	19.2	
																									ROE (%) / pre-amortization					18.3	19.4	19.3	19.8	19.2
																									Sales/total assets					0.76X	0.79X	0.78X	0.77X	0.77X
																									Days of A/R					129	127	127	127	127
																									Days of inventory					217	188	187	186	185
																									Days of A/P					54	55	55	55	55
																									Shares O/S at EOY (mn)					136.3	134.1	132.7	131.2	129.8
Recurring profit	18,139	11,649	29,788	16,725	19,384	36,109	65,897	18,200	11,400	29,600	39,200	68,800	18,500	12,500	31,000	17,500	21,000	38,500	69,500	72,000	73,500			Consolidated C/F (JPYmn)					F24	F25	F26e	F27e	F28e	
(% YoY)	1																																	

Dexerials (4980, Equal-weight, PT ¥4,400): Consolidated earnings

IFRS standards applied from F3/25		F3/26							F3/27Ce (as of May 13)							F3/27e							F3/28e							F3/29e							B/S analysis					F3/25 (IFRS)	F3/26 (IFRS)	F3/27e (IFRS)	F3/28e (IFRS)	F3/29e (IFRS)																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																					
		1Q	2Q	1H	3Q	4Q	2H	Full	Full	1Q	2Q	1H	3Q	4Q	2H	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full	Full

Kuraray (3405, Equal-weight, PT ¥1,750): Consolidated earnings

	F12/25 (Before reclassification)							F12/25 (After reclassification)*							F12/26Ce			F12/26e						F12/27e		F12/28e		B/S analysis		F12/24	F12/25	F26/12e	F27/12e	F28/12e		
	1Q	2Q	1H	3Q	4Q	2H	Full	1Q	2Q	1H	2H	Full	1H	2H	Full	1Q	2Q	1H	3Q	4Q	2H	Full	Full	Full	Full	Full	Full	Full	Cash & securities	F12/24	F12/25	F26/12e	F27/12e	F28/12e		
																(as of Feb 10)			Act																	
Sales																																				
(¥mil)																																				
Vinyl Acetate	100,434	102,451	202,885	98,509	103,101	201,610	404,495	100,434	102,451	202,885	201,610	404,495	205,000	215,000	420,000	101,930	113,070	215,000	101,000	102,000	203,000	418,000	415,000	426,000	426,000	426,000	Current assets	121,692	108,317	108,162	108,702	108,646				
Isoprene	19,686	20,258	39,944	18,557	21,877	40,434	80,378	19,686	20,258	39,944	40,434	80,378	44,000	49,000	93,000	21,527	23,473	45,000	23,000	23,000	46,000	91,000	92,000	96,000	96,000	96,000	Receivables	166,589	178,330	185,431	185,278	188,489				
Functional	47,607	50,533	98,140	50,350	58,449	108,799	206,939	47,799	50,801	98,600	109,300	207,800	106,000	116,000	222,000	52,820	55,180	108,000	53,500	61,500	115,000	223,000	231,000	239,000	239,000	239,000	Inventories	256,828	268,434	285,098	279,087	277,899				
Fibers & Textiles	13,409	16,342	29,751	13,980	17,018	30,998	60,749	13,409	16,342	29,751	30,998	60,749	31,000	32,000	63,000	13,950	17,050	31,000	14,500	17,500	32,000	63,000	65,000	67,000	67,000	67,000	Other current assets	20,153	23,322	23,322	23,322	23,322				
Trading	16,659	17,249	33,908	15,143	19,715	34,858	68,766	16,659	17,249	33,908	34,858	68,766	34,000	36,000	70,000	17,789	18,211	36,000	16,000	20,000	36,000	72,000	73,000	73,000	73,000	73,000	Current assets	565,262	578,403	602,013	596,390	598,356				
Others	11,108	10,987	22,095	9,812	8,887	18,699	40,794	10,916	10,784	21,700	18,200	39,900	17,000	24,000	41,000	7,167	9,833	17,000	10,000	10,000	20,000	37,000	38,000	39,000	39,000	39,000	Tangible fixed assets	540,385	549,112	588,395	607,678	625,961				
Elimination and corporate	-14,101	-12,665	-26,766	-12,885	-14,024	-26,909	-53,675	-14,101	-12,665	-26,766	-26,909	-53,675	-27,000	-32,000	-59,000	-14,272	-13,728	-28,000	-13,000	-17,000	-30,000	-58,000	-58,000	-58,000	-58,000	-58,000	Intangible fixed assets	115,898	110,630	105,347	100,064	94,781				
Total	194,804	205,154	399,958	193,466	215,023	408,489	808,447	194,804	205,154	399,958	408,489	808,447	410,000	440,000	850,000	200,913	223,087	424,000	205,000	217,000	422,000	846,000	856,000	882,000	882,000	882,000	Total assets	1,291,238	1,303,511	1,358,636	1,367,013	1,381,979				
(% YoY)																																				
Vinyl Acetate	1.4	-6.7	-2.9	-7.6	3.7	-2.2	-2.5	1.4	-6.7	-2.9	-2.2	-2.5	1.0	6.6	3.8	1.5	10.4	6.0	2.5	-1.1	0.7	3.3	-0.7	2.7	2.7	2.7	Other liabilities	51,996	88,732	104,658	110,475	112,154				
Isoprene	14.8	-0.6	6.4	0.1	7.8	4.1	5.3	14.8	-0.6	6.4	4.1	5.3	10.2	21.2	15.7	9.4	15.9	12.7	23.9	5.1	13.8	13.2	1.1	4.3	4.3	4.3	Payables	59,561	58,490	60,994	60,786	62,035				
Functional	-2.3	-6.5	-4.5	1.6	5.0	3.4	-0.5	-	-	-	-	-	7.5	6.1	6.8	10.5	8.6	9.5	-	5.2	7.3	3.6	3.5	3.5	3.5	3.5	Other liabilities	86,674	81,007	89,935	79,276	81,075				
Fibers & Textiles	-3.0	-6.1	-4.7	-6.6	3.3	-1.4	-3.1	-3.0	-6.1	-4.7	-1.4	-3.1	4.2	3.2	3.7	4.0	4.3	4.2	3.7	2.8	3.2	3.7	3.2	3.1	3.1	3.1	Current liabilities	198,231	228,229	255,587	250,538	255,264				
Trading	8.8	2.0	5.2	-5.4	1.7	-1.5	1.7	8.8	2.0	5.2	-1.5	1.7	0.3	3.3	1.8	6.8	5.6	6.2	5.7	1.4	3.3	4.7	1.4	0.0	0.0	0.0	Long-term debt	192,286	196,187	231,399	244,262	247,972				
Others	-5.3	-17.2	-11.6	-18.7	-35.6	-27.7	-19.8	-	-	-	-	-	-21.7	31.9	2.8	-34.3	-	-21.7	-	-	9.9	-7.3	2.7	2.6	2.6	2.6	Other liabilities	118,931	123,919	123,919	123,919	123,919				
Total	1.4	-6.3	-2.7	-5.0	1.4	-1.7	-2.2	1.4	-6.3	-2.7	-1.7	-2.2	2.5	7.7	5.1	3.1	8.7	6.0	0.9	3.3	4.6	1.2	3.0	3.0	3.0	3.0	Total liabilities	509,448	548,335	610,905	618,718	627,155				
Operating profit																																				
(¥mil)																																				
Vinyl Acetate	15,917	13,954	29,871	18,689	13,985	32,674	62,545	15,917	13,954	29,871	32,674	62,545	22,000	41,000	63,000	11,031	9,969	21,000	18,000	15,000	33,000	54,000	59,000	63,000	63,000	63,000	Return on assets	375.7	352.8	372.3	387.5	401.0				
Isoprene	2,822	-4,133	-1,311	-867	-2,686	-3,553	-4,864	2,822	-4,133	-1,311	-3,553	-4,864	1,500	1,500	3,000	2,889	-1,389	1,500	1,000	-500	500	2,000	2,500	4,000	4,000	4,000	Equity ratio (%)	59.2	57.0	54.6	54.3	54.1				
Functional	2,006	893	2,899	3,422	4,505	7,927	10,826	1,359	341	1,700	7,200	8,900	6,000	8,500	14,500	3,375	2,625	6,000	4,000	4,500	8,500	14,500	17,000	19,500	19,500	19,500	Debt/equity ratio	0.32	0.38	0.46	0.48	0.49				
Fibers & Textiles	-598	541	-57	1,352	1,338	2,690	2,633	-598	541	-57	2,690	2,633	1,500	3,000	4,500	1,143	657	1,800	1,500	1,700	3,200	5,000	5,300	5,500	5,500	5,500	Return on assets (%)	2.5	0.6	2.4	2.8	3.1				
Trading	1,377	1,665	3,042	1,183	1,814	2,997	6,039	1,377	1,665	3,042	2,997	6,039	3,000	3,500	6,500	1,564	1,436	3,000	1,300	2,200	3,500	6,500	6,500	6,500	6,500	6,500	Return on equity (%)	5.1	3.4	3.4	3.9	4.3				
Others	134	592	726	737	332	1,069	1,795	781	1,119	1,900	1,800	3,700	0	1,000	1,000	397	3	400	500	500	1,000	1,400	1,000	1,000	1,000	1,000	Days of A/R	73.5	80.5	80.0	79.0	78.0				
Elimination and corporate	-3,009	-5,900	-8,909	-4,421	-6,762	-11,183	-20,092	-3,009	-5,900	-8,909	-11,183	-20,092	-10,000	-12,500	-22,500	-5,530	-6,170	-11,700	-3,800	-6,900	-10,700	-22,400	-21,300	-21,500	-21,500	-21,500	Days of inventory	113.4	121.2	123.0	119.0	115.0				
Total	18,650	7,611	26,261	20,097	12,524	32,621	58,882	18,650	7,611	26,261	32,621	58,882	24,000	46,000	70,000	14,870	7,130	22,000	22,500	16,500	39,000	61,000	70,000	78,000	78,000	78,000	Number of employees	12,000	12,000	12,217	12,317	12,417				
(% YoY)																																				
Vinyl Acetate	-35.8	-27.0	-32.0	-30.0	-17.9	-25.3	-28.6	-35.8	-27.0	-32.0	-25.3	-28.6	-26.3	25.5	0.7	-30.7	-28.6	-29.7	-3.7	7.3	1.0	-13.7	9.3	6.8	6.8	6.8	CF analysis									
Isoprene	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	25.0	60.0	60.0	60.0	Net profit	31,724	7,468	32,000	38,500	43,500				
Functional	-38.1	-72.3	-55.2	20.6	23.7	22.3	-16.4	-	-	-	-	-	252.9	18.1	62.9	148.3	669.9	253.0	-	-	18.1	62.9	17.2	14.7	14.7	14.7	Depreciation (+)	80,390	79,419	79,717	80,717	81,717				
Fibers & Textiles	-	-43.9	-	-7.9	-	453.5	118.1	-	-43.9	-	453.5	118.1	-	11.5	70.9	-	21.4	-	10.9	27.1	19.0	89.9	6.0	3.8	3.8	3.8	Goodwill amortization (+)	4,870	5,283	5,283	5,283	5,283				
Trading	3.1	18.8	11.1	-12.8	-0.4	-5.7	2.1	3.1	18.8	11.1	-5.7	2.1	-1.4	16.8	7.6	13.6	-13.8	-1.4	9.9	21.3	16.8	7.6	0.0	0.0	0.0	0.0	Receivables (-)	2,199	-8,854	-7,101	153	-3,211				
Others	-68.7	24.1	-19.8	-26.3	-14.9	-23.1	-21.8	-	-	-	-	-	-44.4	-73.0	-49.2	-99.7	-78.9	-	-	-44.4	-62.2	-28.6	0.0	0.0	0.0	0.0	Inventories (-)	-17,259	-6,327	-16,664	6,011	1,149				
Total	-35.2	-54.3	-42.2	-29.4	12.2	-17.7	-30.8	-35.2	-54.3	-42.2	-17.7	-30.8	-8.6	41.0	18.9	-20.3	-6.3	-16.2	12.0	31.7	19.6	3.6	14.8	11.4	11.4	11.4	Payables (+)	6,238	-1,332	2,504	-208	1,289				
Recurring profit																																				
(¥mil)	17,826	3,458	21,284	18,805	11,426	30,231	51,515	17,826	3,458																											

SUMCO (3436, Underweight, PT ¥3,000): Consolidated earnings

	F12/25							F12/26Ce (as of May 12)							F12/26e							F12/27e	F12/28e	B/S analysis	F12/24	F12/25	F12/26e	F12/27e	F12/28e
	1Q	2Q	1H	3Q	4Q	2H	Full	1Q	2Q	1H	1Q	2Q	1H	3Q	4Q	2H	Full	Full	Full										
								Act			Act																		
Sales	102,472	102,900	205,372	99,064	105,234	204,298	409,670	101,402	111,998	213,400	101,402	112,098	213,500	112,500	113,000	225,500	439,000	464,000	489,000	Cash & securities	95,671	75,296	96,592	96,914	97,004				
(% YoY)	9.6	-1.8	3.6	0.7	5.3	3.0	3.3	-1.0	8.8	3.9	-1.0	8.9	4.0	13.6	7.4	10.4	7.2	5.7	5.4	Receivables	92,549	89,994	93,791	97,225	100,454				
OP	5,990	1,467	7,457	-1,588	-4,527	-6,115	1,342	-5,273	-2,427	-7,700	-5,273	-2,227	-7,500	-4,000	-4,500	-8,500	-16,000	21,000	44,000	Inventories	233,268	250,643	276,646	289,858	301,456				
(% YoY)	-31.1	-87.9	-64.2	-	-	-	-96.4	-	-	-	-	-	-	-	-	-	-	-	109.5	Other current assets	13,655	11,426	11,426	11,426	11,426				
RP	4,892	-172	4,720	-2,545	-6,061	-8,606	-3,886	-7,965	-6,435	-14,400	-7,965	-6,035	-14,000	-5,000	-6,000	-11,000	-25,000	19,000	43,000	Current assets	435,143	427,359	478,454	495,423	510,340				
(% YoY)	-46.3	-	-76.9	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	126.3	Tangible fixed assets	692,350	663,425	571,425	516,425	489,425				
NP	3,047	34	3,081	-4,076	-10,756	-14,832	-11,751	-8,469	-6,931	-15,400	-8,469	-6,531	-15,000	-5,500	-6,500	-12,000	-27,000	13,000	30,000	Intangible fixed assets	7,333	7,231	7,231	7,231	7,231				
(% YoY)	-39.7	-99.6	-75.6	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	130.8	Inv., loan & others	37,857	29,951	30,312	30,312	30,312				
EPS (¥)	8.7	0.1	8.8	-11.7	-30.8	-42.4	-33.6	-24.2	-19.8	-44.0	-24.2	-18.7	-42.9	-15.7	-18.6	-34.3	-77.2	37.2	85.8	Fixed assets	737,540	700,607	608,968	553,968	526,968				
Dividends (¥)	-	-	10.0	-	-	10.0	20.0	-	-	10.0	-	-	10.0	-	-	10.0	20.0	20.0	30.0	Total assets	1,172,683	1,127,966	1,087,422	1,049,391	1,037,308				
																				Short-term debt	41,740	41,358	40,304	34,903	30,752				
																				Payables	32,028	32,126	34,426	36,387	38,347				
																				Other liabilities	89,868	59,596	59,596	59,596	59,596				
																				Current liabilities	163,636	133,080	134,326	130,885	128,695				
																				Long-term debt	312,213	312,350	304,393	263,597	232,248				
																				Other liabilities	39,597	34,750	34,750	34,750	34,750				
																				Fixed liabilities	351,810	347,100	339,143	298,347	266,998				
																				Total liabilities	515,447	480,181	473,470	429,233	395,693				
																				Shareholders' equity	592,115	578,379	544,745	550,750	572,008				
																				Equity	561,467	544,739	510,745	516,750	538,008				
																				Valuation and translation adjustments	30,647	33,639	34,000	34,000	34,000				
																				Minority interest	65,121	69,406	69,206	69,406	69,606				
																				Total net asset	657,236	647,785	613,951	620,156	641,614				
																				Ratio analysis									
																				Book value/share (¥)	1,693.17	1,653.87	1,557.69	1,574.86	1,635.65				
																				Cash/share (¥)	273.67	215.31	276.20	277.12	277.38				
																				Equity ratio (%)	50.5	51.3	53.5	56.2	59.1				
																				Current ratio	2.66	3.21	3.56	3.79	3.97				
																				Quick ratio	1.15	1.24	1.42	1.48	1.53				
																				Net working capital	271,507	294,279	344,128	364,538	381,646				
																				Interest rate (%)	0.9	0.8	0.8	0.6	0.6				
																				Interest coverage ratio	14.96	1.12	-5.00	11.70	29.00				
																				Debt/equity ratio	0.60	0.6	0.6	0.5	0.5				
																				Return on assets (% business interests basis)	3.3	0.3	-1.3	2.2	4.5				
																				Return on assets (% net profit basis)	1.7	-1.0	-2.5	1.2	2.9				
																				Return on capital (%)	2.3	0.1	-1.1	1.5	3.2				
																				Return on equity (%)	3.4	-2.0	-4.8	2.4	5.3				
																				Sales/total assets	0.34	0.36	0.40	0.44	0.47				
																				Days of A/R	85.2	80.2	78.0	76.5	75.0				
																				Days of inventory	214.7	223.3	230.0	228.0	225.0				
																				Revenues per employee	40.3	41.8	52.6	55.9	58.2				
																				Number of employees	9,850	9,800	8,350	8,300	8,400				
																				Shares O/S at EOY (mil)	349.71	349.71	349.71	349.71	349.71				
																				CF analysis									
																				Net profit	19,877	-11,751	-27,000	13,000	30,000				
																				Depreciation (+)	78,986	115,692	142,000	115,000	107,000				
																				Receivables (-)	-7,267	2,742	-3,797	-3,434	-3,229				
																				Inventories (-)	-13,219	-16,907	-26,003	-13,212	-11,598				
																				Payables (+)	-4,466	229	2,300	1,960	1,960				
																				Others	-4,284	10,035	-200	200	200				
																				Operating CF	69,627	100,040	87,300	113,514	124,333				
																				purchase of PPE and intangible assets (-)	-247,248	-111,033	-50,000	-60,000	-80,000				
																				Investments, loan and others (-)	-628	-414	0	0	0				
																				Investment CF	-247,876	-111,447	-50,000	-60,000	-80,000				
																				Debt (+)	126,032	-3,810	-9,010	-46,198	-35,500				
																				Dividends (-)	-9,804	-5,602	-6,994	-6,994	-8,743				
																				Others	-3,934	683	0	0	0				
																				Financial CF	112,294	-8,729	-16,005	-53,192	-44,243				
																				Free cash flow	-178,249	-11,407	37,300	53,514	44,333				
																				DPS (¥)	21.00	20.00	20.00	20.00	30.00				

Ce = Company estimates, e = Morgan Stanley Research estimates
Source: Company data, Morgan Stanley Research

Nitto Denko (6988, Underweight, PT ¥3,000): Consolidated earnings

	F3/26							F3/27Ce (As of Apr 27)							F3/27e							F3/28e	F3/29e	B/S analysis					F3/25	F3/26	F3/27e	F3/28e	F3/29e
	1Q	2Q	1H	3Q	4Q	2H	Full	1H	2H	Full	1Q	2Q	1H	3Q	4Q	2H	Full	Full	Full														
																				Cash & securities	363,344	359,805	330,182	313,679	325,836								
																				Receivables	210,418	231,880	231,006	235,477	240,402								
																				Inventories	142,932	157,870	161,720	165,447	169,532								
																				Other current assets	33,515	47,739	47,739	47,739	47,739								
																				Current assets	750,209	797,294	770,647	762,342	783,509								
																				Tangible fixed assets	417,636	466,960	507,960	537,960	549,460								
																				Intangible fixed assets	93,251	101,675	101,675	101,675	101,675								
																				Inv., loan & others	60,824	75,828	75,678	75,678	75,678								
																				Total assets	1,321,920	1,441,757	1,455,960	1,477,655	1,510,322								
																				Short-term debt	455	0	0	0	0								
																				Payables	100,508	103,605	106,208	109,634	113,362								
																				Other liabilities	120,772	122,365	122,365	122,365	122,365								
																				Current liabilities	221,735	225,970	228,573	231,999	235,727								
																				Long-term debt	0	0	0	0	0								
																				Other liabilities	55,070	66,683	66,683	66,683	66,683								
																				Total liabilities	276,805	292,653	295,257	298,682	302,410								
																				Equity attributable to shareholders	1,044,083	1,148,027	1,159,626	1,177,896	1,206,835								
																				Non-controlling interests	1,031	1,075	1,075	1,075	1,075								
																				Total equity	1,045,114	1,149,103	1,160,701	1,178,971	1,207,910								
																				Ratio analysis													
																				Book value/share (¥)	1,502.4	1,704.2	1,789.1	1,886.8	2,002.6								
																				Cash/share (¥)	522.8	534.1	509.4	502.5	540.7								
																				Equity ratio (%)	79.0	79.6	0.8	0.8	0.8								
																				Debt/equity ratio	0.00	0.00	0.00	0.00	0.00								
																				Return on assets	14.3	13.0	12.7	13.2	13.9								
																				(%, business interests basis)													
																				Return on assets	10.4	9.3	9.1	9.5	10.0								
																				(%, net profit basis)													
																				Return on capital (%)	10.7	9.6	9.4	9.8	10.3								
																				Return on equity (%)	13.5	12.2	11.5	12.0	12.7								
																				Days of A/R	75.8	82.3	80.0	79.0	78.0								
																				Days of inventory	51.5	56.0	56.0	55.5	55.0								
																				Number of employees	25,400	26,477	26,600	26,700	26,800								
																				Shares O/S at EOY (m)	694.9	673.7	648.2	624.3	602.6								
																				F3/25	F3/26	F3/27e	F3/28e	F3/29e									
																				CF analysis													
																				Net profit	137,237	133,498	133,000	140,000	151,000								
																				Depreciation (+)	65,595	70,677	79,000	80,000	78,500								
																				Receivables (-)	-3,791	-4,670	874	-4,471	-4,926								
																				Inventories (-)	-8,526	-5,957	-3,850	-3,726	-4,085								
																				Payables (+)	2,369	332	2,603	3,426	3,728								
																				Others	25,024	-1,697	0	0	0								
																				Operating CF	217,908	192,183	211,627	215,229	224,217								
																				Purchase of PPE	-105,795	-92,073	-120,000	-110,000	-90,000								
																				and intangible assets (-)	-9,310	-15,363	0	0	0								
																				Investments, loan and others (-)	-9,310	-15,363	0	0	0								
																				Investment CF	-115,105	-107,436	-120,000	-110,000	-90,000								
																				Debt (+)	-5,713	-6,626	1	-1	0								
																				Dividends (-)	-38,040	-39,667	-41,251	-41,730	-42,061								
																				Others	-35,137	-60,304	-80,000	-80,000	-80,000								
																				Financial CF	-78,890	-106,597	-121,250	-121,731	-122,061								
																				Free cash flow	102,803	84,747	91,627	105,229	134,217								
																				DPS (¥)	56.00	60.00	64.00	66.00	70.00								

Ce = Company estimates, e = Morgan Stanley Research estimates

Source: Company data, Morgan Stanley Research

Fine Chemicals (Industry view: In-line)

Carbon fiber composite materials show significant revenue improvement due to full-scale recovery in aircraft applications. Our recommended name is Toray. The firm has the top market share in carbon fiber and its businesses in textiles and functional chemicals are also strong.

OW	3402	Toray	Robust profit growth will likely persist over the medium term, supported by 1) robust growth in the base chemicals business (through projects to improve earnings and its strategic pipeline), and 2) sharp improvement in carbon composite materials. For F3/28, our forecast P/E is ~11x, P/B is 0.8x (ROE about 8%), indicating strong undervaluation. We expect performance from F3/27 to significantly exceed consensus; OW.
EW	3002	Gunze	Short-term earnings at risk of drag from fewer China shipments in the medical segment, but we expect high return yield to support share price; EW.
UW	3401	Teijin	Materials and Healthcare both sluggish; will likely take time for full earnings recovery. While we are positive on Teijin exiting composite materials in the US and moves to boost earnings in aramid and carbon fibers, we also see a lack of medium-term growth potential. The stock looks overvalued; UW.

	Rating	Share price (¥)	Price target (¥)	P/E (x)			P/CF (x)			EV/EBITDA (x)			P/B (x)			Dividend yield (%)			Mkt cap	FX Sensitivity for OP (¥bn)		FX Sensitivity vs F26 MS (core) OP		Company FX assumptions (F26)	
				F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e	F26e	F27e	F28e		vs. USD	vs. EUR	vs. USD	vs. EUR	(¥/USD)	(¥/EUR)
		(13-Jul)														(¥bn)									
Fine Chemicals (In-Line)																									
3002 Gunze	EW	3,970	4,200	25.3	19.3	16.0	10.1	9.1	33.1	8.0	7.0	6.5	1.1	1.1	1.1	5.4	5.5	5.5	126.7	0.10	-	1.2%	-	155.0	-
3401 Teijin	UW	1,655	1,450	7.6	19.4	15.6	3.4	4.5	4.2	7.0	6.4	5.9	0.8	0.8	0.8	3.0	3.0	3.0	319.3	0.25	-	0.9%	-	150.0	176.0
3402 Toray	OW	1,138	1,600	14.3	11.0	9.1	6.4	5.5	5.0	8.3	7.4	6.8	0.9	0.8	0.8	2.3	2.6	3.2	1,657.1	1.0	-	0.6%	-	150.0	-
4631 DIC	++	4,520	++	12.4	13.2	12.2	4.8	4.7	4.6	7.4	7.3	7.0	0.9	0.8	0.8	3.1	3.3	3.5	428.0	0.2	-	0.3%	-	150.0	168.0

Fiscal year for DIC end in December
e = Morgan Stanley Research estimates.
Source: Company data, FactSet, Morgan Stanley Research

[++] indicates the data for this company have been removed from consideration because under Morgan Stanley policy and/or applicable regulations, Morgan Stanley may be precluded from issuing such information with respect to this company at this time.

Fine Chemicals: In-Line Toray (3402, Overweight, PT ¥1,600): Consolidated earnings

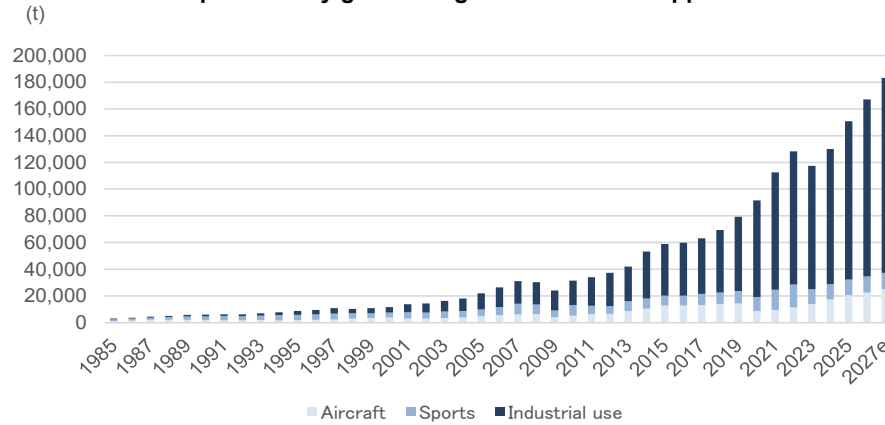
	F3/26						F3/27Ce (as of May 13)			F3/27e						F3/28e	F3/29e	B/S analysis	F3/25 (IFRS)	F3/26 (IFRS)	F3/27e (IFRS)	F3/28e (IFRS)	F3/29e (IFRS)	
	1Q	2Q	1H	3Q	4Q	2H	Full	1H	2H	Full	1Q	2Q	1H	3Q	4Q	2H	Full	Full						
Sales Revenue (JPYmn)																								
Fibers & textiles	239,897	264,123	504,020	300,918	246,164	547,082	1,051,102	540,000	560,000	1,100,000	261,000	279,000	540,001	311,000	254,000	565,000	1,105,000	1,143,000	1,184,000	237,295	265,295	265,812	266,264	266,539
Performance Chemicals	220,069	223,194	443,263	225,415	225,745	451,160	894,423	500,000	520,000	1,020,000	241,000	242,000	483,000	239,000	238,000	477,000	960,000	1,003,000	1,042,000	605,967	642,708	682,499	704,906	724,711
Carbon Fiber																				520,505	538,586	576,318	594,007	609,400
Composite Materials	66,869	68,534	135,403	77,326	87,342	164,668	300,071	160,000	185,000	345,000	80,000	82,000	162,000	90,000	95,000	185,000	347,000	373,000	393,000	98,221	82,370	82,370	82,370	82,370
Environment & engineering	52,953	64,013	116,966	63,287	86,645	149,932	266,898	-	-	-	56,000	68,000	124,000	68,000	90,000	158,000	282,000	297,000	312,000	1,461,988	1,528,959	1,606,999	1,647,547	1,683,020
Life Science	11,728	13,329	25,057	13,437	13,930	27,367	52,424	-	-	-	11,500	13,500	25,000	13,500	14,500	28,000	53,000	53,000	53,000	1,357,444	1,435,382	1,455,382	1,467,382	1,451,382
Others	4,313	5,288	9,601	4,800	5,758	10,558	20,159	-	-	-	4,500	5,500	10,000	5,000	6,000	11,000	21,000	22,000	22,000	473,165	512,635	512,635	512,635	512,635
Water Treatment & Healthcare*	-	-	77,300	-	-	89,500	166,800	80,000	100,000	180,000	-	-	-	-	-	-	-	-	-	3,292,597	3,476,976	3,575,016	3,627,564	3,647,037
Others*	-	-	74,300	-	-	98,400	172,600	90,000	95,000	185,000	-	-	-	-	-	-	-	-	-	22,000	22,000	22,000	22,000	22,000
Total	595,829	638,481	1,234,310	685,183	665,584	1,350,767	2,585,077	1,370,000	1,460,000	2,830,000	654,000	690,000	1,344,000	726,500	697,500	1,424,000	2,768,000	2,891,000	3,006,000					
(%YoY)																								
Fibers & textiles	-2.0	-2.4	-2.2	16.2	4.1	10.4	4.0	7.1	2.4	4.7	8.8	5.6	7.1	3.4	3.2	3.3	5.1	3.4	3.6					
Performance Chemicals	-9.0	-5.3	-7.2	-3.9	-3.1	-3.5	-5.3	12.8	15.3	14.0	9.5	8.4	9.0	6.0	5.4	5.7	7.3	4.5	3.9					
Carbon Fiber	-13.9	-8.8	-11.4	9.8	13.8	11.9	0.0	18.2	12.3	15.0	19.6	19.6	19.6	16.4	8.8	12.3	15.6	7.5	5.4					
Composite Materials	-7.9	12.3	2.2	31.9	17.0	22.8	12.8	-	-	-	5.8	6.2	6.0	7.4	3.9	5.4	5.7	5.3	5.1					
Environment & engineering	-3.4	-0.8	-2.0	-1.4	-0.2	-0.8	-1.4	-	-	-	-1.9	1.3	-0.2	0.5	4.1	2.3	1.1	0.0	0.0					
Life Science	10.6	22.1	16.7	15.0	9.2	11.7	14.0	-	-	-	4.3	4.0	4.2	4.2	4.2	4.2	4.2	4.8	0.0					
Others	-	-	-	-	-	-	-	3.5	11.7	7.9	-	-	-	-	-	-	-	-	-					
Water Treatment & Healthcare*	-	-	-	-	-	-	-	21.1	-3.5	7.2	-	-	-	-	-	-	-	-	-					
Others*	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-					
Total	-6.6	-2.7	-4.6	8.8	4.1	6.4	0.9	11.0	8.1	9.5	9.8	8.1	8.9	6.0	4.8	5.4	7.1	4.4	4.0					
Core OP / OP (JPYmn)																								
Fibers & textiles	15,192	19,850	35,042	19,743	13,256	32,999	68,041	35,000	40,000	75,000	14,500	20,500	35,000	22,000	18,000	40,000	75,000	81,000	84,000					
Performance Chemicals	13,608	15,177	28,785	14,320	13,180	27,500	56,285	32,000	34,000	66,000	14,000	18,000	32,000	18,000	19,000	37,000	69,000	79,000	91,000					
Carbon Fiber	4,627	4,811	9,438	2,042	6,160	8,202	17,640	11,500	12,500	24,000	6,000	8,000	14,000	6,500	7,500	14,000	28,000	39,000	48,000					
Composite Materials	3,138	6,692	9,830	7,725	11,269	18,994	28,824	-	-	-	3,000	7,000	10,000	9,500	10,000	19,500	29,500	34,000	38,000					
Environment & engineering	-1,047	-62	-1,109	52	943	995	-114	-	-	-	-500	-500	-1,000	500	500	1,000	0	0	0					
Life Science	59	-819	-760	765	2,461	3,226	2,466	-	-	-	0	0	0	500	1,500	2,000	2,000	2,000	3,000					
Others	-	-	5,600	-	-	9,400	15,100	5,000	10,500	15,500	-	-	-	-	-	-	-	-	-					
Water Treatment & Healthcare*	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-					
Others*	-	-	2,300	-	-	13,800	16,100	5,000	11,500	16,500	-	-	-	-	-	-	-	-	-					
Total	-6,504	-6,839	-13,343	-7,440	-10,446	-17,886	-31,229	-15,500	-21,500	-37,000	-6,500	-7,500	-14,000	-8,500	-11,000	-19,500	-33,500	-35,000	-35,000					
Core Operating profit	29,073	38,810	67,883	37,207	36,823	74,030	141,913	73,000	87,000	160,000	30,500	45,500	76,000	48,500	45,500	94,000	170,000	200,000	230,000					
Non-recurring items	-1,567	-2,017	-3,584	-30,467	-10,641	-41,108	-44,692	-	-	-	0	-5,000	-5,000	0	-5,000	-5,000	-10,000	0	0					
Operating profit	27,506	36,793	64,299	6,740	26,182	32,922	97,221	-	-	-	30,500	40,500	71,000	48,500	40,500	89,000	160,000	200,000	230,000					
(%YoY)																								
Fibers & textiles	2.5	1.2	1.7	26.5	-6.2	11.0	6.0	-0.1	21.2	10.2	-4.6	3.3	-0.1	11.4	35.8	21.2	10.2	8.0	3.7					
Performance Chemicals	-25.7	-3.0	-15.3	1.6	10.3	5.6	-6.2	11.2	23.6	17.3	2.9	18.6	11.2	25.7	44.2	34.5	22.6	14.5	15.2					
Carbon Fiber	-9.9	-27.1	-19.6	-14.0	-26.7	-23.9	-21.7	21.8	52.4	36.1	29.7	66.3	48.3	218.3	21.8	70.7	58.7	39.3	23.1					
Composite Materials	-38.0	-0.8	-16.8	49.8	25.9	34.6	11.2	-	-	-	-4.4	4.6	1.7	23.0	-11.3	2.7	2.3	15.3	11.8					
Environment & engineering	-	-	-	757.3	-	-	-	-	-	-	-	-	-	861.5	-47.0	0.5	-	-	-					
Life Science	-80.9	-	-	93.2	72.0	76.6	1.1	-	-	-	-	-	-	-34.6	-39.0	-38.0	-18.9	0.0	50.0					
Others	-	-	-	-	-	-	-	-10.7	11.7	2.6	-	-	-	-	-	-	-	-	-					
Water Treatment & Healthcare*	-	-	-	-	-	-	-	11.4	-16.7	2.5	-	-	-	-	-	-	-	-	-					
Others*	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-					
Core Operating Income	-20.9	-8.4	-14.2	25.6	8.3	16.4	-0.6	7.5	17.5	12.7	4.9	17.2	12.0	30.4	23.6	27.0	19.8	17.6	15.0					
Operating profit	-27.8	-11.2	-19.1	-72.3	10.8	-31.3	-23.7	-	-	-	10.9	10.1	10.4	619.6	54.7	170.3	64.6	25.0	15.0					
Pretax profit (JPYmn)	28,238	29,923	58,161	16,502	32,936	49,438	107,599	-	-	-	34,500	42,000	76,500	50,500	43,000	93,500	170,000	211,000	241,500					
(%YoY)	-32.4	-16.8	-25.2	-44.8	395.9	35.3	-5.9	-	-	-	22.2	40.4	31.5	206.0	30.6	89.1	58.0	24.1	14.5					
Net profit Attributable to Owners of Parent (JPYmn)	17,151	19,784	36,935	3,229	39,357	42,586	79,521	40,000	50,000	90,000	21,500	28,500	50,000	34,000	28,000	62,000	112,000	140,000	162,000					
(%YoY)	-36.1	-31.0	-33.5	-83.6	1,339.5	90.2	2.1	8.3	17.4	13.2	25.4	44.1	35.4	953.0	-28.9	45.6	40.8	25.0	15.7					
EPS (JPY)	11.2	13.1	24.2	2.3	26.4	28.7	53.0	27.5	34.3	61.8	15.1	20.0	35.1	24.1	20.2	44.4	79.5	103.5	124.7					
Dividends (JPY)	-	-	10.0	-	-	10.0	20.0	13.0	13.0	26.0	-	-	13.0	-	-	13.0	26.0	30.0	36.0					

*From F3/27, the water treatment business and pharmaceuticals and medical products business will be integrated into a single segment, Water Treatment & Healthcare. The engineering business will be included in Other. However, our estimates are based on previous segment categories. Ce = Company estimates, e = Morgan Stanley Research estimates, Source: Company data, Morgan Stanley Research

Carbon fiber supply/demand: Expect tightening over the medium term

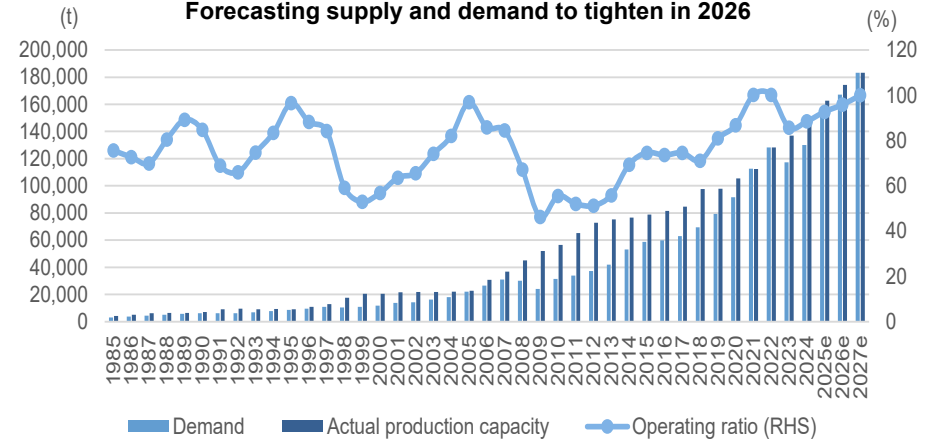
Carbon fiber demand:

Traction provided by growth in general industrial applications



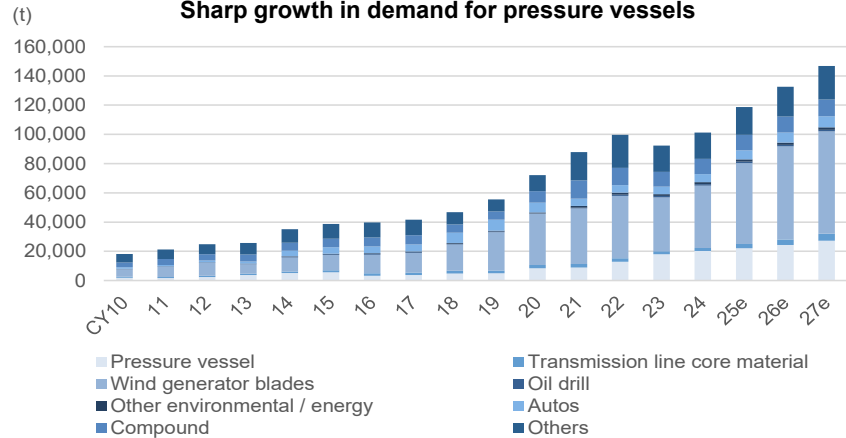
Carbon fiber supply/demand:

Forecasting supply and demand to tighten in 2026



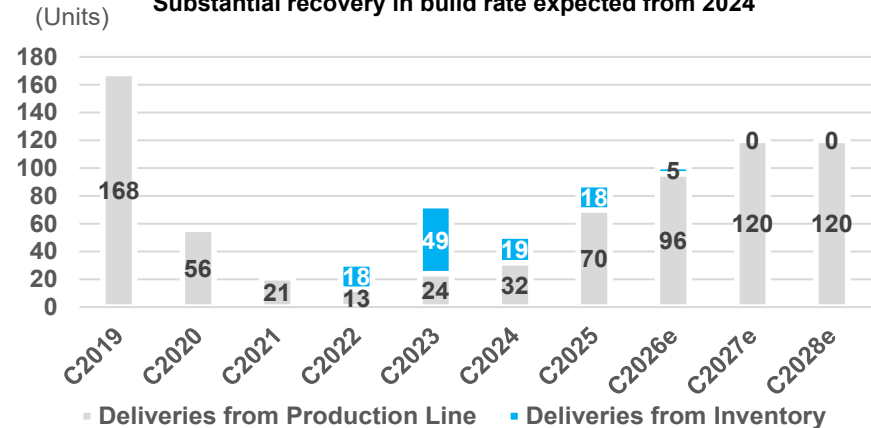
Carbon fiber/general industrial demand:

Sharp growth in demand for pressure vessels



B787 deliveries:

Substantial recovery in build rate expected from 2024



Source: Company data, various materials, Morgan Stanley Research; e=Morgan Stanley Research estimates

Aerospace-related market trend

Boeing

B777

Toray's prepreg is the only material in use in primary

Airbus

A340-500/600

Adopting Toray's carbon fiber

B787

Adopting more composites

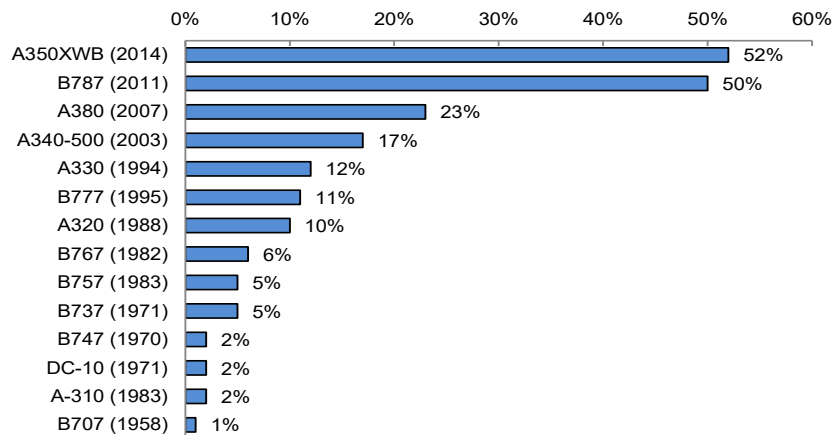
A380

Mass adoption for primary structures

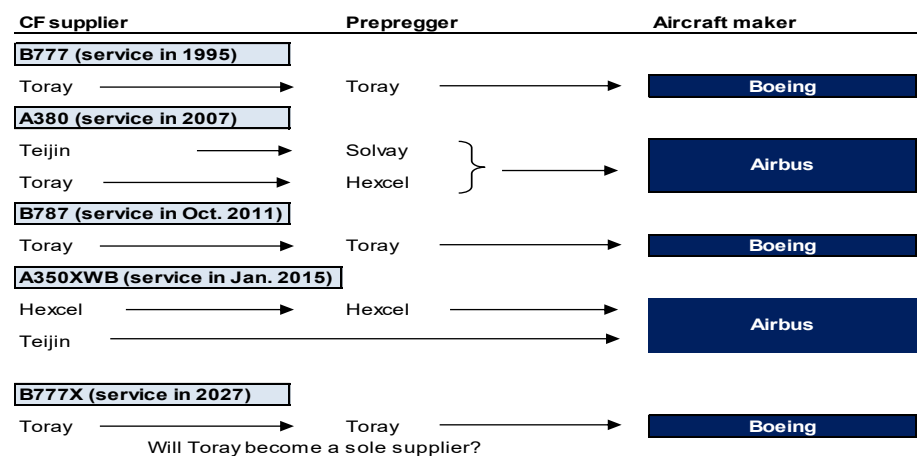
Expect uptake of composite materials to increase further in newly developed aircraft models

Year	1982	1995	2007	2011	2027 (plans)
Model	B767	B777	A380	B787	B777X
Structures	Secondary	Primary/secondary	Primary/secondary	Primary/secondary	Primary/secondary
Amount of CFRP/aircraft (estimates)	1.5 tons	Approx. 10 tons	Approx. 35 tons	Approx. 35 tons	TBA
Supplies from Toray	CF, Fabric	CF, Prepreg	CF, Prepreg	CF, Prepreg	CF, Prepreg

Composites as % of weight in main passenger aircraft



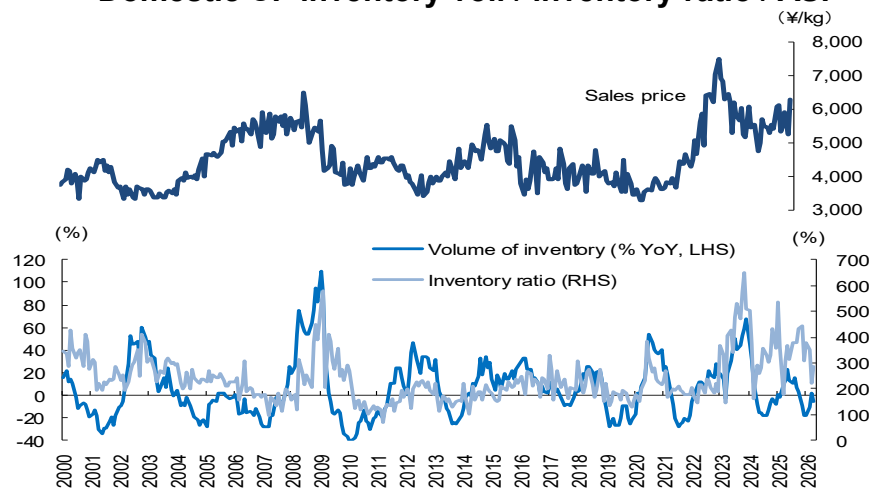
Supply chain for leading passenger aircraft



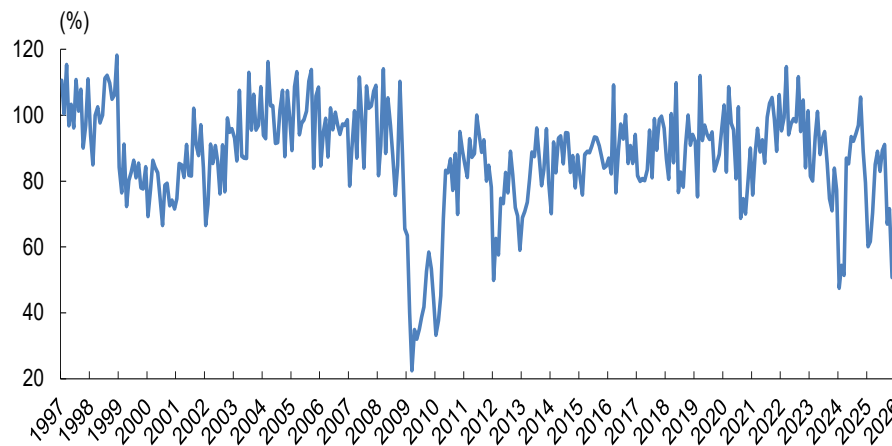
Source: Hexcel annual report, company interviews, Morgan Stanley Research

Domestic carbon fiber market

Domestic CF inventory vol. / inventory ratio / ASP



Domestic CF monthly average utilization rate



Trend in the number of orders (left) and deliveries (right) for commercial jet transport aircraft (units)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total		Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Boeing B787 Series														Boeing B787 Series													
2025	-	-	53	-	127	62	1	7	64	7	30	30	381	2025	4	5	4	8	7	9	8	9	7	7	6	14	88
2026	34	8	8	51	10								111	2026	5	3	7	6	6								27
Boeing B777 Series														Boeing B777 Series													
2025	2	-	51	-	30	-	-	14	-	-	76	5	178	2025	1	2	4	4	5	4	2	4	3	2	2	2	35
2026	-	-	-	28	-								28	2026	3	2	3	3	1								12
Boeing+Airbus														Boeing+Airbus													
2025	91	27	403	19	303	319	38	125	106	127	239	378	2,175	2025	70	84	112	101	96	123	115	118	128	131	116	199	1,393
2026	156	49	364	164	406								1,139	2026	65	86	106	114	141								512

Source: Companies, MoF, METII, Morgan Stanley Research

Gunze (3002, Equal-weight, PT ¥4,200): Consolidated earnings

Consolidated PL
(JPYmn)

	F3/24	F3/25	F3/26	F3/27e	F3/28e	F3/29e	F3/27 Ce
Sales	132,885	137,117	130,918	131,000	129,000	131,500	132,000
CoGS	91,164	93,934	91,042	87,700	84,000	83,800	-
Gross profit	41,720	43,182	39,875	43,300	45,000	47,700	-
SG & A expenses	34,943	35,260	34,992	35,000	34,500	35,500	-
Operating income	6,777	7,921	4,882	8,300	10,500	12,200	8,800
Non-operating income	900	952	947	600	500	600	-
Interests & dividends received	377	304	204	200	100	100	-
Other	523	648	743	400	400	500	-
Non-operating expenses	902	693	910	1,000	1,000	800	-
Interest expenses	208	85	78	100	100	100	-
Other	694	608	832	900	900	700	-
Ordinary income	6,774	8,180	4,920	7,900	10,000	12,000	8,400
Extraordinary income	2,387	3,458	753	1,000	1,000	1,000	-
Extraordinary loss	4,658	2,547	4,528	1,800	1,800	1,800	-
Income before income taxes	4,504	9,091	1,144	7,100	9,200	11,200	-
Income taxes	-650	2,760	559	2,100	2,700	3,400	-
Net income	5,154	6,330	585	5,000	6,500	7,800	-
Attributable to:							
Owners of the parent	5,109	6,279	509	4,900	6,400	7,700	5,200
Non-controlling interests	45	51	75	100	100	100	-
% of sales							
Gross profit	31.4%	31.5%	30.5%	33.1%	34.9%	36.3%	-
Operating income	5.1%	5.8%	3.7%	6.3%	8.1%	9.3%	6.7%
Ordinary income	5.1%	6.0%	3.8%	6.0%	7.8%	9.1%	6.4%
Net income attributable to owners of parent	3.8%	4.6%	0.4%	3.7%	5.0%	5.9%	3.9%
Tax rate	-14.4%	30.4%	48.9%	29.6%	29.3%	30.4%	-
YoY							
Sales	-2.3%	3.2%	-4.5%	0.1%	-1.5%	1.9%	0.8%
Gross profit	3.1%	3.5%	-7.7%	8.6%	3.9%	6.0%	-
Operating income	16.6%	16.9%	-38.4%	70.0%	26.5%	16.2%	80.3%
Ordinary income	12.5%	20.8%	-39.9%	60.6%	26.6%	20.0%	70.7%
Net income attributable to owners of parent	13.5%	22.9%	-91.9%	862.7%	30.6%	20.3%	921.6%
Depreciation (incl. Amortization)	6,208	6,867	7,305	7,700	7,500	7,500	-
Capex	9,147	7,538	12,527	9,000	9,000	8,000	-
EBITDA	12,985	14,788	12,187	16,000	18,000	19,700	-
Average shares outstanding (m)	33.7	32.9	31.9	31.3	31.2	31.1	-
EPS (JPY)	150.6	189.7	15.8	156.6	205.3	247.9	165.9
BPS (JPY)	3,556.4	3,667.2	3,555.4	3,557.3	3,602.2	3,664.1	-
DPS (JPY)	76.5	195.0	216.0	216.0	217.0	219.0	216.0
ROE(%)	4.4	5.3	0.4	4.4	5.7	6.8	-
ROA(Ordinary income)	4.1	5.1	3.1	5.1	6.4	7.7	-

Ce = Company estimates, e = Morgan Stanley Research estimates
Source: Company data, Morgan Stanley Research

BS
(million JPY)

	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Current assets	77,974	69,266	69,900	69,800	70,900
Cash & deposit	10,541	9,936	10,500	11,400	11,200
Notes and accounts receivable	25,015	22,560	22,600	22,200	22,700
Inventory	38,470	33,110	33,100	32,600	33,300
Allowance for doubtful account	-23	-35	0	0	0
Other current assets	3,971	3,695	3,700	3,600	3,700
Fixed assets	81,702	84,346	85,300	85,800	86,300
Tangible fixed assets	67,764	68,899	70,200	71,700	72,200
Depreciable fixed assets	52,418	56,552	64,900	71,400	71,900
Land and others	10,369	10,119	10,100	10,100	10,100
Temporary accounts for construction	4,977	2,228	-4,800	-9,800	-9,800
Intangible fixed assets	1,786	1,385	1,400	1,400	1,400
Investment and other assets	12,151	14,060	13,700	12,700	12,700
Total assets	159,677	153,612	155,200	155,600	157,200
Current liabilities	24,551	27,636	29,700	29,100	29,200
Notes and accounts payable	8,138	7,164	7,200	7,100	7,200
Short-term borrowings	3,188	2,875	4,900	4,400	4,400
Other	13,225	17,597	17,600	17,600	17,600
Long term liabilities	14,143	12,228	12,261	12,261	12,300
Long term debt	5,668	5,261	5,261	5,261	5,300
Liabilities related to retirement benefits	4,133	2,603	2,600	2,600	2,600
Other	4,342	4,364	4,400	4,400	4,400
Total Liabilities	38,694	39,865	41,961	41,361	41,500
Shareholders' equity	112,656	101,636	94,500	89,100	85,000
Other valuation conversion gain/loss	6,418	10,120	16,600	23,000	28,600
Share warrant	110	95	200	200	200
Subscription rights to shares	1,796	1,894	1,900	1,900	1,900
Net Assets	120,982	113,746	113,239	114,239	115,700
Shareholders' equity	119,074	111,756	111,100	112,100	113,600
Net assets plus liabilities	159,677	153,612	155,200	155,600	157,200
Consolidated cash flows (million JPY)					
	F3/25	F3/26	F3/27e	F3/28e	F3/29e
Operating cash flows					
EBIT	9,091	1,144	7,100	9,200	11,200
Depreciation & amortization	6,867	7,305	7,700	7,500	7,500
Impairment losses	459	0	1,000	1,000	0
Change in necessary working capital	-2,868	9,537	0	800	-1,100
Tax and interest, etc.	-1,977	-715	-2,000	-2,600	-3,300
Total operating cash flows	11,572	17,271	13,800	15,900	14,300
Investment cash flows					
Capex	-10,196	-12,149	-9,000	-9,000	-8,000
Sales of property, tangible & intangible assets	1,159	668	0	0	0
Writedown of Assets	-314	-248	0	0	0
Investment securities	2,515	39	500	1,000	0
Acquisition or divestment of subsidiary stock	-681	0	0	0	0
Others (long-term loans, etc.)	32	105	100	100	100
Total investment cash flows	-7,485	-11,585	-8,400	-7,900	-7,900
Financial cash flows					
Change in short-term liabilities	297	2,293	2,000	-500	0
Change in long-term liabilities	-511	-2,606	0	0	0
Treasury stock (Purchase and Sales)	-2,321	-4,934	-5,000	-5,000	-5,000
Dividend payment	-2,542	-6,307	-7,000	-6,800	-6,800
Other	-107	5,234	5,200	5,200	5,200
Total financial cash flows	-5,184	-6,320	-4,800	-7,100	-6,600
Forex conversion differences	820	29	0	0	0
Increase in cash and equivalents	-276	-604	564	900	-200

F3/25~)	F3/26					F3/27Ce (as of May 11)					F3/27e					F3/28e	F3/29e	B/S analysis	F3/25 (IFRS)	F3/26 (IFRS)	F3/27e (IFRS)	F3/28e (IFRS)	F3/29e (IFRS)	
	1Q	2Q	3Q	4Q	Full	Full	1Q	2Q	3Q	4Q	Full	Full	Full											
ue (n)																								
egment)																								
t & Industries	-	-	-	-	350,100	400,000	83,500	90,000	111,000	112,500	397,000	449,000	456,000							107,538	104,474	104,310	104,660	104,600
are & Life Solutions	-	-	-	-	138,600	110,000	30,000	28,500	25,500	26,000	110,000	105,000	109,000							166,741	167,365	167,490	173,074	174,750
ics & Energy	-	-	-	-	149,900	150,000	50,000	47,000	44,000	40,000	181,000	173,000	181,000							227,032	208,820	206,325	213,793	216,478
ity Materials	-	-	-	-	212,800	170,000	43,000	45,000	43,000	47,000	178,000	182,000	186,000							86,572	47,423	47,423	47,423	47,423
	-	-	-	-	21,900	20,000	5,000	5,000	5,000	5,000	20,000	20,000	20,000							227,032	208,820	206,325	213,793	216,478
	-	-	-	-	21,900	20,000	5,000	5,000	5,000	5,000	20,000	20,000	20,000							86,572	47,423	47,423	47,423	47,423
	-	-	-	-	21,900	20,000	5,000	5,000	5,000	5,000	20,000	20,000	20,000							86,572	47,423	47,423	47,423	47,423
	-	-	-	-	21,900	20,000	5,000	5,000	5,000	5,000	20,000	20,000	20,000							86,572	47,423	47,423	47,423	47,423
	-	-	-	-	21,900	20,000	5,000	5,000	5,000	5,000	20,000	20,000	20,000							86,572	47,423	47,423	47,423	47,423
	-	-	-	-	21,900	20,000	5,000	5,000	5,000	5,000	20,000	20,000	20,000							86,572	47,423	47,423	47,423	47,423
	-	-	-	-	21,900	20,000	5,000	5,000	5,000	5,000	20,000	20,000	20,000							86,572	47,423	47,423	47,423	47,423
	-	-	-	-	21,900	20,000	5,000	5,000	5,000	5,000	20,000	20,000	20,000							86,572	47,423	47,423	47,423	47,423
	-	-	-	-	21,900	20,000	5,000	5,000	5,000	5,000	20,000	20,000	20,000							86,572	47,423	47,423	47,423	47,423
	-	-	-	-	21,900	20,000	5,000	5,000	5,000	5,000	20,000	20,000	20,000							86,572	47,423	47,423	47,423	47,423
	-	-	-	-	21,900	20,000	5,000	5,000	5,000	5,000	20,000	20,000	20,000							86,572	47,423	47,423	47,423	47,423
	-	-	-	-	21,900	20,000	5,000	5,000	5,000	5,000	20,000	20,000	20,000							86,572	47,423	47,423	47,423	47,423
	-	-	-	-	21,900	20,000	5,000	5,000	5,000															

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	FY12/25								FY12/26Ce (Feb 16)				FY12/26e							FY12/27e	FY12/28e	B/S analysis	F12/24	F12/25	F12/26e	F12/27e	F12/28e
	1Q	2Q	1H	3Q	4Q	2H	Full	Full*	1H	2H	Full	1Q	2Q	1H	3Q	4Q	2H	Full	Full	Full	Cash & securities	61,869	68,909	71,349	71,494	71,976	
												Act									Receivables	229,744	231,445	241,744	241,540	245,215	
																					Inventories	280,583	297,566	305,226	303,848	307,319	
																					Other current assets	35,310	29,630	29,630	29,630	29,630	
																					Current assets	607,506	627,550	647,949	646,511	654,141	
																					Tangible fixed assets	364,141	371,094	369,794	381,794	393,794	
																					Intangible fixed asset	67,494	62,140	62,140	62,140	62,140	
																					Inv., loan & others	187,293	213,307	213,578	213,578	213,578	
																					Total assets	1,226,434	1,274,091	1,293,461	1,304,023	1,323,653	
																					Short-term debt	91,253	151,360	150,785	147,503	145,980	
																					Payables	138,448	127,763	133,932	134,661	137,575	
																					Other liabilities	103,370	107,422	107,422	107,422	107,422	
																					Current liabilities	333,071	386,545	392,139	389,585	390,977	
																					Long-term debt	377,617	306,913	305,747	299,092	296,005	
																					Other liabilities	95,130	89,789	89,789	89,789	89,789	
																					Total liabilities	805,819	783,247	787,676	778,466	776,771	
																					Equity	376,301	399,151	412,821	431,593	451,917	
																					Minority interest	19,194	19,963	20,963	21,963	22,963	
																					Total net asset	420,615	490,844	505,784	525,556	546,880	
																					Ratio analysis						
																					Book value/share (¥)	4,239.7	4,973.4	5,120.6	5,318.9	5,533.6	
																					Cash/share (¥)	653.4	727.8	753.6	755.1	760.2	
																					Equity ratio (%)	32.7	37.0	38.1	39.3	40.3	
																					Debt/equity ratio	1.17	0.97	0.94	0.89	0.84	
																					Return on assets (% , business interests basis)	4.0	4.3	4.8	4.5	4.8	
																					Return on assets (% , net profit basis)	1.7					

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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INDUSTRY COVERAGE: Petrochemical Majors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Takato Watabe		
Asahi Kasei (3407.T)	O (06/23/2025)	¥1,816
Mitsubishi Chemical Group (4188.T)	E (06/26/2025)	¥1,162
Mitsui Chemicals (4183.T)	O (08/31/2015)	¥2,070
Sumitomo Chemical (4005.T)	O (04/21/2014)	¥519
Tosoh (4042.T)	E (04/10/2023)	¥2,691

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Electronic Chemicals

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Ryoichi Watanabe		
Resonac Holdings (4004.T)	O (03/04/2024)	¥15,330
Sumitomo Bakelite (4203.T)	O (05/26/2025)	¥7,035
Tokyo Ohka Kogyo (4186.T)	E (06/10/2025)	¥10,350
Takato Watabe		
Dexerials (4980.T)	E (08/27/2024)	¥3,922
Kuraray (3405.T)	E (04/03/2023)	¥1,696
Nissan Chemical (4021.T)	E (06/11/2018)	¥7,906
Nitto Denko (6988.T)	U (06/24/2022)	¥3,221
Shin-Etsu Chemical (4063.T)	O (07/27/2016)	¥7,340
SUMCO (3436.T)	U (06/09/2026)	¥5,133
ZEON (4205.T)	O (10/23/2014)	¥2,225

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Fine Chemicals

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Ryoichi Watanabe		
Air Water (4088.T)	E (03/04/2024)	¥2,522
Daicel (4202.T)	E (06/20/2025)	¥1,404
Denka (4061.T)	E (03/04/2024)	¥3,838
Kaneka (4118.T)	E (03/04/2024)	¥5,568
Kureha (4023.T)	E (06/12/2025)	¥4,090
Mitsubishi Gas Chemical (4182.T)	O (03/04/2024)	¥4,564
Nippon Sanso Holdings (4091.T)	U (06/20/2025)	¥6,052
NOF (4403.T)	O (03/19/2026)	¥2,720
Sekisui Chemical (4204.T)	U (05/07/2025)	¥2,611
Tokuyama (4043.T)	O (03/04/2024)	¥4,507
UBE (4208.T)	++	¥3,100
Takato Watabe		
DIC (4631.T)	++	¥4,520
Gunze (3002.T)	E (06/25/2025)	¥3,970
Teijin (3401.T)	U (10/03/2022)	¥1,655

Toray Industries (3402.T)	O (10/03/2022)	¥1,138
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Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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